Olectra Greentec (OLECTRA)

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“Olectra Greentech Limited Q1 FY -23 Earnings
Conference Call”

July 29, 2022

MANAGEMENT : MR. K.V. PRADEEP – CHAIRMAN & MD, OLECTRA GREENTECH LIMITED
MR. SHARAT CHANDRA – CFO, OLECTRA GREENTECH LIMITED
MR. HANUMAN PRASAD – COMPANY SECRETARY , OLECTRA GREENTECH LIMITED
MR. RAMESH – MANAGER , OLECTRA GREENTECH LIMITED
MODERATORS : MR. KAPIL SINGH – NOMURA

Moderator : Ladies and gentlemen good day and welcome to the Olectra Greentech Limited Q1 FY23 Earnings Conference Call hosted by Nomura . As a reminder all participant lines will be in the listen-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need ass istance during the conference, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kapil Singh from Nomura . Thank you and over to you sir.

Kapil Singh : Good evening, everyone. Thank you for joining this call. From the management team of Olectra, we have today Mr. K.V. Pradeep – Chairman & Managing Director, Mr. Shara t Chandra – CFO, Mr. Hanuman Prasad – Company Secretary and also Mr. Ramesh – Manager. Mr. Pradeep I will hand over to you for opening remarks please.

K.V. Pradeep : Thank you Kapil. Good evening, all. This is Pradeep from Olectra Greentech. We are happy to announce t hat till date we have supplied 750 buses which are operating across the country and our buses have completed about 6 crore kilometers on Indian roads which is the highest as far as electric buses are concerned . So, we are progressing very well. Also, the Q 1 results yesterday we have announced, they are all very promising and quarter -on-quarter we are progressing very well. We have about 3300 buses on hand order which are required to get supplied from 12 months to 18 months. Olectra Greentech is progressing very well and further more orders also we are expecting. I invite the questions, any questions from the participants.

Moderator : Thank you. Ladies and gentleman, we will now begin the question -and-answer session. We have the first question from the line of Gunjan from Bank of America .

Gunjan : I just had a few questions on the CESL order. If I recall, you had called out that this was pretty aggressive bid that was made and now if I see that you all have agreed to participate in the bid matching the same price that TMO did. I’m just wondering has anything changed and how are STUs thinking, are they willing to take on more OEMs, you and Tata Motors given the bid has already been or the winner has already been announced? Some th oughts on that.

K.V. Pradeep : Is it the question?

Gunjan : That’s first question and I have one more.

K.V. Pradeep : Let me refer to your first question. This is Pradeep answering your question. See, CESL has floated a tender for about 5500 buses where one of our competitors have got about 5000 number and couple of cities, we are asked to match the price where we have not. Especially at Hyderabad we have matched the price and we have taken. The reason why we have given our consent is that the number of kilom eters that is being operated in Hyderabad are around 300 km. When compared to the other cities the number of kilometers that are being operated at Hyderabad are much higher than the assured kilometers. Whereas you may be knowing that we are operating 40 bu ses in Hyderabad for the past 4 years, so we know the roads, we know the schedules, we

know the number of kilometers. So, for that reason being the number of kilometers much higher than the number of kilometers that are assured, we have given our consent a nd we have taken that order. Other than that, though at other places we are asked to match to the prices we have not agreed for it.

Gunjan : The other question that I had was on the funding plan, from what I understand at Olectra level you are looking at so me funding. But E vey which is where the mobility as a service or these contracts of STUs will be placed, won 't the balance sheet requirement or won't that business be more balance sheet heavy and there is need for funding there? So, I a

m just understanding the thought process that if you end up servicing these 3000 or 4000 buses, it's a pretty $700 -$800 million kind of a contract value which will need to be serviced by E vey over a period of time. So, how are we thinking about the financing of both Olectra a s well as the E vey company?

K.V. Pradeep : Let me just briefly explain about the organization structure. You know Olectra is the one of the group companies of MEI L and E vey Trans is the 100% subsidiary of MEIL. So, whereas Olectra is the listed entity and 5 0.02% is the stake that is being hold by promoter s. As far as Evey Trans is concerned being it is 100% subsidiary of MEIL, all the funding and other things are being taken care of by MEIL and as far as Olectra is concern ed other than working capital we do not require any funds . But in the recent past we have made some of the announcements that we are raising about 800 to 1,000 crores from the market. The very purpose of it is , we have acquired 150 acres of land here to develop a manufacturing facility where we want to produce 5000 in the initial state and 10 ,000 as an ultimate capacity of buses / vehicles per annum . So, to manufacture that , to develop th at infrastructure we require 800 to 1,000 crores of amount. So, for that we are planning to raise from the market . The discussions are on with our board and still the board has not taken the call yet. So once the boa rd takes the call immediately, we'll come to the public and we shall inform the model how we want to take the fund . So, this is the structure and this is about the fund required.

Gunjan: That's really helpful. Just last question if I can squeeze in is on the BYD arrangement. If you can just refresh us as to the timeline until which the agreement and how does it work , what value?

K.V. Pradeep: Wherein on the BYD is a technology partner for us and till '25 we have the agreement which shall get extended. Having the volumes gone up , BYD would also be interested to extend the agreement . As of now till 2025 definitely w e have an a greement with them. H ope I am clear on all your doubts?

Moderator: We have the next question from the line of Deepa k Poddar from S apphire C apital.

Deepak Poddar: I just want ed to understand first , so what's our current execution capability I mean per month or…?

K.V. Pradeep: As of now we can produce 100 buses a month and we are targeting to raise that to 150. So that's the capacity as of now .

Deepak Poddar: And by when ?

K.V. Pradeep: Pardon?

Deepak Poddar: By when we are looking to raise it to 150 buses per month ?

K.V. Pradeep: Another 2-3 months.

Deepak Poddar: You mentioned th ese 3300 buses orders that we need to execute over the next 12 to 18 months , right?

K.V. Pradeep: Yes. In that about 800 to 1 000 bu ses may require to get supplied in around 24 mon ths, so remaining 2000 we shall have to supply in 18 months' time .

Deepak Poddar: What would be our execution target for this year FY23 ?

K.V. Pradeep: We are targeting thousand number.

Deepak Poddar: But then still late in 200 0 over 1.5 y ear, 2000 buses o ver 1.5 year then would still be difficult to execute given our capacity right now ?

K.V. Pradeep: The next six months definitely we w ould be doing around 900 buses with which we shall be meeting the target.

Deepak Poddar: So FY23 1 000 buses and 1H FY24, 900 buses, that's what ?

K.V. Pradeep: Yes.

Deepak Poddar: And average buses the ticket size is about 1 1.5 to 1.7 cro res?

K.V. Pradeep: There are 4-5 models in this bus. So, each model costs different.
Deepak Poddar: In terms of margin profile how do we do look as a margin profile for us?
Sharat Chandra: We are expecting the EBITDA margins around 12% is what we achieved. We are expecting to maintain the same level going forward.
Deepak Poddar: But ideally, I

thought with the higher base I mean at 1000 buses, wont we get some leverage advantage or because of that our operating profit margin kind of should inch upwards ?
Sharat Chandra: Basically, the contribution level s will be around 15 %-20%. Overall, in terms of volum e we expect EBITDA margin of 12% should be a good guidance. We have to see the volumes also keeping that volume in mind whatever we do in 100 numbers , 1000 numbers definitely cannot be the same.

Deepak Poddar: Any kind of raw material pressure are we facing right now or how is on the raw material front for us ?
K.V. Pradeep: We are importing the cells from China and earlier there was some inconvenience in the imports but now slowly it is getting settled . So probably th ere may not be the same constraint what we have experienc ed in the earlier quarters . Definitely the things are getting improved.
Deepak Poddar: It's getting improved , so raw material availability is not an issue for us , right?
K.V. Pradeep: Yes.
Moderator: We have the next question from the line of Dhruv from Ambika Fincap .
Nishid Shah: Basically, my question is you h ad a roadmap of taking up your capacity to 10 ,000-15,000 buses. Now can you give us a roadmap as to how this is going to happen and in between you were to do the fundraising and what is th e status on the fundraising program? When are you going to increase because 1000 buses a year means nothing because the competition is doing 5000 -10,000 buses a year? With a partner like BYD I think we are losing out the opportunity. Can you please elaborate ?
K.V. Pradeep: As of now the electric bus market is in very initial stage. The la rgest tender that got floated is 5500 buses by C ESL and in the coming years definitely there will be much larger nu mber of tenders are coming up. Now we are going to establish a manufacturing facility with an ultimate capacity of 10 ,000 and in the initial capacity of 5000. First of all, we are developing the infrastructure in 150 acres of land which got procured nearby Hyderabad . In coming 8 to 10 months' time, we sh all develop that infrastructure. In the initial period it w ould be 5000. As I mentioned the ultimate capacity will be 10 ,000 number. Probably by next year June -August we shall be completing the facility and with that new facility we shall be ready to manufacture 5000 buses. So that's the plan as far as the facility is concerned. Number two , as I mentioned earlier, we required 800 to 1,000 c rores for developing this manufacturing facility . For the fundraise various options are being discussed in the board. Once the board d ecides we shall come out with a clear propos al.
Nishid Shah: Thanks for that update. And what is the status on trucks and three -wheelers ? Can our technology not be used for the trucks and ca n we not have the batteries for three -wheelers? Can we not manufacture the batteries for three wheelers? Can we not have the three wheelers?
K.V. Pradeep: Two questions. One is trucks and the other is three -wheelers, let me answer to the trucks. In the recent past perhaps you may be knowing that Ole ctra has developed electric tipper. The tipper we have completely designed with our own design . We have developed the pro duct and the tipper; the trials are completely done and the product is getting homologated . Once the homologation is completed then we shall take up the commercial production. Once the homologation is completed, we shall be un veiling t he product and finally w e shall also be

starting the commercial production. That's the progress and program of this tipper . As far as the batteries which you have mentioned for the three -wheelers and other things , we are just importing the cells and we are assembling the batteries here . But the batteries

require to get
manufactured where in India there is no such f acility available and all the OEM s are importing the batteries itself from China. We are although , Olectra also importing the same cells from China and getting them package d. So, since we are importing the cells , there's no point in supplying the package d batteries to three -wheelers .
Nishid Shah: My last question is on the trucks. Are we going to tie up with BYD or are we looking at some other options?
K.V. Pradeep: A good question. We are having a very long experience and very ri ch expertise in this elect ric

mobility . Our R&D team has designed and developed t he product for this tipper. And accordance to our design , our own design s and our own requirements we have developed that product which has run very well which has proven in accordance to our requireme nts. The same product which we have developed is getting homologated. So that is the progress about the tipper . It is not with BYD.

Moderator: We have the next question from the line of Nagendra Maurya from Growth x Capital .

Nagendra Maurya: Just wanted to understand the outlook on the insulator business. I remember we have been discussed earlier this regarding to achieve 200 crores of revenue for the FY23. How this thin g is progressing in th e insulator business ?

Sharat Chandra: As far as in sulator is concerned, we have actually increased exports with one large customer in US from 1 5 crores levels in last year we are expecting to do achieve about minimum 50 crores this year and last year due to COVID the tenders all got delayed and this year al l the tenders are getting finalized then we are hoping to achieve the 200 crores target.

Nagendra Maurya: That means in coming months o r coming quarter s the sales from this segment will be much higher because this quarter we have almost 25 crores sales do ne. I think second quarter or from this current quarter sales will be accelerated?

Sharat Chandra : The third quarter and Q uarter 4 are expected to be the bigger quarters .

Nagendra Maurya: Same with the bus segment because almost 1000 buses we are targeting to deliver and a lmost 170 bu ses we have delivered in Quarter 1? So, I think for the third and fourth there will be acceleration in the sales in e -bus as well, right?

Sharat Chandra : Yes. Correct. You're right.

Nagendra Maurya: One brief clarification on this expansion si de. What are the timing s by when this expansion will be completed?

K.V. Pradeep: Expansion p robably by June -July we are expecting the infrastructure to get developed .

Nagendra Maurya: By next year , right?

K.V. Pradeep: Yes.

Nagendra Maurya: Just one small question ; our interest cost has been increasing last 2-3 quarters. We have reached debt or something , this is just due to the working capital facility ?

Sharat Chandra: This is a good question. This quarter we have availed the total fund based and non -funded limits for both the businesses which has resulted in higher interest cost.

Nagendra Maurya: Are we expecting a further increase from here?

Sharat Chandra: It will be around the same level s. We expect the finance cost to be around 3% .

Nagendra Maurya: 3% of the sales?

Sharat Chandra: Yes.

Moderator: We have the next question from the line of K. Sudhakar Rao from Transparent S ecurities.

K. Sudhakar Rao: You have sai d that the o rder book is about 3300 buses. Does it include the 2100 B est which is under litigation?

K.V. Pradeep: Yes. It is in litigation. But Supreme Court has given clear interim order to go ahead with the supplies.

K. Sudhakar Rao: So, you're supplying apart from the 10 that you have already de livered . You can go ahead with delivering with the other buses also before the next year hearing in September ?

K.V. Pradeep: Yes, w e can.

K. Sudhakar Rao: Regarding the

three -wheeler, last time you said that you are one -time getting to manufacture about 3 lakh three -wheelers? So are you going ahead with that?

K.V. Pradeep: CESL has invited a tender for 1. 0 lakh units of three -wheelers . So out o f which we got around 13,000 three -wheelers order but that unfortunately C ESL has kept aside that program of procuring three -wheelers and they have started paying the attention towards the buses where they have floated 5500 buses tenders. So now CESL has not initiat ed any procurement action we have not manufacture d or supplied the three -wheeler .

K. Sudhakar Rao: When do you expect the new plan t to come up? You have said that June -July, does it take that long for you are masters in infrastructure and building plans?

K.V. Pradeep: Yes definitely. You're right. We are masters in infrastructure but as we were mentioning it is completely an automated manufacturing facility where human intervention would be very minimal. So, the equipment which is required to place in the plan t, requires little longer delivery period. For that reason, at least 10 to 12 months’ time is essentially required for tha t.

Moderator: We have the next question from the line of Punit Chokhani from Black Gold S ervices.

Punit Chokhani: I actually have tw o questions. One regarding the fundraise. You mentioned that the 800 to 1,000 crores fundraise that you're planning on doing if I heard correctly would be t hrough capital markets. If that is the case that's a decently large amount of dilution that would ta ke promoter holding down more than 5 1%. I think they want 5 1% at this point . What are your thought s on that, number one ? Second question would be so Tube Investment , the Murugappa Group Company has just acquired or rather hi ked their stake in a company called IPLTech Electric, the Haryana based electric truck co mpany. So, what are your thoughts on that?

K.V. Pradeep: First question is yes; we have planned to raise about 800 to 1,000 crores but the existing promoter do not need to dilute any of his stakes. He shall also equally contribute for the original amount whatever the company requ ires. I hope I have answered your first point. Second point , the tipper which is developed is purely with the in -house develop ed technology and w ith our in-house design , we have developed the tipper . We have not , if my understanding is right , you are mentioning that taking o ver of some company which is not the case from our side . We have not taken over any of the companies nor we have attempted . So, the tipper w hat has been developed is purely in -house . Hope I'm clear.

Punit Chokhani: Yes, absolutely you are clear. I just w anted your sense on the business that is required considering it's an electric vehicle , they supply bus, they supply trucks to all the cement companies is what I read. So, I mean today just to get your sense on what IPLTech E lectric , I just wanted your two thoughts on it since you're part of the business . But you answered my question that sa id. I have j ust one more question to clarify. You mention ed that you want the factory to be up and running by June -July of next year if I heard that correctly . How if just from a thumb -rule perspective , how long does it typically take to construct the fact ory of this size once you raise the money ?

K.V. Pradeep: Yes, it is like this , once we raise the money it should get completed in about 8 months' time .

Punit Chokhani: If you have to , for that matter if you have to get the factory up and running by June -July that means you have to raise the money by October -November. That is what I am trying to understand.

K.V. Pradeep: Yes, N ovember , we should be in a position to raise the money .

Punit Chokhani: All right. Lastly in terms

of this BEST order that is in litigation , there was some press release that was I think pu t out by the company on BSE talking about how the Supreme Court has put a stay on the order. The next hearing is sometime in September if I read it right. Y our two thoughts on that. So how does this litigation work if the Supreme Court has put a stay on th e order that was basically put by Tata Motors. I mean can you still supply buses , A? B. how many buses of these 2000 order buses have you already supplied to BEST already?

K.V. Pradeep: The first point is the Hon'ble Supreme Court has, what has happened is the LOA has been released to Olectra and also, we have concluded the agreement with BEST and subsequent to that Tata Motors has approached the High Court of Mumbai where High Court has given the order in favor of Tata duly canceling the. Hanuman shall r eply to that.

Hanuman Prasad: I would brief you the case, actually you will understand. Basically, the Evey Trans which is the arm of the Olectra has won the order where in one of the competitors actually Tata Motors moved to the court on the two reasons. One is they have been disqualified, another one is they challenged the giving of Letter of Award to the Evey, before the Honorable High Court of Bombay. So Honorable High Court of Bombay verdict has come saying that disqualifying the petitioner, the Tata M otors is the right decision. At the same time, they set aside decision of the BEST to give the Letter of Award to the Evey. Aggrieved by that , we moved to the Hon'ble Supreme Court. Hon'ble Supreme Court has given a stay on the order of the Bombay High Cou rt only with regard to the set asiding the decision of the BEST giving Letter of Award to the Evey. So, Evey is permitted to go ahead for supplies. This is what the whole crux of the matter as far as pending with the Supreme Court. Do you have any queries on this?

Punit Chokhani: Even though I don't understand litigation. Just from a layman's perspective I want to understand if tomorrow since it's a stay, it's not a verdict that has been come out, that's given out by the Supreme Court. So tomorrow if Supreme Court comes up with a v erdict and says that the order or LOA that has to be canceled what happens in a case like that? Because I mean today you are showing us an order book of 3000 odd buses of which 2300 -2400 bus comes from one particular state or so to speak or one particular customer. So tomorrow even though I understand the future is potentially very large but what happens in a case so you have already supplied or you have already started supplying buses to BEST and the Supreme Court comes up and says on a worst - case basis th at okay you scrap the LOA then what happens in that case?

K.V. Pradeep: See, as far as the case is concerned there is no merit in the appeal of Tata Motors, number one. Number two yes definitely there is a possibility that Hon'ble Supreme Court may say no for it. Now we have supplied 10 buses and Supreme Court has permitted to supply the buses further. In case if something goes wrong, I don't think Supreme Court will say anything against the buses which have already been supplied. So having permitted by the Supreme Court there shall not be an issue for the buses that have already been supplied, point number one. Point number two, the order of the BEST is 2100 whereas we have another 1200 on hand orders. So, in addition to this 1200 buses, also another 1000 b uses tender are in pipeline. If it gets finalized in 2 -3 months'

time definitely there would be some continuation for the production. There will not be any inconvenience as far as production is concerned.
Punit Chokhani: In terms of the truck, I think las t quarter or the quarter before that you had mentioned that you will be in the liberty of talking about some partner that you were trying to tie up with for the

truck business. Has that been finalized or has those plans been changed? If you could give us a n update on that please?
K.V. Pradeep: We would like to mention that it is completely an in -house design of Olectra Greentech. In accordance to our design , we have developed in the tipper. So, we do not have any partners as far as tipper is concerned.
Punit Chokhani: So where do the batteries and stuff come from for the trucks, for the tippers?
K.V. Pradeep: Again, same batteries will get imported from China.
Punit Chokhani: So those don't come from BYD though that's is a separate company?
K.V. Pradeep: It's a separate company.
Punit Chokhani: Batteries?
K.V. Pradeep: Yes.
Punit Chokhani: And you are not in the liberty of mentioning who that company is, is what I was trying to ask?
K.V. Pradeep: Yes.
Punit Chokhani: And when can we start seeing some tract ion when it comes to orders or launch of this truck, this tipper business?
K.V. Pradeep: Probably 2 more months.
Moderator : We have the next question from the line of Rithvik Ram, a free -lance investor.
Rithvik Ram: Regarding the fundraising for the expan sion of the plan. Is another rights issue, are you looking at the option of doing a rights issue for the fundraising because previously Olectra had plans to do a rights issue but later Olectra was taken over by MEIL? So, is there any chance of a rights issue as a part of fundraising?
K.V. Pradeep: Yes, all the options are being examined by the board. I think coming months definitely we shall come up with a proposal of the fundraising. Probably one of the options may be rights issue.

Rithvik Ram: So, the fir st question is on the rights issue. Second question is on the expansion plans like by when will the annual capacity expand to 10,000 buses per year by, within how many years will the factory expand from? Are you looking a 2 -years plan or a 3 -years plan?
K.V. Pradeep: 2 years. First level we want to expand it for 5000, in next year 10,000.
Rithvik Ram: And you are looking at manufacturing e -tipper trucks 500 this financial year for MEIL?
K.V. Pradeep: Yes, this financial probably we will be planning around 500 number.
Rithvik Ram: And what will be the profit margin on the tipper trucks?
K.V. Pradeep: That we shall have to analyze since the commercial production has not yet been started.
Rithvik Ram: Because it will be outright sale, that's why?
K.V. Pradeep: Yes, of course outright.
Rithvik Ram: Any plans of developing our R&D center for manufacturing ba tteries in the near future?
K.V. Pradeep: No, we do not have any such idea.
Rithvik Ram: Because like most of the industries are more on self -reliant mode tha n procuring from China because all the Chinese companies are under clampdown from the ED. So, any plans of having a Non-Chinese vendor for batteries?
K.V. Pradeep: See as far as the bus manufacturing companies are concerned none of the OEMs are in a mood to establish the battery manufacturing facility. Same way Olectra is also not having any idea to develop any manufacturing facility.
Moderator : We have the next question from the line of Harish Kumar Gupta, an investor.
Harish Kumar Gupta: If I understood correctly, I think by June -July 2023 your capacity will be ready, 4000 -5000 buses and by June -July 2024, 10,000 buses capacity will be ready. So, do you have like targets that by when these full capacities can be utilized like in financial year '25 we can deliver more than 5000 buses or what are your internal targets?
K.V. Pradeep: By '23 July, June -August we are expecting 5000 number s capacity and '24 we shall be upgrading the facility to 10,000. Now by the year '24, FY24 definitely we are planning to make 5000 numbers in the new facility.
Harish Kumar Gupta: So basically, in financial year '24 we are planning to deliver around 5000

buses?

K.V. Pradeep: Correct.
Harish Kumar Gupta: In that case still operating margins will be in the range of 12% or we can e xpect a little bit higher numbers because of large capacities utilization?
Sharat Chandra : We are expecting 12% which is quite a reasonable margin for 5000 buses turnover. 12% margin will be a decent margin.
Moderator : Ladies and gentlemen that was the las t question and we will now close the question queue. I would now like to hand the floor back to Mr. Kapil Singh for closing comments. Please go ahead.
Kapil Singh: Thank you everyone from the management team and the investors for participating in this cal l. Sir do you have any closing comments?
K.V. Pradeep: Nice. It’s good to communicate with so many people and very good questions they have asked and I once again wish to confirm that Olectra is progressing very well and having 3300 numbers on hand. Defini tely during this financial year, we would like to deliver 1000 buses and also some of the tenders which are in pipeline once they are completed process, some more numbers get added to this. Probably the next coming financial years the order book goes up an d parallelly we shall also plan for the higher number of buses. Equally we are also making the new product development. Apart from the tipper we are also trying to make out some more new products, still the products are in a design stage. Olectra is going to be a very strong electric mobility company. So, this is the assurance from the Olectra’s side. Thank you very much for having the belief and trust on Olectra. Thank you very much.
Kapil Singh: Thank you Pradeep sir.
Moderator : Thank you members of the management and Mr. Singh. Ladies and gentlemen on behalf of Olectra Greentech Limited and Nomura that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2023

"Olectra Greentech Limited

Q3 FY '23 Earnings Conference Call "
January 30, 202 3

MANAGEMENT : MR. K. V. PRADEEP – CHAIRMAN AND MANAGING
DIRECTOR – OLECTRA GREENTECH LIMITED
MR. SHARAT CHANDRA – CHIEF FINANCIAL OFFICER
– OLECTRA GREENTECH LIMITED
MR. HANUMAN PRASAD – COMPANY SECRETARY AND
COMPLIANCE OFFICER – OLECTRA GREENTECH
LIMITED

MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL

Moderator: Ladies and gentlem en, good day, and welcome to the Q3 FY '23 Earnings Conference Call of Olectra Greentech Limited, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to M r. Nishit Jalan from Axis Capital. Thank you, and over to you, sir.
Nishit Jalan: Thank you. Good afternoon, everyone. Welcome to Q3 FY '23 Results Conference Call of Olectra Greentech. From the management team, we have with us Mr. K. V. Pradeep, Chairman and Managing Director, Mr. Sharat Chandra, Chief Financial Officer, and Mr. Hanuman P rasad, Company Secretary and Compliance Officer. I'll now hand over the call to Mr. Pradeep for his opening remarks. I think post which we can move to Q&A. Over to you, M r. Pradeep.
K.V. Pradeep: Good evening, everyone. I am Pradeep, Chairman and Managing Director of Olectra Greentech Limited . Thanks to all the participants. Thanks for joining. Now we are presenting the Q3 and nine-month performance of Olectra Greentech. We are very pleased to announce the results, which are the best , ever best in the history of Olectra Greentech and also the future of the company and the business is very -very promising. And we hope that the coming days, there will be much better results t han the results whatever we are presenting now.
Also, I would like to bring to your kind knowledge that. As of today, we have about 3,200 -plus order book. And consistently, the order book is increasing. And I shall promise on behalf of the Olectra Greente ch that in future, there will be tremendous amount of growth in the business. Equally, we'll be taking care of our investors' interest. Thank you very much.
Now Mr. Chandra, our CFO, will take out.
Sharat Chandra: Good evening, everyone. We are taking as read the presentation, which is put on our website along with the safe harbor statement thereon. I will begin with providing the key highlights for quarter 3 and nine -month financials. To start with the standalone r evenue from operations for quarter 3 went up by about 20% and stood at INR 248.6 crores as compared to INR 207.1 crores last year for the corresponding quarter.

The standalone PAT is also up by 4% at INR 13 crores versus INR 12.5 crores for the correspond ing quarter of last year. These numbers are primarily driven by the performance of electric segment where the volumes have shown positive impact growing by 38% from 103 electric buses delivered in last year to 142 buses delivered in the current year. We al so had a very decent performance from Insulator segment due to healthy operating margins, primarily from the export business.
Coming to the performance for the nine months period ended December 2 022, it is quite significant in terms of both top line and b ottom line and achieved highest ever nine months top

line and operating margins in absolute terms. For the nine months period ended December 2 022, on a standalone basis, the company has delivered 141% growth in revenue, 92% growth in EBITDA and 135% growth in PAT versus corresponding nine months of last year.
The nine-month P&L highlights are as follows: Our standalone revenues from operations ended at INR 766 crores versus INR 317.3 crores, an increase of 141% over last year, primarily driven by the elect ric bus segment, which has grown by 174% and followed by insulator segment, which also contributed to the growth by 16%.
Talking about the operating margins for nine months. The margins in Insulator segmen

t has
shown significant improvement due to design o ptimization and higher export sales, which contribute higher margins. However, overall, in value terms, increase in electric bus segment due to higher volumes, 422 buses versus 132 last year and higher operating income from bus operations. As far as EBITDA is concerned, we achieved significant growth over the last nine months, and in absolute terms, delivered EBITDA of almost INR 100 crores versus INR 52 crores last year, a growth of 92% and the margin stood at a healthy 13%.
The finance cost for the nine months have increased in line with the higher production volumes and sanction of new limits, which we have utilized. The net profit for the period stood at INR 42.9 crores versus INR 18.2 crores, showing a significant growth of INR 28.1 crores in terms of percentage, 135%, mainly driven by electrical bus segment.
On the tax line, the tax rate at 24% for the nine months was 36% in the last year. A word on the consolidated results. The revenue from operations have gone up by about 23% at INR 256.4 crores by INR 4 crores as compared to INR 282 crores last year corresponding quarter. The consolidated PAT for the quarter also is up by 21% at INR 15.3 crores versus INR 12.6 crores for the corresponding quarter of last year.
For the nine months period ended Decem ber 2 022, on a consolidated basis, delivered 122% growth in revenue and 124% growth in PAT versus corresponding nine months of last year.
Overall, the quarter 3 and nine months have been very good for Olectra with continued growth of revenue from operation s and profitability, and we believe that we are well placed and poised to deliver strong results for financial year 2022 -23. Thank you, and over to Axis team for Q&A.
Moderator: The first question is from the line of Rakesh from Axis Capital.
Rakesh: Cong rats on good set of numbers. Sir, my first question is that you last quarter said that there were some supply constraints that limited your production. So I mean this quarter has been better. So can you just elaborate on, how the supply side is looking now ? And what is the visibility you have over the next few quarters?
K.V. Pradeep: Yes, in the last call, we discussed that due to the issues that are cropped up in China, we could not import the cells which are required to make the batteries and that there were some supply chain disruptions in regard to that, with which we were not able to supply the required number of buses as per the plan. Subsequent to that, as we discussed in the earlier calls, we have taken

several actions to rectify the situation and a lso keeping the future in view, we have kept and maintained some stocks so as to co pe-up with the manufacturing plan. And accordingly , now having done that, we could able to sustain the plan what has been made earlier, and we have delivered almost the plan ned numbers in accordance to the schedule what has been given to the clients. So that's the improvement what has been made when compared to the earlier quarter .This quarter, the production is consistent and also the planning is improvised, keeping the earl ier experiences in view. And also the same number will definitely be continue d. And also, we are striving to improve the numbers further. Thank you.

Rakesh: My second question is, when you say that you have been delivering as per the schedule, I mean, is this the run rate you should be expecting over the next quarters and medium to short term? Or how much higher are you targeting? What targets are you building based on your supply ramp - up?
K.V. Pradeep: See, as you all know that we have planned to deliver around 650 to 700 buses during this particular year. In accordance to that, we are planning to complete the balance supply in Q4.
Rakesh: Sir, my second question is on your order book. You mentioned that it is aroun

d 3,200 -plus now,
right? So if I look a t the last quarter also to a similar number. So the order activity, how has that panned out in the last three months? And how is the pricing right now? And what competition are you seeing in the tendering, which is going on?
K.V. Pradeep: See a very good question. And I required to explain about the industry scenario. So, as far as the Order book is concerned, consistently, we are getting good number of orders, number one. Number two, past three months, wherever we have submitted our bids almost 60% of it, we are able to win. Number three, unless otherwise, there are established bottom line in accordance to our internal assessments, we will not be going for those orders at all.
In Some of the tender s, some of our competitors who have taken such an orders with a high amount of aggression subsequent to that they are neither able to supply, nor offering the same price for the coming tenders. So if you just examine Olectra is consistent in its way of working from the b eginning, we are very consistent in our approach. Without proper bottom line, we will not be going for any of the tenders. So that's the strategy of Olectra, number one.
You know very well that we are supplying the busses to Evey Trans , since they an oper ational arm of MEIL we are supplying the busses to them. And in accordance to the cost, whatever we are providing, they will be bidding for the project. So we keep Prescribed the bottom line in mind. And accordingly, we submit our offer to Evey Trans . So, hope I have clear ed all the question s.
Rakesh: But you could just talk more about a little how is the pricing environment right now for the bidding? Last year that there's very aggressive pricing by your peers, and that was leading to many more orders. So has this normalized volume you are seeing, how is it shaping up now for the incremental orders, which are coming?

K.V. Pradeep: You are talking about kilometer rate?
Rakesh: Yes, the per kilometers rate for the bidding...
K.V. Pradeep: Yes. It is like a year back, one of our competitors have offered very aggressive price. Subsequent to that, the other next tender, the other competitors started offering better prices. So the industry, now it is getting consolidated and everyone gets to kn ow that what the price needs to be offered, what are the operational difficulties? And what exactly the business is people would be able to understand the business model with which they are offering better prices than the earlier prices what have been offe red.
Now none of the OEM 's are aggressive, the prices that are being offered. point number one. Point number two, as you know very well that Olectra is in this business for the past 7 years with which we are way ahead when compared to any other OEM in thi s particular business -like manufacturing, also since we have 150 buses in our books, even operationally, we know what the concerns and how the business work s.
That way, we have very large experience when compared to any of our competitors. So, you may be k nowing that today, 1,000 plus buses that have been supplied by Olectra are on road. And our operations are very successful, very comfortable to the customers and also the upside of the buses that have been supplied by Olectra are intact in accordance to th e agreement conditions.
So, what I'm trying to bring to your kind knowledge is it is a good time that all the competitors are have rather increased the price than what is being offered. And as a whole, the industry is going in a very right way. Hope I'm c lear o ver the query, what has been raised by.
Rakesh: Sir, t hat is helpful. Although, if you can just give a little bit of quantification on how much is that bidding price increase is happening as per your latest know -how. And but my second question to this is, sir, what is yo

ur subsidies right now. How important these right now you
know these are end -to-end subsidy, is it happening? And by when do you expect this and that will be taken by state government?
K.V. Pradeep : As far as subsidies are concerned. Till now Government of India, the FAME subsidy what has been given, for various projects is on. But for the future projects. The Government of India is

encouraging to participate in the tender without subsidy. So, the subsidy eleme nt is no more involved in the business and future would be the same.
There may not be any subsidy part and the Government of India to act like a nodal agency to aggregate the requirements from various STU 's across the country, and they shall float the tender, then we should have to participate, and we shall have to offer the price without subsidy. And based upon the price part, whoever becomes lowest, they shall place the order, and accordingly we shall have to conclude the agreement with that particular ST U and we shall have to supply the buses and operate. That's the model of what is going to come up.

Moderator: The next question is from the line of K. Sudhakar Rao from Transp arent Securities.
K. Sudhakar Rao: My concern is, again, regarding the deliveries we have capacity of making 150 buses per month. And we started the year with a target of 1,200 plus. And it appears that will make less than 50% of that despite the last con call your clarified that the supply chain issues are out of the way, but the deliveries of this, not been so increasing this quarter also. What could be the reason? That's the No.1 regarding deliveries there. Number two, the recent CESL tenders including Telangana, you have not participated in a tender. Is it due to the same continuing supp ly chain issues or due to aggressive competition or financing issues of Evey Trans , that is a second point? Third is Puri bus, Mumbai, Pune that you were running as it may discontinue. These three points re garding deliveries, later on, I'll come to the other...
Sharat Chandra : And the first question regarding deliveries -- we have already mentioned last time in the last call that there has been a disruption in the supply chain. So that has caused the delay. So obviously, that impact is carried over. We lost about two months. So that impact was there into earlier part not only quarter 2 and earlier part of quarter 3. So that is the reason we have lost almost two months of deliveries.
That's the reason you are seeing 142 buses against 111 buses, which we delivered in quarter 2. So, hope you're clear on the first couple of points .
K.V. Pradeep Yes. as far as the tender of the CESL without subsidy, the very purpose of very serious reason what has been made us not to participate in the tender is there was a technical glitch in the tender, in the fag -end and for which we could not upload the bid number one. Number two, also you may be knowing that another 50,000 buses tenders are being floated by the nodal agency CE SL And since there are multiple tenders. But for those future tenders, we are getting prepared, and we are working on the other tenders, number one. Number two, as such, Evey Trans do not have any financial problem. But since there was a technical glitch in the system, the tender could not get approached. Evey Trans had submitted the bank guarantee of about INR 8.5 crores . But they could not upload the tender, as mentioned earlier. So, what is the third part of your question?
K. Sudhakar Rao: Puri bus
K.V. Pradeep : Puri Bus, we are not operating the Puri bus. It is being operated by Evey Trans . So Evey Trans is not operating the Puri bus and that they have shifted those buses to some other route, which they are working on .Since they have found some other route viable. They are shifting those buses to another route.
K. Sudhakar Rao: And these o

rders from Nashik and Madhya Pradesh, tha t were showing in your earlier PPT, they are not featuring now. Are they cancel or on hold?
K.V. Pradeep : No, they are on hold.. See, we have LOA, but the agreement process has not yet been completed. Since the agreement has not been signed yet. We are not showing them as our order book as of today. The other reason is almost 2.5 years back, we have submitted the rates and we have taken

the LOA . Today the prices what have been agreed on that day and today's bus prices are much higher. So, we do not wish to go at that rate for that reason. We are not showing those orders as on hand at this time.
K. Sudhakar Rao: My next question is regarding the e -tipper. We were expecting the homologation certification long back. In fact, in the last con call, you had said it will take about 10, 15 days. Has it not come yet? And what would the reason are they suggesting any design changes or anything because you must be aware that BYD has already started marketing and delivering of etrucks in India. With any further delays that could be losing on the market share also maybe that's for more concern.

K.V. Pradeep : Excellent question. Very good question. Very opt question. Point number one, your first part of your question is about the homolo gation. See as far as the e-tipper is concern ed, the homologation is completed in all respects . But unfortunately, two months back, government of India has revised their regulation for the battery manufacturing. A new regulation, the serial number of 0308 has been introduced by government of India, which is a revision to the existing regulation.
So with that, all the manufacturers required to revise their battery to the new regulation being we are operating with the CATL battery, which is the world's larges t battery since they do not have any approvals earlier, it has taken a little more time and rather it is taking a little more time. And what the revised schedule is on Feb 15th, we are programming to complete the 0308 -battery homologation with which the en tire homologation will be completed.
And once this 0308 certificate is issued, we shall be launching the vehicle for. We'll be going for the commercial launch. So that's the delay, what has made us to hold the launch. Part 2 of your question is BYD truck. It is not B YD truck. BYD do not have any truck. It is a tra iler, which is used for specific purposes and what we have developed is a tipper, tipper is being a very purpose of the tipper is, it gets used in the construction projects and mines, that is the v ery purpose of the tipper what has been developed by Olectra, and we are aiming to complete the whole process. Within this month of Feb, that's the revised target. Hope I've answered both your point.
K. Sudhakar Rao: One more final question. Regarding the funding for new unit. In the last con call, you said that we will take about one year from the date of financing the funds for starting the new unit -- it appears you have not yet done actually, we are expecting in the month of November itself. The preferential issue is still not done in it.
I don't know the reason, but we may be missing market opportunity, again, here also .Are you having any plan B, alternate plans, the funding is not taking place at a proper rate like the promoter increasing the s take and the balance by way of term loans or anything that will also ensure that there's no equity dilution.
Sharat Chandra : To answer your question, yes, you're right. We were planning to launch in end November, early December. So we are ready with the d ocument. We are actually as approved by our Board and

shareholders . We are proposing to raise funds by way of QIP, private placement. And followed by that, we will go to the promoter. So as far a

s the process is concerned, we are just in the launch mode be cause of the market condition, it got deferred. Now we are ready now and to be at appropriate time, very shortly, we are going to come out and launch.
Moderator: The next question is from the line of Rohit Bahirwani from Vijit Global Securities.
Rohit B ahirwani: Thank you so much for giving me the opportunity. I have 2, 3 questions. My first question is the target of company for this financial year was 1,000 buses. And earlier answering to a question, you've stated that you are planning to sell 700 buses . So have you revised your target? And what are the reasons for that?
K.V. Pradeep : Yes, you are right. We have initially targeted for 1,000 buses as we explained to the earlier question. So the second quarter and early third quarter got seriously impacted with the supply chain management, with which we have revised the target to 700 buses. And accordingly, we are working on it.
Rohit Bahirwani: So that means you have to sell around 250 buses to 300 buses in this quarter. Am I right?
K.V. Pradeep : Yes.
Rohit Bahirwani: So my next question is with respect t o CESL orders, the government tenders. So are they based on fixed quoted price? Or is there any pass on clause ? Like, for example, if the input price of buses goes up, what are the pass on clause , right? If the prices are fixed or we can change on a variable basis
K.V. Pradeep : It is purely fixed cost. You will not have any flexibility, but only a price variation clause for the price variation clause of 1% from year 3 would be there. But as far as o ur cost, capital cost is concerned, there will not be any variation in the price being off ered.
Rohit Bahirwani: So the prices are fixed at the time of given tenders, given the bids. And no further change are made further?
K.V. Pradeep : No
Rohit Bahirwani: My next question is with respect to realization per e -bus. If we see the realization, it was around INR 1.8 crores in quarter 4 of financial year '22, which declined to INR 1.5 crores in first quarter of this financial year. And now looking at t his quarter, it is somewhere around INR 1.6 crores . So why is realization so fluctuating in nature. Can we expect a band around INR 1.5 crores to 1.8 crores in future?

Sharat Chandra : Yes, please . To answer your question basically, it is not apple -to-apple comparison because of the sales mix, the average realization is different. So if you sell more of 12 metres and less of 9 meters, the average realization will be more. So as per the order execution, the deliveries are different for all the three quarters what you have mentioned. And going forward, again, based

on the sales mix, the average realization is going to be in the band of INR 1.3 crores to INR 1.8 crores .
Rohit Bahirwani: And out of the 142 buses, can you just bifurcate what percentage are 9 mete rs and what percentage are 12 -meter buses?
Sharat Chandra : It is majorly it is nine meters...
Rohit Bahirwani: Any quantitative numbers on that... like more than %
Sharat Chandra : About 90% is about 9 meters.
Moderator: The next question is from the line of Anil an Individual Investor.
Anil: Sir, I'm listening to this call very deeply. And I'm saying that we could find so many reasons for not bidding the new tenders like aggressive bidding or sometimes we have not even participated. And unless we are participating how we'll know whether they are aggressive in terms of volume or price margin. And wherever we have got the tenders, we are not able to sign the agreements. I'm seeing that there is a, knowingly there is an effort to delay the delivery of th e buses. And there is a delay also in building up the capacity. You know very well that electric vehicle industry is moving very fast, and we have to expand the capacity at least by 5x from what we h

ave today.
We can today supply only 1200 buses a year, wh ereas we should be ready by this 5,000 buses a year.
And all these questions, what we are raising and we're asking all these other shareholders and stakeholders. If you can give us a clear -cut answer, when you're going to complete the capacity expansion wi thin what time you look forward to complete this expansion of 5,000 buses per year capacity.
I think that will help us in understanding that, yes, you are strong enough, you can visualize the industry going ahead. You are strong about your own plans of del ivering the buses here and there, but you are there on track. Can you please confirm when you're going to make sure that the factory is in place, and we are having a capacity of 5,000 buses per year at the earliest?
K.V. Pradeep : Yes, yes. Please go on.
Anil: Sir, I'll repeat my question. What I was asking is that we have some issues where we are not able to supply the buses on time sometimes. And then we have reasons for where we are not bidding the tenders. They're not at all participating itself. Some times we are bidding, but we are not aggressive enough. But having said all these things, I think these are part and parcel of our business.
But we would like to know that what is your final plan of expanding the capacity from 1,200 buses a year to 5,000 b uses a year -- because the industry is growing very fast, it's growing 10x every year. And if we don't have this capacity in place, we'll be losing a significant amount of

market share. And all these questions can be answered if you can confirm all of us, when by when you are going to have the factory in place with a capacity at 5,000 buses a year?
K.V. Pradeep : Let me refer to your question. Your question number one is, we are not able to bid for the project which are not viable Yes, by all me ans probably…
Anil: No, I am saying that is actually part and parcel of business. You can say it is not viable, sometimes supply chain issues. But what I'm saying is that if you can reply to us in a very firm manner, when you are going to have a capacity of 5,000 bus p er year in place of 1,200 bus per year. That suggests that how confident you are about the going -forward view of the industry and the company roadmap?
K.V. Pradeep : I got your questions. If you allow me, I can speak.
Anil: Yes, please.
K.V. Pradeep : Point number one, yes, we are very much cautious about the price part , the rates which were offered by one of the very leading OEM, who has offered almost a year back. Probably you must have noticed that they have not supplied even a single bus in the past one year, one year's time.
So if you see Olectra is the company, which is delivering the buses on regular basis, no other

OEM in the country is delivering the buses on par with Olectra.
Probably some of the small OEMs in particular month or quarter, they must have supplied. But consistently, Olectra is the only company, which is supplying the buses. In a big number. It is the proof of our commitment and the economic viability, what I was explaining in the initial call Olectra has noticed this very early. And in accordance to that, we are proposing the cost metrics. Unless this cost unless the price is workable, we will not be participating in that particular tender, nor we will be acceptin g for the reduced prices.
As far as Olectra is concerned, we are very, very cautious about the interest of the investors. We cannot ignore the interest of the investors, and we cannot for the sake of business. We do not wish to negotiate on the bottom lin e, part 1. Part 2, you are right , that when we are doing 700 buses, why do we require to have 5,000 capacities. Your question is very opt. But the answer to that is, you know very well that we have 3,200plus numbers of orders.
And since we need to ramp up and also there are anot

her 50,000 numbers, other future tenders
that are going to get floated. So we are preparing ourselves for the future business. And till now, we are manufacturing only buses. And as you know that since we have started, we have almost homologated the tipper, which we are thinking that it will get completed in the month of February.
From the March, we shall have to deliver at least 200 numbers every month, that's the plan and its 200 number is going to get increased. Next financial year, this 200 will definitely go up to 500. This is the plan what Olectra has for which the infrastructural arrangement must be in place. In accordance to that, we are working on the infrastructure that is required for reaching out to

these 5,000 numbers. The other point of your question is when this facility will be available, I am assuring that by Jan 24, we shall be starting the production in the new facility. Hope I have answered all your questions.
Anil: Sir. I'm very happy that you have confirmed in a ve ry positive note saying that by January 2024, you'll be starting the production from the new facility. I'm very happy to hear this. Thank you very much.
K.V. Pradeep : Thank you...
Anil And I have one more question, sir. So you know that electric vehicle is a very dynamic and upcoming industry and a lot of technological changes. There's a lot of financial challenges will keep coming in this industry. And I feel that you are being left alone. And unless and until you are well supported by an active promote r who is also willing to speak to shareholders at the same time, you are well supported by Chief Executive Officer, Chief Operating Officer, Chief Technical Officer, Chief Marketing Officer, you need a bit for a formidable team. I think that Olectra, if t he proper team supports you, we can continue our journey from INR 4,000 crores valuation to INR 40,000 crores company in the next two, three years. So what's your plan to have these key team members with you on board? And what's the plan of promoter to als o speak to the shareholders directly sometime?
K.V. Pradeep : See, as you know very well that Olectra is a professionally run organization. The best out of best team is in place as far as Olectra is concerned. Number three, about the promoters, probably you may be knowing that promoters are Megha Engineering and Infrastructures Limited group. And it is the second largest infra company in the country. Next to L&T , they are the largest group in infra -sector.
They are very strong, and they are very supportive. As far as financial support and the other things, whatever required for the organization, the promoters are very much extending. And in regard to the other question of participating in a call with the inv estors, we shall have to explore and examine the limitation. And accordingly if regulations permit, definitely would love to do that.
Anil: And my question was what do you think about bringing Chief Marketing Officer, Chief Technical Officer because techno logy-wise, this industry is very challenging, and sales and marketing also is a very big part to play in this industry, being an upcoming industry. Why don't you think that these key kind of key management people with you.
We know that you are doing an exc ellent job. We know that CFO is also doing very excellent. The current team is excellent. What I'm saying is that why don't you think that if you get a proper support from again, well excellent team of CEO, CTO, CMO that will also help us in growing from current position to the 10x from here?
K.V. Pradeep : Let me answer to your question. We have a very strong team as far as the technical team is concerned. We have a very strong R&D team comprising of 50 -plus engineers in place. We have

very experienced pe ople, wh

o are heading the R&D team and also very senior person, who is
heading the entire R&D and production as far as sales and marketing is concerned, we have
strong teams in place. Probably these inputs may not be available with you, but strong teams f or
R&D as well as for sales are very much in place.
Anil: And we would like to hear from the promoter as well. And he is the number two person as far
as infrastructure industry is concerned. And once our promoters credibility is so high, it should
be also brought in front of the investors and shareholders and common shareholders like us.
We'll be happy to talk to him.
Moderator: The next question is from the line of Sandeep from Maverick Fintech LLP.
Sandeep: Good afternoon, sir. Thanks for the nice set of results, sir. My question is regarding the orders
with BEST, that Mumbai Municipality,what is the status of that order. And that order is included
in this 3,200 buses order and what is the status in Supreme Court…?
K.V. Pradeep : As far as the 3,200 nu mbers, that is for the Bombay Municipality, the customer is BEST. And it
is in Supreme Court, as you mentioned and Supreme Court has given a clear direction. It is on
say, Supreme Court has given clear direction to go ahead with the business and to supply the
buses. So that's the current situation and since Supreme Court has allowed us to continue the
business. We are very comfortable and we are supplying the bus.
Sandeep: So how many buses are supplied till now from this 2,500 buses order?
K.V. Pradeep : It is 2,100 and about 25 buses or so, we have supplied till date.
Sandeep: So from today, after the sharing and whatever the judgment comes on this order. So when -- as
it is cleared, as you have told me, so we are going to have the regular supply to the BEST
Municipality from now onwards?
Hanuman Prasad : Mr. Sandip adding to our CMD, sir , basically, Bombay High Court given a stay against giving
an order to E vey. Against that s tay, Supreme Court has given clear direction. You can proceed
to go for supply of buses, whereas final clearance is yet to happen.
Sandeep: That's what I'm asking. Do you then this case goes into Supreme Court. The Supreme Court
asked that Evey Trans that you can go ahead with this order on your risk. Further, it can be
cancelled or whatever, it is modified. This is the order which comes when you go into the
Supreme Court. For that, there is a hearing and I think today or within a few days, there is a
hearing is going on. So what is the f inal outcome of that Supreme Court case?
Hanuman Prasad : It is a matter is sub -judic e, we can't predict and say something. After hearing the arguments of
the both parties , they have given clearance for going ahead for the supply at your risk, as you
mentioned. But any how for final outcome, we have to wait and see , at appropriate time, we
will disclose as per the applicable regulation s.

Moderator: Ladies and gentlemen, this was the last question for today. I would now like to hand the
conference over to the management for closing comments.
K.V. Pradeep : So closing -- is there any question or closing comments.
Moderator: Closing comments, sir.
K.V. Pradeep : Thank you very much to all the participants. We are very happy to interact with you. And also,
we would like to once again, we would like to assure you that we are striving hard to keep up
the interest of the investors and also Olectra is doi ng pretty well. And when you get into the
details of the buses of the numbers that have been supplied by various OEMs, probably you may
be knowing that Olectra is consistently supplying the buses to various STUs.
And compared to any other OEM, the consiste ncy of Olectra is very high. And also the
performance, you may please the investors, I request all the investors since you are all very
interested and ve

ry keen on this business. I request all the investors to have to understand about
the operational stren gth of your company, for which what I suggest is you all have to examine
the performance of the EVs of other OEM and compare that performance level with your
product, and you understand, then you will get to know what the strength of Olectra.
So your organ ization is in very, very strong position. And the organization is developing several
new products. And also we are striving to make this organization one of the best OEMs. And
also, I would like to bring to your knowledge that last week, we have organized one vendor meet

with various vendors who are supplying various parts to the organization, they were all 200 - plus vendors have attended to the meeting. They were all really surprised to get to understand about the Olectra's performance. And also, they are all very keen to get associated with the organization for a long term.

And also, they are all saying that the way Olectra is working, is very professional and compared to any other OEM, the way the Olectra is insisting for the quality aspects and for the price part, they're all very, very happy with the involvement and inclusiveness of Olectra. So what I'm trying to bring to your kind knowledge is, your organization is performing very well, and it is reaching to the next level. So thank you very much. Tha nks for attending to the call. We are happy to get connected to all of you. Thank you very much.

Moderator: Thank you. On behalf of Axis Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

"Olectra Greentech Limited Q4-FY23 Investor
Conference Call"

May 9, 202 3

MANAGEMENT : MR. SHARAT CHANDRA -- CHIEF FINANCIAL OFFICER ,
OLECTRA GREENTECH LIMITED
MODERATOR : MR. RAKESH JAIN – AXIS CAPITAL LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Olectra Greentech Q4 FY23 Investor Conference Call hosted by Axis Capital Limited .

As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask quest ions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rakesh Jain from Axis Capital. Thank you, and over to you, sir.

Rakesh Jain : Yes. H i. Thanks, Aman. Welcome everybody to Olectra Greentech Q4 FY23 Con Call Invite . Today, we have from the Management , Mr. K.V. Pradeep – the Chairman and Managing Director; Mr. Sharat Chandra – Chief Financial Officer; and Hanuman Prasad, Company Secretary and Compliance Officer .

I'll now hand over the call to the Management for their opening remarks, which will be followed by Q&A session. So, over to you, Mr. Shara t. Please go ahead.

Sharat Chandra : Good evening, everyone. Apologies , CMD, Mr. K.V. Pradeep due to emergency is not able to join the call. So, let me actually give an introduction and brief highlights of the financials.

Thank you all for joining in for the Earnings Call for Quarter 4 and full -year results today.

We are pleased to report strong growth in both our standalone and consolidated revenue and profitability for the year ended March 31, 2023. Although there continues to be a supply chain and the macro risks, our focus continues on increasing our manufacturing capacity and enhancing our technology capabilities. This has helped us to maintain our leadership position in the electric vehicle segment and we intend to be the ma rket leader in EV segment.

In just 5 years since the delivery of first bus, Olectra has established itself as the leading E -bus OEM and now firmly looking ahead for a bigger vision. We have delivered over 1,100 plus electric buses till 31st March 2023. Our business model has moved a long way in the last six years and proven profitable to the end customers. It has changed from a demand constrain t to a supply constrain t, and we are seeing the demand for the electric buses to be exploding.

As you are aware, ou r Company has evolved from being part of a little known business enterprise in 2017 to be now part of MEIL, which is one of the India's largest infra and engineering Company with more than 30 years of industry experience with a turnover of $3.4 billion and it is an AA rated Company .

Our order book, as we stand as on 31st March after delivering 563 electric buses is at 3,394. We are pleased to share our shareholders that our Company received the CMVR and Homologation certificate and started to sell electric tippers in Quarter 4 , and we are the first Company to register

and sell E -tippers in the country. We remain committed to contributing towards the clean mobility agenda of the country and look forward to a strong growth trajectory in the coming years.
I would like to now give a detailed presentation on the financials :
Our Company has achieved excellent growth in Quarter 4 and full year. And the key highlights for Quarter 4 and full year standalone financials is as follows. Our revenue for Quarter 4 is at Rs. 368.4 crores as against Rs. 268.1 crores, up by 37.4%. Our EBITDA for Quarter 4 is at Rs. 48.82 crores as against Rs. 34.2 crores, up by 42.71%.
Our PAT for Quarter 4 is at Rs. 27.81 crores as against Rs. 17.47 crores in corresponding quarter of last y ear, up by 59.2%. These numbers are primarily driven by the performance of electric bus segment where the volumes have grown by 24%. We have done about 158 electric vehicles, which includes 17 E -tippers in Quarter 4 as against 12

7 electric buses delivered in corresponding
Quarter 4 of last year.
We are pleased to inform our shareholders that during Quarter 4 , we have added 3 more new customers to the portfolio. The new customers are KSRTC, which is India's largest STU, MSRTC and Thane Municipal Corporation and by delivering intercity and city electric buses.
In the current quarter, MEIL has donated about 10 Olectra buses for TTD replacing the existing diesel buses for pilgrim's transport in Tirumala Hills. We also had a positive contribution from insulator segment in Quarter 4 , due to significant improvement in operating margins, primarily driven by the export business.
Coming to the full year performance :
The Company has been s urpassing the record year -on-year with new highs achieved in financial year '22, '23 in terms of both top line and bottom -line growth. We have crossed a milestone of Rs. 1000 crore plus revenue. The revenue growth is primarily driven by the electric vehicl e segment, which has grown by 94% from Rs. 585.43 crores to Rs. 1,134.41 crores for the full year. The EBITDA stood at Rs. 148.63 crores as against Rs. 86.19 crores, up by 72.4% with healthy EBITDA margin of 13%. The PAT for the Company stood at Rs. 70.7 c rores versus Rs. 35.7 crores, up by 98%.
The operating margins have been very good both in insulators segment and electric bus segment. The net profit, as I mentioned, has grown by 98%. On the tax line, the tax rate is 2 2% in the current year versus 31% in the last year.
A word on the consolidated results :
The Company again achieved excellent growth in Quarter 4 and 12 months. The key highlights are revenue for the full year is Rs. 1,090.76 crores versus Rs. 593.26 crores, a growth of 84%.

The EBITDA on a c onsolidated number is at Rs. 153.97 crores versus Rs. 90.9 crores, up by 69%. The PAT is at Rs. 65.59 crores versus Rs.35.35 crs, up 86% in last year.
So, overall, the Quarter 4 and full year has been very good for Olectra in both standalone and consolidat ed with continued growth of revenue and operations and profitability. We believe that we are well placed and poised to deliver strong results in financial year '23 - '24. Thank you, all the shareholders and to all the stakeholders who have been very support ive and reposed trust in our Company .
Over to Axis team for the Q&A.
Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Nishid Shah from Ambika Fincap. Please go ahead.
Nishid Shah : Thanks for taking my question and congratulations on a good set of numbers. My question is on the details of the expansion that is the by when do we expect to have the capacity of 5,000 buses?
And my second question is on the car. Since w e have a tie -up with BYD on the buses and I think the BYD cars are being imported, CKD into India and they are being sold by the Landmark showrooms, but are we going to participate and partner with BYD in terms of manufacturing cars in India? These are the two questions right now.
Sharat Chandra : Regarding your first question on the expansion, right, we are very much committed to establish the Greenfield facility and the documentation process is completed. We are looking for the best opportunity to raise th e funds and exploring various options. We have floated tenders for establishing the facility and soon we will appoint the vendor for construction of the plant. We are expecting to shift to the new facility in Quarter 4 of the current financial year.
And co ming to the second question on the cars. As of now, Company is focused on the existing business of electric buses. And we have entered into the new product portfolio of electric tippers and we are focusing on introducing new models, new product line in ele ctric tippers as well as

buses.
Nishid Shah : So, on the fundraising, a

re we having any plan, or we don't need the funds because I was told
that the parent, Megha Infrastructure, may pump in money and you may not need to do
fundraising exercises?
Sharat Chandra : There is no change in plans for fundraising. We have an enabling resolution. The market
conditions were not conducive and once the market condition improves, we are all set to go
ahead with the fund -raising plans and we are exploring various optio ns. We'll keep the investors
updated on any progress on this matter.
Nishid Shah : Thank you, for taking my questions. I'll come back in the queue.

Moderator : The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Ber a: Sir, first question is on the volume side. So, can you just share how much will be the order book
we have now for the electric buses for the next year? And any numbers you plan to produce to
cater to this demand?
Siddhartha Bera : So, I was asking about your plan to what will be your production target for the next year in FY
'24 and '25.
Sharat Chandra : Regarding the order book, first question, we have order book of 3394 buses on hand as on 31st
March 2023, after delivering 563 electric buses. And as well as the plans for the next year, we
are targeting a growth of about 2.5 to 3x to the current number, approximately about 1,200 to
2,500 electric buses/tippers.
Siddhartha Bera : On the tipper side, sir, we have already delivered a few in the last month. How do you look at
the ramp up? I mean, earlier you targeted about doing 200 units per month in some time. So,
how do you see the ramp up going ahead of the electric tipper set?
Sharat Chandra : Currently, we have an order for 20 tippers. Against that, we have delivered about 17 tippers. We
are expecting very good response. Our trials have been very, very successful. And as I told you,
the overall volume we are expecting including tippers could be in the region of 1,200 to 1,500
this year. And we are expecting some orders very soon.
Siddhartha Bera : And this quarter, we would have delivered how many electric buses and tippers in Q4?
Sharat Chandra : In Q4, we delivered 141 electric buses and 17 electric tippers.
Siddhartha Bera : Second question is, sir, are on th e balance sheet side. So, if I look at our inventory days or say
the receivable days, it still remains quite high, I mean we have doubled this year versus last year.
But if I look at the inventory receivable days, they still are pretty high like about 230 days as per
my calculation and even the inventory days have also gone up from 47 to 50 days. So, do you
think I mean, these levels will continue as we scale up or should we expect some normalization
how to think about this and why it is on the higher side.
Sharat Chandra : See, basically, the average receivables period has come down compared to quarter 3 ending. The
overall net working days is about 99. It is reduced and the collection period we are expecting the
collection period to be about 3 to 3.5 months. And this is going to get corrected in next 2 to 3
quarters. And as far as inventory is concerned, we have currently only 2 months of stock. As we
ramp up the production, we are likely to increase the inventory days.
Siddhartha Bera : So, you're say ing a collection period of 3 to 3.5 months will continue even as we scale up to say,
1,500 or 2,000 in the next few years?

Sharat Chandra : As of now, yes. Maybe in 2 or 3 quarters, we are likely to see some improvement. But overall,
our networking days is expected to be around 3 to 3.5 months.
Moderator : The next question is from the line of Rakesh Jain from Axis Capital. Please go ahead.
Rakesh Jain : Sir, my first question is regarding, how are you seeing the orders flows and trends playing out
in the bus segment? There's some bit of concer

ns around, what the FAME subsidy is going to
look like over the next few years, right? And for some segments, there's even talk of cutting on
the subsidy. And have you seen any sort of concerns of where government is aski ng for
additional clarity on the parts you are supplying or the component or the localization you are
doing right now. And how are you seeing next 1 year from the government there because we
read that some of the articles saying that the bidders are not wi lling to bid at for some of the
orders recently by CESL due to the pricing difference and the compliance issues. So, what are
you seeing on ground? I mean, exactly what's happening?
Sharat Chandra : As far as the orders in pipeline is concerned, about almos t 10,000 buses are in various stages of
tendering. One of the biggest order is MSRTC, 5,150 buses where we have submitted our bids.

And as far as the FAME subsidy is concerned, I think we have spoken earlier, the new tenders or bids are going to be without subsidies, that is the intention of the government because the FAME subsidy is going to end by 2024. So, where the FAME -II subsidy was earmarked for about 7,090 electric buses. So, once that is completed, the FAME -II subsidy program will be completed, and all the new tenders will be without any FAME subsidy.

Rakesh Jain : So, how does it change the pricing on overall basis when you apply for b ids now, given that subsidy will no more be applicable? And do you see that impacting volumes to an extent?

Sharat Chandra : See, currently, the average cost per kilometer for any STU pan India is about almost Rs. 150 per kilometer. With FAME subsidy, the average cost, let us say, is Rs. 50. There is a huge differential between the average CPK currently versus th e electric bus. Now, when the subsidy component is no longer there, the cost is likely to go up. But even if you assume that from Rs. 50, it goes up to Rs. 100, still there's a huge gap between the average cost per kilometer of an STU versus the electric b us. So, it is highly remunerative for the S TUs to continue to go for electric buses.

Rakesh Jain : So, I mean, given that the pricing is going to go up and even where the funding will be largely now if it comes, it has to come from the state side and the ce ntral will largely not provide any more support when these orders are being laid out. Is that correct understanding?

Sharat Chandra : See, basically, some of the states like for example, state of Maharashtra has been very progressive in terms of bringing th eir own state subsidies like for example from the Pune S mart City Corpus.

Moderator : Ladies and gentlemen, thank you for patiently waiting, we have the management line reconnected. Over to you, Rakesh, you can please repeat the question.

Rakesh Jain : So, I think my question was partly addressed.

Moderator : We will move to our next question in this case, that is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani : I just had the follow up on this FAME thing. You mentione d that incrementally most tenders would come without the FAME subsidy being factored. Have you seen any change in terms of the way now the bidding is happening given that incentive is not available? So, how should we think about the bidding or the pricing scenario as subsides sort of go away? Also on the subsidies, I mean, whatever government has so far funded, what are the conditions like I mean, is it localization? Is there anything else that they are enforcing to be able to get that incentives?

Sharat Ch andra : Answering your first question, the CESL new tenders, the rates have increased compared to the first tender which was floated in the beginning by CESL, and the participation has been quite good, and we are expecting the bid rates to definitely go up by Rs. 15, Rs. 20 against FAME, right, in the new tenders. A

nd as far as the subsidy is concerned, yes, as per the FAME regulations, one of the key requirement is complying with the localization norms. And subject to the localization norms, the other requi rement is providing bank guarantee for releasing the subsidy.

Gunjan Prithyani : On this pricing which you mentioned that it is the new CESL bi ds. If I recall correctly, the last one was somewhere around 50. I'm not sure. Maybe if you can just give an idea of what it was in these initial contract and now, where it is?

Sharat Chandra : See, initial contract, as actually though it was won by a competitor, till date, nothing has progressed on this contract. It was at very, very low at about Rs. 43 to Rs. 45 rupe es per kilometer, right? Against that, the new contracts are significantly better off. It's about 60 plus. And the other aspect is the adoption is really picking up of electric buses and like the ecosystem is getting created. So, without subsidy also it is remunerative for the S TU’s to go for electric buses. And for other new contracts, the competitor has not bid for the new contracts. That’s for your kind information.

Gunjan Prithyani : So, who are the participants in the new CESL, I mean, who won?

Sharat Chandra : The new CESL contracts are basically now it is coming up, actually recent program got deferred. Just to give a clarity, again, I think first bid was won by Tata Motors. And later it got distributed between 2 parties. The second CESL was bid by 4 d ifferent companies and it is split between 4 companies.

Gunjan Prithyani : And the rates are higher, okay. The other question that of course, the demand as you mentioned has been very, very strong, and there's clearly a big government push on E -bus adoption . But often supply chain is the biggest issue that most companies talk of. So, where are we on supply chain now, in terms of the battery tie -ups, motors, whatever be the ecosystem, I mean, how is

that progressing? And the financing is also something which has been a constraint. So, if you

can just share some thoughts on how is the ecosystem developing around these 2 things?
Sharat Chandra : See, supply chain concerns, as you rightly said, has been one of the issues in the industry. So, basically, as you're a ware, all the OEMs have to depend on imports for battery cells and some of the powertrain components. So, other than that, most of the components are localized in India. So far as the supply chain constraints, we are in a better position now compared to qu arter 2 and quarter 3. And what was the second part of the question?
Gunjan Prithyani : Financing?
Sharat Chandra : Financing, as you rightly said, in the initial years, it was very, very difficult for the lenders to come in. Now because of the model concess ioner agreement and because of the process, which are favorable to the lenders, a lot of lenders have come forward and financing the electric vehicle segment. And, in our own case, we have sanctions by about 4 to 5 finance institutions, which includes Stat e Bank of India, Yes Bank, Karnataka Bank , Bank of India, REC. These are the major lenders which are financing the operating Company which is an associate Company . As you're aware, the business model which is prevalent is the GCC model, wherein Olectra is the OEM. We manufacture and sell the buses and take care of the after -sale service.
Gunjan Prithyani : Just last question from my side. Are you seeing any activity pick up on the private side like schools and, other corporates on the E -buses?
Sharat Chandra : Yes, it is the picking up. Actually, the traction is yet to happen, but definitely it is picking up. Because of their balance sheet size is low, they were not financial sanctions, it was delaying, but for your kind information, we got first private orde r and we are delivering buses for intercity operations. And this player is kn

own as Fresh Bus and we have an order of about 19 buses from them, and they're going to operate between Bangalore and Tirupati.
Moderator : The next question is from the line of Di vya Daga from Vijit Global Securities Private Limited. Please go ahead.
Rohit Bahirwani : Rohit Bahirwani this side from Vijit Global Securities. My question was regarding latest announcement of hydrogen bus. When are you expecting it to be operationalized and what is the pricing difference between hydrogen and E -bus?
Sharat Chandra : As of now, I think the status quo remains, okay. We have successfully developed first proto and it is under testing. So, as the hydrogen technology is nascent, it will take some time.
Rohit Bahirwani : Thank you, and I wish you the best for coming quarters.
Moderator : The next question is on the line of Siddharth Agarwal driven from Systematix. Please go ahead.

Siddharth Agarwal: I must say congratulations on a very good set of nu mbers. I've been following your Company for the last 5 years and performance has been improving quarter -on-quarter. Sir, a couple of questions. Firstly, what is the difference in margin profile of your buses and your tippers? So, you want to take one by on e?
Sharat Chandra : See, basically, we would like to specify our margin guidelines though we have earned good EBITDA margins about 13% overall in terms of very high volumes it would be in the range of 10%-12%. See, tippers will be slightly better because th is is going to be non -STU business.
Siddharth Agarwal: How much will it be?
Sharat Chandra : Definitely, I would not like to reveal on the margin difference, definitely it is better than the buses.
Siddharth Agarwal: So, when we see segment results, so we see just 17 buses and around Rs. 2.5 crores PBIT. So, that is leading into this question. Sir, no problem, we will wait for more sales to happen. So, right now, when we talk of 1200 buses plus tippers, so what are we expe cting in June quarter? How many tippers to be delivered since we’re almost mid of May? And I don’t think your business is skewed towards the end of the quarter, it's a normalized business. So, what kind of delivery are you talking about in June quarter?
Sharat Chandra : So, as of now, I think we will not be able to give the exact number because we are expecting the order very shortly. But overall, I think we are expecting to do about 200 numbers.
Siddharth Agarwal: 200 in Q1?
Sharat Chandra : Yes. 200 both bu ses and tippers together.
Siddharth Agarwal: And sir, which was t his Company you said where you got the first private order going to run between Bangalore and Tirupati?
Sharat Chandra : It is Fresh Bus.
Siddharth Agarwal: Fresh, F -R-E-S-H B-U-S?
Sharat Chandra : F-R-E-S-H, yes.
Siddharth Agarwal: Fresh Bus, so it’s a private Company , okay, fine.
Sharat Chandra : It's a private Company , yes.
Siddharth Agarwal: So, it's not on the FAME -II subsidy?
Sharat Chandra : It is not on FAME -II, it is the intercity ope ration. It is totally non -FAME.

Siddharth Agarwal: So, do you disclose what kind of rates are there?
Sharat Chandra : What exactly is you are looking at? Selling price?
Siddharth Agarwal: No, you are going to run for them or you are selling it to them?
Shar at Chandra : No, see basically, they are buying outright and some of the buses are again, it will on a hiring basis. As far as Olectra is concerned, we are making outright sale.
Siddharth Agarwal: Okay. EV trans and all those things are not involved in this . Okay. And what will be the ASP of these buses, average selling price of these buses and the margin profile, sir?
Sharat Chandra : So, as of now, it's a very new order. We will not be able to reveal the pricing, but definitely it is with a decent margin.
Siddharth Agarwal: I have full

faith in you that you will be doing the best margin possible since it's a non -fame thing. Sir, tell me one thing. When you mentioned about the new CESL tender, so we had heard in the third tender nobody participated. I am just talking about newspaper article, I don't know whether it is true or not. So, what, CESL is going to reframe the tender for the pricing or what?
Sharat Chandra : I think, one of the tender where nobody has participated is a dry lease. See, currently the model is wet lease, so dry lease means the drivers of the S tU will be involved, which all the OEMs are not keen.
Siddharth Agarwal: Yes, obviously. Okay, fine. Obviously, you won't be interested if their drivers are there because then you will have to pay them as per their standard.
Sharat Chandra : They will not be under our control, right? So, it's very important,
Siddharth Agarwal: So, are they going to re work it?
Sharat Chandra : Yes.
Siddharth Agarwal: And sir, I had heard there was all these utilities, S TUs and all, so they create problems in terms of repayment. This is the industry sources. So, I just wanted to un derstand, do you people also face problems of payment? And how is your payment guaranteed by the STU because collection of ticket is done by them at their ends? So, how do you ensure that your payment is on time? And like 90 days I think are your debtors, so these will be the main debtors, right?
Sharat Chandra : Just to clarify, see, as far as Olectra is concerned, we manufacture and sell buses to the operating Company which owns the fleet. The Company , which is the concessioner, owns the fleet and they operate on a per kilometre with the S TU. As far as Olectra is concerned, we sell the buses and we take care of the services for the period of 10 -12 years. All the new contracts are for 12 years duration. But to give a perspective, Olectra is not directly involved. The operating

Company in our case i s EV Trans Private Limited. They are able to receive 70% to 80% of the receivables within 30 to 45 days. The balance, 25% to 30%, they are able to collect before 90 days. The reason is ba sically the STUs are procuring services rather than CAPEX , right? And under this model concessioner agreement which is formulated by Niti Aagyog, there is escrow mechanism where the revenues of these collections are pooled into that account. And 2 months fees minimum deposit they should maintain.
Moderator : We will move to the next question that is from the line of Nishid Shah from Ambika Fincap. Please go ahead.
Nishid Shah : Thanks for taking my follow -up question. On the 3 -wheelers, what is our strategy a nd from where we are sourcing the batteries for that? And do we source it in India or we are sourcing it from any other place?
Sharat Chandra : Gentlemen, actually, we are still not into 3 wheelers. As of now, our focus is on electric buses and electric tip pers and trucks.
Nishid Shah : But I think in one of the calls, Mr. Pradeep had said that we will be entering the 3 wheelers also.
Sharat Chandra : I'll just clarify. The CESL, when they floated the FAME -II program, they have actually earmarked some budget f or about 1 lakh 3 wheelers. So, through a partner, we had participated and we got about 13,500 3 wheelers order. But the entire 3 -wheeler segment is on hold by CESL. So, we are also not very keen to pursue.
Moderator : The next question is from the line of Rakesh Jain from Axis Capital. Please go ahead.
Rakesh Jain : Sir, you mentioned that about 17 tippers you had delivered in Q4, and based on your revenue, I think the ASP which you are quoting is roughly around Rs. 1.4 crore per tipper. Is that correct?
Sharat Chandra : Yes.
Rakesh Jain : This is a significantly high ASP versus a conventional tipper in the market. So, what are the cost elements differently playing out? And are these prices, that is ASP come

down later in as you ramp up this production and how it will work?

Sharat Chandra : This is nascent. As you rightly said, the industry is nascent. Definitely, we expect the prices to come down. The main factor will be battery, right? So, for the entire electric segment, we expect the battery prices to come do wn in next 2 -3 years, okay? And the economics is actually quite significant with excellent price differential which is there between electric tipper and the conventional diesel tipper. So, because of that reason, there will be huge demand from the market.

Rakesh Jain : Right now, you don't have any competitors. But I think there are few players who are willing to look at this market and are planning to launch over the next few quarters. So, do you think your current pricing is competitive?

Sharat Chandra : So, basically, we should look it in different way. As of now, we are the first Company to have introduced and basically registered and sold electric tippers. No major competitors as of now. But definitely there is a huge market in India for tipper and trucks which has a huge potential for everyone to come in. Even if you take all the capaci ties, the capacities are not sufficient to cater to the requirement which can come up, right? So, we expect the competition to pick up in the next 1 to 2 years and it will be healthy for the ecosystem to get created.

Rakesh Jain : And what is your localiza tion levels for tipper right now?

Sharat Chandra : As of now, I think except the battery cells and the powertrain components, all other things are localized.

Rakesh Jain : And these tippers which you are delivering, for what purpose it is going right now?

Sharat Chandra : As of now, it's basically used in mines, the project sites.

Moderator : The next question is from the line of Naman Khandelwal from HDFC Bank. Please go ahead.

Naman Khandelwal : Sir, 2 questions on the STUs. Sir, the STUs are in losses. It was being discussed that on the SECI side, structure would be established to have a payment security, central government agency which would be ensuring that the payments have been released from the STUs on time. So, any insight on that? And second would be si nce the STUs are deploying EVs, is it safe to assume that these STUs will now be profitable because the majority of the STUs are in losses. Again, this is a state transport undertaking, so the load factor and everything, if it comes into the picture, then the revenue is not offsetting the pay-out which has been given to the operator. So, any insight on those?

Sharat Chandra : See, as far as the payment mechanism is concerned, escrow mechanism is in place and 2 months fee is required to be deposited in the es crow account. And I think to earlier question raised by one of the participant, we had clarified that the concessioner is able to realize the receivables of more than 70% in less than 45 days and balance 25% to 30% in less than 90 days, right? So, that is far as the first question is concerned. The second question is concerned with regard to?

Naman Khandelwal : Profitability of the STUs .

Sharat Chandra : See, basically, there is 5x differential between conventional al diesel versus electric in terms of operational costs, okay. So, that is 1 major incentive. Second is the EPK of the electric buses is higher than the diesel buses and this is giving good comfort for the STUs to adopt. And the most important is now the S TUs are assuming the role of controlling. So, because the entire operation

is taken care by the concessioner except the fare collection. And they are procuring services rather than the CAPEX . I hope I have clarified.

Naman Khandelwal : Yes. But again, so fo r this segment to be profitable, the STUs should have a revenue collection from the end customer. So, we envisage that

the cost which would be incurred although the operational cost should be less of EV bus as compared to CNG or a diesel bus. But correspon ding revenue from the customer will the STUs get to ensure that they turn profitable?

Sharat Chandra : Yes. That's what I was mentioning, it is highly remunerative for them because there is a huge cost differential.

Naman Khandelwal : And sir, any plans to g et into battery cell or pack manufacturing.

Sharat Chandra : As of now, we have no plans for any battery manufacturing. We have plans in the new facility for assembly of battery cells to a pack.

Naman Khandelwal : And the last question from my side. When is the order book expected to be delivered for 3394 buses? Where is the delivery schedule?

Sharat Chandra : See, we have time of 12 -18 months to deliver the buses.

Moderator : The next question is from the line of Anil, as an individual investor. Please go ahead.

Anil: Can you please update what's the status of fund raising?

Sharat Chandra : I think one of the questions was asked on this, but let me clarify again. There is no change in the plans for fundraising. We have enabling resolution. The market conditi ons were not conducive and once the market condition improves, we are all set to go ahead with the fundraising plan. And we are actually exploring various options. We will keep you posted once there is any progress on this matter.

Anil: Do you think that i t will affect execution of setting up of our factories for which you have recently raised the tender?

Sharat Chandra : So, basically, we are expecting a delay of 2 to 3 months.

Anil: Last time, when I asked the question, like I was told that by January '24, we'll start the production. And if you see the tender, it is already delayed by 6 months. But if you say the market conditions are not conducive, is that going to further delay? Now we are expecting June '24. Do you mean to say that it is going to go to J anuary '25?

Sharat Chandra : No, we are expecting a delay of about 3 months. So, in Quarter 4 , definitely, we are striving to get the plant operational by Quarter 4 of this year.

Anil: And recently we got a good news saying that Amara Raja Batteries, they a re starting to manufacture the lithium -ion batteries. Is that going to help our Company ?

Sharat Chandra : Definitely, we are looking forward. As long as the costs are coming down, obviously, we will be looking at the option. But we have definitely minimum 2 -3 years' time.

Anil: And we just heard that in Rajasthan also we could find like good reserves of lithium. Do you think that these kind of development encourages us to go for the in house manufacturing of batteries.

Sharat Chandra : Definitely, yes. See, t he PLI scheme which has been given by the government and I think few companies have got this PLI scheme and as far as the lithium reserve s,it is going to take a lot of time for them to actually get the exact quantity which is available but it is very enc ouraging for the country and the EV segment.

Anil: And can we say that by June '24, the factory will be in place and sales will start happening from June '24.

Sharat Chandra : Definitely yes. We are striving to meet that .

Anil: Do you have any plans for fund raising.

Sharat Chandra : See, we are hoping that the things would improve with regard to the market. And so once that is in place we are ready for the fund raise.

Anil: It's just a surprise like you come from such a good background of a sound promoter , I am not sure like why we have to wait for external conducive environment for Rs. 400 crores or Rs. 800 crores of fund raising. That's a very much good amount which can be invested as well by promoters and take the Company to a new set scale of valuation and then invite the outside investors of valuation. Why now? This Rs. 800 crores, easily you can create 10 times of valuati

on

now because the industry is nascent and growing and you should take an advantage of investing your own money and show the people and show the world that you are capable of taking the Company to such a stage where you can deliver up to 5,000 buses in a year. And then after that, why don't you look for external investment?

Sharat Chandra : See, you have to best understand that we are l ooking for good investors to come into the system and once they come in, they would definitely look at profitability. And they are almost ready with the fund raise program. Unfortunately, the market has not been conducive for the last 3 months. So, now th at things are slowly stabilizing, and think if you have seen, I think they've got some IPO which got concluded from Mankind. Things are happening positively and we expect the market to improve and definitely would like to do fund raise and followed by definitely promoters also would like to contribute.

Anil: But see, the good investor is with you, it's your own promoter and I am saying like Rs. 800 crore is something which you should look at investing at your end and then later on when after 1 year or 2 yea rs when the capacity is full, you go for external investors. And because it makes sense for us to invest now and make sure that our valuation from Rs. 5,000 crores it goes to Rs. 25,000 crores. And at that point of time, you get the outside investors. See, that is how which gives the confidence to us that you are looking at a nascent stage of business, but you are looking at very high valuation, high profitable business.

Sharat Chandra : Point noted. We will go back and deliberate on this point.

Anil: I thin k you should take this Company to a stage of 5 times of the current valuation and then look for the external investors and then see that your money is giving you a good return and as well as to the investors who have come at this nascent stage itself, taki ng the huge risk and believing such a good promoter and team like yours. But we want that our value should be within our

promoter group and the investors who have come at early stage and then should be given to the outside investors.
Sharat Chandra : As I m entioned, your point are valid and noted. We will deliberate internally with the management.
Moderator : the next question is from the line of Punit Chokhani from Black Gold LLP. Please go ahead.
Punit Chokhani : My first question is regarding the court case , regarding the Mumbai order of 2,000 odd buses, if you can update us on that.
Sharat Chandra : The matter is still in sub -judice. The matter is likely to come up in this month.
Punit Chokhani : So, how many buses have been delivered so far of that order till date?
Sharat Chandra : We have delivered about 20 buses out of 2,100 buses.
Punit Chokhani : So, you mentioned you have an order book of 3,000 odd buses. Does it include the Mumbai order?
Sharat Chandra : Yes, correct.
Punit Chokhani : Sir, don't you thi nk it will be prudent to leave that order out of your order book at this point because it's been sub -judice and you don't want to talk about it and it's out of your control. So, technically, you should be excluding that and indicating your order book, righ t, because it's been in court for the last 3 quarters, if I remember correctly.

Anyways, sir, I wanted to know, and please correct me if I am wrong, you mentioned that you plan on delivering about 1500 buses odd this financial year. Is that correct? Did I hear that correctly?
Sharat Chandra : Yes.
Punit Chokhani : And then you mentioned that you will probably be doing 200 this quarter in Q1. Basically, I just want to understand the math of how you come up with 1500 numbers because there are 2 functionalities to it in my mind. Last year you had supply chain issues which you mentioned

to
one of your participant that it's sort of easing off, but they still exist. Two, you have your capacity which has been postponed because of your fund-raising postponement, you e xpect to happen in Q4. So, if today you are doing about 150 buses a quarter, you are saying you are going to do 125 odd buses plus tippers every month. But then you are saying you are doing 200 buses this quarter. I mean the math doesn't add up. What is th e plan internally if you can sort of help us understand.
Sharat Chandra : See, basically, our focus this year would like to complete the order book other than the BEST which is under sub -judice, okay. And we are very conservative in giving those numbers of 1,200 to 1,500 numbers. See, we have faced, definitely not only us, the entire industry faced this supply chain constraint. So, those things are fine now. We would like to be very conservative in projecting our numbers. We have a capacity of making 125 bus es per month.
Punit Chokhani : And I am assuming this capacity is fungible with the tipper, right? Your tipper and the buses get made in the same facility?
Sharat Chandra : Yes.
Punit Chokhani : So, what you are saying is you are going to operate at 100% capacity utilization for the next entire year which is 125 buses a month which adds up to 1500 buses a year. But in Q1 you will deliver 200 buses, means then you will basically have to operate at more than 100% in the next 9 months.
Sharat Chandra : See, ba sically, we are operating on a single shift. We can definitely increase our capacity. So, our plan is to do about 1,200 to 1,500 buses/tippers this year.
Punit Chokhani : I'm sorry. I am not being able to understand the math. I understand your plan but it i s just not adding up. Question #3 is you mentioned that you sold 17 tippers in the last quarter. Now, I don't know if you can sort of give details but was this sold to the parent Company or was it an outside customer?
Sharat Chandra : No, it is sold to MEIL , we got a bus order from MEIL for 20 electric tippers .

Punit Chokhani : And sir, this I would assume happens at arm's length when the transaction happens with MEIL because this is you work like an OEM, right, there is no gross contract over here. So, your payment comes in as soon as you send, like you sell a car, you sell a truck, right?
Sharat Chandra : Correct.
Punit Chokhani : So, how does the payment structure work? In how many days do you get payment from MEIL for a sale of a tipper to them?
Sharat Chand ra: We get an advance and then we settle it 50% we receive.
Punit Chokhani : Sir, you mentioned 50%, right?
Sharat Chandra : Yes. 50% advance and 50% within 60 to 90 days.

Punit Chokhani : And sir, you have an order book at this point from MEIL specifically w hich you can share for the tippers.
Sharat Chandra : We have received first order book of 20 tippers from MEIL, and we have delivered 17. We are getting lot of inquiries from many players, many parties. So, it's in an inquiry stage to get translated into a proper order. We expect it to happen in next 2 months.
Punit Chokhani : Sir, question, I think somebody had asked that question, but sorry, if I'm being repetitive. But you've got a large competitor down south. Murugappa Group has done an acquisition for a Company which does tippers and trucks from Haryana. What is your 2 senses on that? Because they already have fleet on the street like what we hear is they deliver buses, they deliver trucks to Dalmia Cement and that category of clients already. So, what i s your sort of 2 senses on that would sort of help us understand better.
Sharat Chandra : See, I think I've clarified in earlier questions. So, basically there is lot of opportunities for everyone to come in. As far as we are concerned, our tippers have done successful trials and the performance has been very, very encouraging. And the tipp

er truck market is quite huge. And the economics is quite good between diesel tipper and electric tipper. And I think we had been doing extensive trials for more than a year. And successfully did all kind of terrain. And as the market is quite huge, even if anybody comes in, I think the ecosystem will be created and will help the market.
Moderator : Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.
Sharat Chandra : Thank you very much. I once again thank all the stakeholders who have b een very supportive, who have been encouraging and who have been very patient with the Company and the faith reposed in our Company . And thank you very much.

Moderator : Thank you. Ladies and gentlemen, on behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

“ Olectra Greentech Limited
Q1 FY2024 Earnings Conference Call”

August 10, 2023

ANALYST : MR. RAKESH JAIN - AXIS CAPITAL

MANAGEMENT : MR. K. V. PRADEEP – CHAIRMAN AND MANAGING DIRECTOR - OLECTRA GREENTECH LIMITED
MR. SHARAT CHANDRA – CHIEF FINANCIAL OFFICER - OLECTRA GREENTECH LIMITED
MR. HANUMAN PRASAD – COMPANY SECRETARY AND COMPLIANCE OFFICER - OLECTRA GREENTECH LIMITED
Olectra Greentech Limited
August 10, 2023

 Moderator : Ladies and gentlemen, good day and welc ome to the Olectra Greentech Q1 FY2024 Investor Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need a ssistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rakesh Jain from Axis Capital. Thank you and over to you Sir!
Rakesh Jain: Thank you Afiza. Good evening everyone. Thank you for joining in at this time. Welcome to the conference call of Ol ectra Greentech for Q1 FY2024. We have from the management side Mr. K. V. Pradeep – Chairman & Managing Director, CFO Mr. Sharat Chandra and Company Secretary Mr. P Hanuman Prasad. Initially we will begin the remarks from the management and we will later take on Q&A. So I will transfer the call to CFO Mr. Sharat Chandra. Over to you Sir!
Sharat Chandra: Good evening, everyone. Mr. K.V. Pradeep- Chairman and Managing Director may be not able to join the call due to exigencies. We are taking as read the presentation which is put on our website along with the safe harbor stat ement there on. Thank you all for joining the earnings call for Q1 results today. We are very pleased to share with our shareholders that the consortium of our company and associate EVEY Trans has bagged the biggest order from MSRTC for 5150 buses worth about more than 10,000 Crores in this quarter, which is the largest single order in the electric bus industry? The company's net order book position stands at 8344 numbers after delivering 75 numbers in this quarter. We are able to maintain healthy profitability margins despite reporting lower top line in both our standalone and consolidated revenue in this quarter. The top line got impacted due to strict battery compliance norms, which was introduced by Government of India, which has resulted in the deliveries getting deferred. However, we are pleased to inform you that we have received the battery compliance certification for all the models now. We have delivered on a cumulative basis more than 1250 buses till 30 th June 2023. We remain committed to contributing towards a clean mobility agenda of the country and look forward to a strong growth trajectory in the coming quarters and ye ars. So I would request for the Q&A session.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. We have the first question from the line of Bala Murali Krishna from Oman Investment Advisors. Please go ahead.
Bala Murali Krishna : Good evening and congratulations on great se t of numbers. So regarding the guidance of 1200 buses for the FY2024, we have delivered only around 75 buses in this quarter.

 Is it possible to meet the guidance and what could be the margins level we can expect on overall yearly basis?
Sharat Chandra: As I mentioned earlier in my introductory message, we have just received the certification norms which was introduced by the Government of India and we are very pleased to obtain for all the models and we are striving to cover the backlog. In Q3, Q4 we are trying to the make up the shortfalls which happened in Q1. As far as margins are concerned, we are
expecti

ng on overall higher volumes, the margin in terms of percentage will be about 10 to 12% and in terms of value, it is going to go up.
Bala Murali Krishna : Okay understood and regarding that order book, we have around 8000 buses order book which is supposed to get executed within the two years or before that. Do you think it is possible to complete this order book in the next two years because we have a facility of
1500 as of now and next year maybe we may add 5000 facility, but the utilization levels will be low in this facility so is it possible to complete this order book by FY2025?
Sharat Chandra: See we have a timeline of 12 to 24 months and I am talking about the various orders and the new facility is expected to come in the Q4 and with the addition of the new facility, we are confident of completing the orders in 24 months.
Bala Murali Krishna : Regarding the E Tripper, so last quarter we had executed order of parent company.
Sharat Chandra: As of now we have been doing extensively trials and demos in various project sites and construction and mines, so the trials have been very good. So the traction is likely to happen in the coming quarters. The response has been positive so we expect the private orders coming in the next quarters.
Bala Murali Krishna : Lastly last time we have spoken about 10,000 buses tender which is in progress out of that we have received this 5000 order from Maharashtra and what about the balance tenders is it concluded or it is still pending.
Sharat Chandra: Balance are in advantage stage of conclusions? So there are at various stages of conclusions.
Bala Murali Krishna : And we can hope for order win in that tender also.
Sharat Chandra: And the other positive in the current quarter is the BEST order, which has come in our favor.
Bala Murali Krishna : Could you please give a breakup of that 5000 balance tenders from which state and how much it is?

 Sharat Chandra: We have about 5150 from the MSRC which is a new order and we have about 2080 from BEST which is from Mumbai. You are talking about the new tenders.
Bala Murali Krishna : Sorry to interfere. I am talking about the te nders which we are supposed to get it. Thank you.
Sharat Chandra: We have BEST about 3000 numbers and other various tenders are there. The major one is the BEST.
Bala Murali Krishna : This is Bangalore.
Sharat Chandra: BEST Mumbai.
Bala Murali Krishna : Okay. Thanks a lot and all the best.
Moderator: Thank you. We have the next question from the line of Rakesh Jain. Please proceed.
Rakesh Jain: Thank you for taking my question. You highlighted that there were some battery norms which led to lower revenue. Could you provide more colour what were those norms and what kind of impact it had and subsequently does it also impact the cost for you and second
question is given the size of orders which you are getting, how is the bidding at the moment, what is leading to you being able to get such good incremental orders, how should we interpret the competitive scenario right now?
Sharat Chandra: See as far as the first question is concerned, the Government of India has introduced the safety norms for all the electric vehicle segment especially the battery side because of some incidents in the two wheeler segment. Because of this introduction of norms, so we have to do the testing and certifications. Unfortunately, we do not have the testing facilities in India,
so it has to be done on an online virtual basis from China and that is the reason it was taking more time and this is beyond our control. Now that we have completed all the tests and we have successfully got the certifications for all our models. Now coming to the second question with regard to the competitive landsc ape, see about 50,000 buses tenders are being proposed or planned by CESL. As far as we are concerned, see we have a strong product and we have comp

leted more than 12 Crores kilometers on Indian roads as we speak today with the delivery of more than 1250 buses. So we have a stronger product portfolio and our technology is proven with which we are able to basically gain the customer confidence and

meet the customer requirements. See from a technical point of view and even from a financial point of view because the more kilometers you run on a single charge will
definitely give more contributions and our product again over a period of time last five
years, seven years, we have been working in various different terrains and accordingly, we

 have been very competitive and we have been in terms of economics, highly efficient. So
we have basically a reliable product in terms of range and in terms of quality in all the parameters our product has been superior.
Rakesh Jain: Where I was coming from is I mean the size of order which we are getting is pretty high
relatively so it some scenario where competitors are not able to bid at the price at which you are coming or some competitors have exited the market and you usually provide what is the
bidding rate going on at the moment for the tenders you are biding in buses?
Sharat Chandra: See all the new tenders are coming up without subsidy elements. So the rate per se versus
without subsidy is going slightly up. The kilometer it depends on again city to city, application to application. For inter city operations, obviously the more number of
kilometers is run so the rates are different. And for intra city based on city to city, the
application varies. If there is a requirement to run 200 kilometers, the per kilometer rate is
different from requirement to run 150 kilometer. So accordingly the rates will be anywhere
between Rs. 50 to 80 per kilometer.
Rakesh Jain: Sure. Thank you so much Sir.
Moderator: Thank you. We have the next question from th e line of Rajesh VC an investor. Please go
ahead.
Rajesh VC : Thank you for giving opportunity in this session as well. So just a couple of questions which
I would like to ask as an investor, so as you can see even though there is an improvement
from year to year in terms of the operating pr ofit as well as net profit however from quarter
to quarter it has gone down so there is any particular reason for that because that is having
an impact on share prices also so that is number one and number two we also heard that I think in the past there was collaboration with Reliance for the hydrogen fuel powered buses
as well as ion charging stations so what is the development on those side and how will be
the ratio in future in terms of hydrogen powered as well as EV powered buses? Thank you.
Sharat Chandra: Coming to the business performance, quarter on quarter we have been doing very well both
in terms of top line and bottom line. As you see last six quarters, we have been doing very well so this quarter as I mentioned to you be cause of the introduction of these norms that
has impacted. Other than that if you see the operating margins are maintained at healthy levels that is as far as your first question is concerned. Second question on the Reliance tie
up ,hydrogen we have developed the proto and it is a testing phase as this new technology is
nascent, it will take some more time for the product to come out in terms of commercialization. So today we cannot actuall y form any opinion or give any guidance
with regard to what will be the ratio of hydrogen versus EV.

 Rajesh VC : Noted. Thank you. Thanks a lot.
Moderator: We have the next question from the line of Gursharan from GMA Advisors. Please go
ahead.
Gursharan : Just wanted to figure out about the fundraising activity. It is like pending since quite long.
We were just having a look at Mahindra's lik e already without having started production,
their valuation is around $9 b

illion whereas we have claimed to be the largest manufacturer
of buses in the country, electric buses and our market cap is only 1 billion and they have already raised 1200 Crores without even st arting production so where is the hitch? Where
are we stuck? Since last year, we have been mentioning every time on the call that yes, we
are expecting it to be done. Is there any hitch here?
Sharat Chandra: I think just to answer your question, we have been definitely working on raising funds for
equity because of the market was not conducive. As you will see right from January onwards till August not many deals have happened on the QIP front okay and the market
has been volatile and of course unless the market is stable, I think investors definitely would
look forward to wait. We have clearly a mandate from the shareholders who have approved it in the last AGM and the board. We still continue actually exploring the possibilities. In
the interim since with the approval of sharehol ders, we have awarded the contract to MEIL
which is a L1 vendor for the construction of th e plant. Now the plant construction activity is
going on. We have given the LOA on 19th July. MEIL with their reputation of turning
around turn key projects in quick turnaround, we are expecting in Q4 to start
commencement of production in the new plant.

Gursharan : I wanted to figure out like the money we want to raise from the financial investors or from strategic investors.
Sharat Chandra: See basically it is going to be private investment. We have basically taken approvals and we are working hard for the QIP.
Gursharan : Listen, what I was trying to figure out like type of investor which we are looking on investment do you want financial investors or do you want strategic investors like we want money from people who can give us technology who can be our shareholders for maybe several years.
Sharat Chandra: Yes we are looking for good pr ofile for an institutional invest ors who will remain invested like for example in our portfolio we have Nomura, Jupiter, Black Rock, Goldman Sachs,
They have been there for quite some time and we are looking for investors like them to invest into our portfolio an d who will stay invested fo r a longer period of time.
 Gursharan : Exactly you are looking out for financial investors only you are not looking for strategic or technology investor.
Sharat Chandra: No No.
Gursharan : Okay while you have successfully launched your tripper, I just want to understand are we also working on some heavy trucks etc also?
Sharat Chandra: Yes, we are doing trials. Now for electric tri pper it took more than a year for doing trials and we are working on various product portfolio within the trucks and tripper segment.
Gursharan : Okay because Eicher has already launched though we are supposed to be leaders, we are wondering like how come we stayed behind?
Sharat Chandra: See we have already commercially launched last quarter itself. Commercially sold electric trippers and we are working on various products within the trucks and tripper segment and our trials have been getting positive response and we are expecting good orders in the coming quarter.
Gursharan : Only last question Sir. I wanted to figure out like should there be reason there be delays like this time we had impacted certification delay, earlier it was supply chain issues, now should there be delays and we not see deadlines of these tender will the penalties accrue on the company. Are we confident enough that yes, we will meet all the deadlines and there will be no penalty on the company.
Sharat Chandra: I think we have earlier discussed this aspect . What is happening is EV Buses in terms of operational efficiency ,in terms of economics makes a huge sense for the STUs. So there has been delay from both sides. Okay because from STU scope of work they have to create the
s

pace for depots and they have to get a power connection and from EVEY side we have to deliver the buses and build the charging infra. So we have now created good order book
now we are creating capacity and we are confident of executing all the orders within the next 12 to 24 months.
Gursharan : That is really encouraging. Thank you so much.
Moderator: Thank you. We have the next question from the line of Smita Mohta from Kredent InfoEdge. Please go ahead.
Smita Mohta : So there are couple of questions. One is regarding the technological partnership that you have with BYD, with the r ecent problem that BYD not coming into and government not
 allowing and your partnershi p finishing by FY2025 so do you think that technological knowhow would be again restarted post FY2025. Are in you talks regarding the same.
Sharat Chandra: I think we started our journey in 2015 with BYD and we have been working together and we have a very strong R&D team. Basically we have been working internally to create new product portfolios, new products line and initially as you were aware we were dependent on BYD as a technology partner. With very strong internal R&D team we have been
developing and acquiring the knowledge transfer from BYD and BYD is definitely looking forward to extend the relationship beyond 2025. So we have a very, very strong relationship with BYD and we are confident that these relationship will go beyond 2025.
Smita Mohta : But BYD wants to launch new products which is why they approached MEIL for the same in which the government refused to allow BYD with MEIL to produce products in India so regarding that if they are producing new produc ts with you all with the technology transfer,
so then why are they looking for product launch by themselves in India and want to become a major player in India in this stream? So do you stand any chances of having problems in
future with BYD?
Sharat Chandra: We are not foreseeing any problems as such because we are having a strategic tie up. We are sourcing like all the OEMs battery cell and some critical components related to power
trains. Other than this, we have localized majority of the components required for manufacturing the bus and as you are aware PLI scheme has been introduced by
government of India and few Indian companie s have started manufacturing batteries in

India. Definitely in 2-3 years time these companie s will definitely be in a situation to supply
the batteries and in terms of technology and in terms of cost, we are able to get from the local Indian companies, we are open to actually buy source the batteries from Indian
companies.
Smita Mohta : Okay got it. Sir one more thing you had said that for FY2024 your E buses expectation of
sale was 2500 and tippers 1200. So I would like to understand that with the current order
book that you have, you said that your 12 metre buses has more margin than the 9 metre
buses so as per the current order book which bus orders will you have more.
Sharat Chandra: See basically it again depends on application of various cities and number of kilometers run.
So in terms of the current order book we have more of 12 meters.
Smita Mohta : Okay that is good.
Sharat Chandra: The first question I was not very clear. What was your introductory message?
 Smita Mohta : My introductory question was that you have given a guidance of E buses and tippers which we can expect to be delivered by for FY2024 so which was 2500 and 1200 right.
E buses 2500 and tippers 1200.
Sharat Chandra: I think slight correction 1200-1500 buses/tippers is the guidance we have given for this
financial year, 2,500 is for the next financial year.
Smita Mohta : Okay got it. So will you be able to exhibit this guidance?
Sharat Chandra: We are striving to make up the shortfall of Q1 in Q3 and Q4 and w

e are striving to do 1200
buses/ tippers.
Smita Mohta : Lastly Sir. MEIL did not put in any money. Instead you gave the order to the MEIL for the
construction of facility with which you will be able to do business from Q4 onwards so this order that you have given to them worth earlier say around 400 Crores so where will that
money come from will it be internal accrual or you are looking out for any funding and if
you looking out for it then what is the interest rate which you will be comfortable in getting
that funding?
Sharat Chandra: Basically we are looking at internal accru als and maybe interim loans till the QIP is
finalized and we expect the rate between 8 to 9% in case we go for a debt.
Smita Mohta : Okay and which quarter can you says is best for your according to your business culture
historically and where do you see the competition because now even Hinduja is getting lot of orders from the STUs for the buses and all so where do we see this competition headed?
Sharat Chandra: Our quarters if you see historically we have been doing very well in Q3 and Q4 and as far as
competitive landscape is concerned, there is enough space for everyone to come in because huge opportunity for the EV segment with the push from government of India and with the
capacities all put together will not be able to meet the requirements as of today. So it again
boils down to the product technology and in terms of performance and all the parameters like the range, on a single charge how much kilometers we can run and in terms of
operational efficiencies. So there is enough space for everyone because the ecosystem in
just the EV segment in terms of buses is just taking off. Still we can say it is nascent in
India.
Smita Mohta : I just wanted to know Sir where do you see your self in this league five years down the line
at which number.
 Sharat Chandra: We definitely strive to be the leader. We intend to have the leadership position in this segment.
Smita Mohta : Currently, what market share do you have Sir in the buses.
Sharat Chandra: About 35%.
Smita Mohta : 35.
Sharat Chandra: Yes.
Smita Mohta : That is it from my side. Thank you very much.
Moderator: Thank you. We have the next question from the line of Chethan Dhruva from Chethan
Dhruva Investments. Please go ahead.
Chethan Dhruva : Thanks for the opportunity. Sir one quick question and clarification that I needed was
regarding your guidance, right. So you had talked about 1200-1500 buses for this year and cumulative of 8000 buses being your order book and that would be delivered in 12-24 months so I am assuming end of FY2025. So you are essentially saying that for next year
you will be doing almost six and half thousand buses is that correct to understand.
Sharat Chandra: Next year we are targeting about 2500 buses.
Chethan Dhruva : But then how will you meet the 8 000 buses requirement in two years.
Sharat Chandra: We are talking about spilling over into financial year 2025-2026. We have basically

timelines to cover in 24 months from now. So, we are building the capacity. We will strive to do more but on a conservative number we are saying 2500 numbers is minimum which we want to do next financial year.
Chethan Dhruva : But that conservative number seems to be way of the market even if you assume spill over August to August, two years still a big chunk has to be completed next year.
Sharat Chandra: See basically if you talk about 8500, if you do 1200 this year and 2,500 by next year we will have about 4500 buses remaining.
Chethan Dhruva : Right and over three months by five months basically. So you are saying essentially there will be big ramp up in FY2026 initially itself?
Sharat Chandra: And the capacity we are initially target ing 5000 which can be expandable to 10,000.
 Chethan Dhruva : Okay and you had also mentioned earlier that your current factory can also be run in multiple shifts, right? Because 1500 is just for one shift.
Sharat Chandra: Yes correct.
Chethan Dhruva : So you are not planning to increase any shifts or such plans to meet higher number of buses for FY2025, to produce higher number of buses.
Sharat Chandra: Yes we will parallelly plan that also.
Chethan Dhruva : Okay so the way I am reading then two and half thousand is a very, very conservative number. Okay thanks for that Sir. I think the other question I was on the BYD partnership and you already clarified to the previous par ticipant. So thank you for the time and good luck for the future quarters.
Moderator: Thank you. We have the next question from the line of Nihar Mamtura an investor. Please go ahead.
Nihar Mamtura : I am just following up on the ability to deliver on to the order book because if I understand the order book is about 8000 buses. So how is that going to get staggered between current financial year and the next two financial years.
Sharat Chandra: I think we have mentioned earlier about 1200 is what we are targeting to complete in this financial year and the next financial year, mi nimum 2500 is what we are targeting and the balance, we would like to do it in 2025-2026 so that means 1200 now, 2500 and the balance will be about 5000 numbers will be in financial year 2025-2026.
Nihar Mamtura : Just a following up question, if you get any other order then are you saying that the company cannot supply anymore buses and everything is going to get pushed out to 2026-2027?
Sharat Chandra: See we are working on now currently very less utilization of our capacity. So we can basically do 1500 in this plant on a single shift basis which can be increased. So if we get orders we can ramp up.
Nihar Mamtura : So if I just go with numbers, capacity numbers in the current year with the current plant what is the capacity?
Sharat Chandra: Currently plant we have a capacity of 1500 on a single shift.
Nihar Mamtura : On a single shift and it can beco me effectively 3000 on a double shift.
 Sharat Chandra: It can yes 2500 to 3000. Basically any plant we can produce at about 80-85% efficiency so we cannot double on a mathematical calculation 1500 to 3000 so on 80% capacity or 80-85% efficiency about 2500.
Nihar Mamtura : Okay and what about the capacity for next year.
Sharat Chandra: Next year we will have a new plant coming in fully 5000 and based on the order book we can operate two plants.
Nihar Mamtura : So then would it be fair that see the cu rrent plant can produce about two and half thousand buses then next year once the new plant depending on which quarter it becomes operational, so when is the new plant going to be operational.
Sharat Chandra: Last quarter this year we are targeting to start because we want to do in a granular manner. We are not waiting for the entire plant to be ready. As soon as we go in a granular shed wise, once the assembly section is ready we can start parallelly working in both the plants and again I want to repeat we want to be ve ry conservative. We are building up capacity to meet and complete all the existing order book.
Nihar Mamtura : So fair enough and it is good to be conservative. The number then will be two and half thousand from current plant and the new plant in the next financial year can probably give about 3000 to three and half thousand buses so effectively it can be about five and half to 6000 buses that our company can produce next year, the order book can be finished of next year.
Sharat Chandra: Correct.
Nihar Mamtura : I know capex has been approved for the new plant but any other additional capex or high

ticket expenses required to kind of get this going next year.
Sharat Chandra: Now once the plant is built we are building for 10,000 numbers and as far as the plant is con

cerned maybe balancing equipment will be required for adding the capacity so which may not be very significant which could in the region of 100 to 200 Crores.
Nihar Mamtura : Okay and any risk because if there is any imported item and there could be restrictions if it is coming from China do you anticipate any risk call out.
Sharat Chandra: See we are basically gearing up. We are gearing up for that. That is the reason we have been working on localization and we have succes sfully developed loca l vendors for all the components except the battery cells where the entire industry is dependent, not only India across the globe, dependent on China, for the battery cell and some of the components

 relating to power train and now that the Indian companies have started making the battery manufacturing so in two to three years time the Indian companies will be ready and depending on the technology and the co st, we are open for discussions.
Nihar Mamtura : And Sir the last question. I mean from a manpower standpoint is it adequately available trained resources to cater for this demand or the expansion?
Sharat Chandra: Yes.
Nihar Mamtura : Okay that is for me. Thank you so much and all the best.
Moderator: Thank you. We have the next question from the line of the Madhusudhan Khaitan an investor. Please go ahead.
Madhusudhan : There was a statement by your leading competitor they are not bidding for the STUs as there are payment issues therefore are just staying away from the STU space so what is your take on that?
Sharat Chandra: See our experience is different. As far as th e payment from STUs are concerned, it is not going to impact Olectra because Olectra is in the business of manufacturing and selling the buses. The concessionaire or the bidder which owns the buses, operate the buses to STU basis on a per kilometer basis and as far as the concessionaire is concerned, the operating company is concerned, their experience has been different, they have been able to collect from the STUs about almost 80% within 60 days and 20% within 90 days. So I am not sure, about the competitor issues.
Madhusudhan : Okay thank you Sir and wish you all the best.
Moderator: Thank you. We will move to the next question from the line of Rajesh Pandey an investor. Please go ahead.
Rajesh Pandey : Hi a very good evening to all. My question is more on the long term business plans - that you have. So have you done a backward working sort of what would be the market size 10 Years from now and accordingly where we would like to position ourselves in terms of the market share that we want to have and then of course depending upon that what would be the capacity requirement and how are we kind of preparing for that that was question one and second is supposing you want to set up a Greenfield capacity expansion what is the normal gestation period you would take to kind of build fresh capacity completely on Greenfield basis see because that would kind of drive your future volumes and we know that there is going to be a good amount of demand in the years to come because the

 competition is also kind of closing up on you guys. And finally what is our expansion plan on the insulator division because there also there has been a bit of a though the volumes are still less because it does not form a big chunk of your P&L and balance sheet but what are our plans around it and then of course there has been a degrowth from the March quarter there also and is there also a dependency on the battery certification which you mentioned earlier on the call.
Sharat Chandra: See as far as long term business plan is c oncerned, the TIV of bus industry is about 1.8 million and about almost 1 to 2 lakhs will be th e requirement on a yearly basis and these are the expectations between next five years time and wit

h these recent Government of India policy to scrap old vehicles actually beyond 15 years I think there is a huge opportunity as you have mentioned. There is a huge demand . Requirements will go up significantly. We would strive where we intend to be having a leadership position as far as electric vehicle segment is concerned. Because we are a pure electric company as against the competitors.
As far as positioning as I mentioned to you, we want to be the leader in this space. And as far as Greenfield facility is concerned, we are already in the process of setting up the new plant to meet the current order book and as per our understanding is concerned within 12-18

months a new plant can be set up.
Rajesh Pandey : Okay and what are our business plans around th e insulator division. I did not really quite understand exactly the product per se and how you want to kind of scale up that segment as well?
Sharat Chandra: I just mentioned to you insulator segment is a niche segment. This is a technology again introduced by our company. This is a composite polymer based insulator against the conventional porcelain. Mr. Rajesh, you had questions on the insulator segment, so I was mentioning to you this insulator business is a niche business. We have introduced this technology in the country. This is a composite polymer based insulators against the conventional porcelain. The market is not unlimited. The market size is currently about 350 to 400 Crores and we have a market share about 35-40% and we have been focusing in the recent past on exports to a very large customer in US. And as of now the market is not unlimited as I mentioned, so we will continue to positioning ourselves as a market leader in that segment as well.
Rajesh Pandey : Okay thanks very much.
Moderator: Thank you. We have the next question from th e line of Anil an investor. Please go ahead.
Anil: Hi good evening to you. See we have market share of 35% and we say that we are going to deliver in next to 24 months 8500 buses. And do you mean to say that next two years Indian

 market will witness only 25,000 buses to be rolled on? In that case then only we will be able to maintain the market share otherwise I think the number what you are projecting as per in line with the capacity or the delivery what we are seeing for the last two quarters or three quarters or one year we are going to lose the market share very drastically.
Sharat Chandra: To answer your question, currently the market share is 25% on numbers when we say about. 10,000 odd buses and as we talk about 50,000 numbers, what I mentioned to you is we want to have a leadership position. I am not talking about what is the percentage. We want to be a market leader definitely having leadership position. As we talk about 50,000 numbers obviously our market share will tr anslate to about 12,500 numbers.
Anil: I am just rephrasing my question. What I am saying is that if you are saying 25% market share is our target. If 25% is the market shar e is our target for next 2 years and which is nothing but 8500 buses let us say 10,000 buses, India is going to witness in next 24 months only 40,000 buses that's not going to be the market share. That's not going to be the market size. I am saying about our plan. I am talking about our plan. Our plan is to just deliver 10,000 buses in next two years which means you mean to say India is going to witness only 40,000 of electric buses in next two years. There is mismatch in what India is going to witness the roll out of the buses and what we are building our capacity and what we are planing to deliver.
Sharat Chandra: When we talk about our share if you convert that 40,000 buses obviously including all competition today currently nobody has got that kind of landscape, the capacities and based on the necessity we will ramp up.
Anil: My question is very simple with a target sayi ng

that are we going to see that India is going to witness only 40,000 buses roll out in next two years and we are going to contribute 10,000 buses in that and that is why we are goin g to have a 25% market. Is that the realistic figure what you are forecasting to us, is that clear.
Sharat Chandra: See your question is basically market size w ill be more than 40,000 that is what you are saying in the next two years.
Anil: Yes. I am saying that average India will witness in the next one year or two years roll out of at least one to two lakh of buses the kind of target which government has set for 2030 and if that is the market share of two lakh buses and we are going to deliver only 10,000 buses in two lakhs market what we are building the capacity it is not in line with the opportunity what we are going to witness?

 Sharat Chandra: One lakh or two lakh buses it includes all the euro norm, diesel buses, CNG, hybrid and all that. EV 1 to 2 lakh will happen by 2030 not in next two years and currently none of the companies in India have capacity to meet 1 lakh or 2 lakh buses.
Anil: No we are talking about period of two years to five years. First, we are talking about two years period so you are going to say that ne xt two years India will witness only 40,000 bus of EV and in that we are going to deliver 10,000 buses.
Sharat Chandra: Correct you are right.
Anil: And I think we are projecting very, very, cons ervatively. I think we are not in line with aggressiveness of the market which we are goi ng to see in the next 2-3 years. My next question is like recently government has rejected the BYD proposal based on security concern and which is a very, very big concern for all of us. So my question is what is

Olectra without BYD.
Sharat Chandra: See as far as the proposal what India you are refe rring to is nothing to do with Olectra it is not related to electric buses right.
Anil: That is not right see it is a security concern. If we have a tie up in that kind of company in any format in any company it is going to have its own impact what I am asking is what is Olectra without BYD.
Sharat Chandra: As we have already mentioned earlier we have been working on our own products. We have been introducing new products and we have a very strong R&D team except for battery cells and power train. We are not dependent on BYD. And the other aspect is Government of India rejection is relating to FDI proposal it is not relating to securitization or anything. It is a FDI proposal where they have rejected it but as far as we are concerned we are having strategic tie up with BYD and we are Sourcing all the materials in India except the battery cells.
Anil: Can we please what is the most critical e quipment required for having world class bus to roll out? What is the most number one critical equipment which we should have the capability which determines that yes we can co ntinue to have a market share of 25% or 40% in the market what is the most critical equipment we should have. Do we have that technology? Are we making that product ourselves? Do we have the other vendor from whom we can source it other than BYD?
Sharat Chandra: Yes we have been working definitely on our own self and we have been working on new products and it is under testing and definite ly the Indian companies have now started

 manufacturing electric batteries where definitely we are open to source from them in case of any kind of issues with China.
Anil: So what is the kind of amount we are investing on R&D because we are not able to see that on quarterly disclosure what is the amount we are spending on R&D. I think it is very very critical for us when we are rolling out very different products.
Sharat Chandra: We have more than 50 plus R&D teams okay and then we have been investing on various t

esting which is forming part of intangible asse ts that is why you do not see R&D as a cost, it is amortization which comes in and we have introduced as I mentioned to you for example, electric tippers have been developed and designed by us.
Moderator: Thank you. We have the next session from the li ne of Siddhant an investor. Please go ahead.
Siddhant : Good evening Sir. Sir my first question is regarding the raw material cost. As a percentage of shares this quarter it fell sharply so what was the reason for that.
Sharat Chandra: The reasons for that is the product mix.
Siddhant : Because of that our margins were close to 19% and previously we were doing about 13 or 14%, so can you give us a guidance on sustainable margins.
Sharat Chandra: See basically because of the revenue mix, the operating margins are much better than earlier quarters, but as we have mentioned earlier on a sustainable basis the margins we are expecting between 10 to 12%.
Siddhant : Sir when you say that it is because of the revenue mix does it highlight that we sold more of the 12mm buses as compared to the 9mm.
Sharat Chandra: It is basically on account of operating revenues also where we have higher EBITDA margins.
Siddhant : Okay and Sir my second question in the last con call we had mentioned that because of the battery norms we could not push the sales of electric tipper so nothing was mentioned on front of the buses and this time we are hearing that it is because of the battery norms that we could not sell more electric buses so just some clarity on the whole scenario Sir. Exactly what has happened and what is happening.
Sharat Chandra: I think electrical tippers we never mentioned about any battery norms. We were mentioning that we have been doing lot of trials and de mos and we got a first order for about 20 tippers

 out of which about 17 were deli vered. Battery norms were going on for the last six months and government has become strict in enforcing these norms.
Siddhant : Okay and now we have all the required clearance.
Sharat Chandra: Yes we received all the clearances now.
Siddhant : Okay and Sir when we have such a healthy order book and we have capacity of 1500 are we looking to do double shift in this financial year itself.
Sharat Chandra: We will work towards to it but it is not easier for an engineering company like electric to immediately shift to double shift. We have to work in a granular manner and that is the reason we said we want to strive and then do more sales in Q3, Q4.

Siddhant : Okay. Thank you Sir and all the best.
Moderator: Thank you. Ladies and gentlemen due to time c onstraint that was the last question. I would now like to hand the conference back to the management from closing comments. Please go ahead Sir.
Sharat Chandra: Thank you everyone for attending this earnings call. Overall, we are pleased to inform that with the battery compliance certificate for our model we are confident of making up the shortfall in Q1 in the next quarters and we are definitely looking at double digit growth compared to last year in terms of top line and bottom line and we look forward for your support. Thank you so much.
Moderator: Thank you members of the management. Ladies and gentlemen, on behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

"Olectra Greentech Limited

Q2 FY '2 4 Investor Conference Call "
November 07, 202 3

MANAGEMENT : MR. K.V. PRADEEP – CHAIRMAN AND MANAGI NG
DIRECTOR – OLECTRA GREENTECH LIMITED
MR. SHARAT CHANDRA – CHIEF FINANCIAL OFFICER
– OLECTRA GREENTECH LIMITED
MR. HANUMAN PRASAD – COMPANY SECRETARY –
OLECTRA GREENTECH LIMITED

MODERATOR : MR. RAKESH JAIN –AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Olectra Greentech Q2 FY24 Investor Conference Call hosted by A xis Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rakesh Jain from Axis Capital Limited. Thank you and over to you, sir.
Rakesh Jain: Yes, hi. Thank you. Good afternoon, everybody. Welcome to the Q2 FY24 Conference Call of Olectra Greentech. From the management side, we have Mr. Sharat Chandra, who i s the CFO and Company Secretary, Mr. Hanuman Prasad .
To begin with, Mr. Sharat Chandra will give the initial remarks on the quarterly results followed with a brief commentary on the business and later on, we will take the Q&A. So , I will hand over the cal l to Mr. Sharat Chandra. Over to you, sir.
Sharat Chandra: Yes, thank you, Rakesh. Good afternoon, everyone. We are taking as read the presentation which is put on our website along with the Safe Harbor Statement there on. Thank you all for joining in for the earnings call for quarter 2 results today.
We are very pleased to report a strong set of results for the quarter and half -year-ended 30th September 2023, both in terms of robust top-line and profitability. As informed earlier, during this quarter the consortium of our company and associate Evey Trans has bagged the biggest order from MSRTC for about 5,150 buses, which is the largest single order in the electric bus industry.
We have delivered over 1,400- plus electric buses and 35 electric tippers till 30th September 2023. The momentum has started in quarter 2 and is getting accelerated further in Q3 and Q4 to meet the current financial year 24 target. The strong demand continues with the company's net order book position of electric buses stands at 8,209 numbers after delivering 214 buses in H1.
Our focus continues on increasing our manufacturing capacity and enhancing our technology capabilities. The construction work of the Seet harampur factory that is coming up over 150 acres is racing ahead . With this factory, our production capacity will further increase.
To talk about the key financial perf ormance. O n a consolidated basis, the company's EBITDA in quarter 2 reached an impressive INR 45.06 crores marking a substantial 72% increase compared to the previous year. The PBT has surged to INR 26.57 crores with a growth of 141% over previous fiscal of INR 11.03 crores.

The PAT is around INR 18.58 crores compared to INR 7.42 crores with a signifi cant jump of 150%. The quarter 2 highlights are basically both the segments have done exceedingly well. The EV segment has grown by 40% in top line and insulator segment has grown by 33%.
About the operating margins, both the divisions have earned very good margins due to continuous design optimization and higher export sales in insulator segm ent and due to revenue mix in EV segment.
Performance for the H1 : The revenue for H1 was about INR 523.18 crores, up by 14%. The company's EBITDA reached an impressiv e INR86.57 crores, marking a substantial 33% increase compared to the previous year. The PBT surged to INR 51.83 crores, a remarkable 53% increase from previous fiscal INR 33.92 crores. The PAT stands at INR 36.65 crores, up by 52% compared to fiscal year.
A word on the standalone basis, the revenue for H1 was about INR 504 crores, slightly behind versus last year by about 3%. However, the company's EBITDA reached an impressive INR82.79 crores, marking a substantial 22% increase compare

d to previous year. PBT on a
standalone basis surged to INR 52.9 crores, a remarkable 34% increase from previous fiscal of INR39.4 crores. The PAT stood at 39.68 crores, up by 33% compared to previous fiscal of INR29.9 crores. Thank you and over to the Axis team for the Q&A.
Moder ator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Bala Murali Krishna Jonnalagad from Oman Investment Advisors. Please go ahead.
Bala Murali: Hi, congratulations on great set of numbers. I wou ld like to know regarding this e -bus the target of around...
Moderator: Bala, your audio is coming a little low. Can you please speak a little louder?
Bala Murali: Yes, yes sure, sure. So, in e -bus category , I think our target is to -- FY24 target is around 1,200 to 1,500 buses I think whether we are still on track are there would be any uptake or down-take on this e -buses, number of e -buses ?
Sharat Chandra: Yes, thank you Bala Murali for your question. We have actually, as you are aware, because of the stringent battery tes ting norms, which impacted the quarter 1 sales. Thereafter, the company has received all the certifications and we are on track.
So, the situation is quite better now and w e have completed the testing and then requisite certificates have been obtained. About three months to 4 months of production and sales were lost out, b ut despite that, we are striving to mak e the shortfall of quarter 1 in quarter 3 and quarter 4. Overall, our numbers, we are targeting about 1,000 buses, 1,000 e -vehicles in this current fiscal.

Bala Murali: Okay, that's so helpful. And regarding this in P&L, we have the spike in testing charges. So , going forward also, it will be in the similar fashion in proportion to the revenue? Are there any chances of that on the lower side of the testing charges?
Sharat Chandra: During this current quarter, we have received all the approvals. So , we do not foresee any such problems in the future.
Bala Murali: Okay, that's helpful. And regarding this e -trucks, so as of now, wha t is the current order book? And I think we have an order from the parent company whether we have received any orders from the other customers regarding e-trucks, e -tippers especially?
Sharat Chandra: Currently, we have delivered about 35 tippers till date and 25 tippers orders on hand. We are in various discussions with various private players. And we have done a lot of trials and demos in various project sites. And we are expecting good orders in the next few months. So, as of now, the traction is yet to take off becau se this segment being nascent and so we expect the traction to happen in the future.
Bala Murali: So just to follow up on that, whatever order we have in e -tippers, that will be delivered in Q3 and Q4?
Manag ement: Yes.
Bala Murali: And in e -bus cases, could you throw any light on the pipeline orde rs? What could be the pipeline tenders which we have participated and what is the size of the quantum number of buses in those tenders ?
Sharat Chandra: As of now, in the pipeline is the major one order from B EST, which is about 2, 400 numbers + 25%. It comes to approximately 3,000 numbers a nd we are pleased to inform we are L1.
We are in negotiati ons with regards to the pricing a nd the other one with regards t o the r ecently Prime Minister e -Seva about 10,000 buses. It is likely to come up in the next 5 months to 6 months in about 169 cities.

Bala Murali: That tender already floated, sir?
Management: Not yet floated. It is expected to come in about 5 months to 6 months time.
Bala Murali: And the best is already we are L1 in the best tender. So, we are expect ing the order to get registered, right sir?
Management: Correct.
Bala Murali: Thank you, sir. Thank you very much.
Modera

tor: Thank you. Next question is from the line of Rithvick a Freelance. Please go ahead.

Rithvick: Good afternoon, sir. It is indeed amazing performance of Olectra Greentech for this particular quarter. So , my first question is that, do you have a group gratuity plan funded for Olectra Greentech b ecause other companies have a group gratuity plan funded. That is my first question.
And my second question is, what is the plan for the manufacturing of the three -wheeler segment , because three-wheeler is a very big market for In dia.
And secondly, how much orders do you expect for the next financial year for the e -tipper trucks and are you targeting P SUs like Coal India for the e -tipper truck segment?
Sharat Chandra: Yes. Thank you, Rithvick . Coming to your question on gratuity plan, as of now, we don't have a funded gratuity plan. We make a provision based on the actuarial valuation. So , as of now, the amount is not big. So in future, we will think about having a fund-based gratuity plan.
Coming to the second question on three -wheelers. As of now, our company is focusing on electric buses and electric ti ppers and truck segment. We do not have any plans for three -wheelers as of now.
Rithvick: And what about the target market for the electric tipper trucks? Are you targeting PSUs w hich are into mining and quarrying like Coal India, et cetera?
Sharat Chandra: Basically, as just I answered to the first question to the first investor the traction on the tipper side is yet to take off. Though, the responses have been very good for all the trials and demos which we have cond ucted in various project sites,.
We expect the traction to happen in the next six months to one year. We don't have exact number how much conversion will happen, but there's a huge potential of conversion because the operating efficiencies, the operating economics of electric tipper versus Ice-tipper is significant So, we expect the traction to happen in the next six months to one year.
Rithvick: Did you expect any tenders also for electric tipper trucks just like buses?
Sharat Chandra: Come again I'm not clear about the question.
Rithvick: Like there are e-bus tenders issued by STUs. So , do you expect e -tenders for tipper trucks in future from government undertakings?
Sharat Chandra: I'm not sure because these inquiries are from the large infra companies and the cons truction companies. The infra, when I say all the roads, mines, ports. So , as of now, the traction is likely to come up from these sectors.
Rithvick: And how is the scaling up going on s o Mr. K.V. Pradeep mentioned in the news channel by December your new plant will be 50% operational and by the end of this year, you'll have a capacity to manufacture over 3,500 buses. So , I hope everything is in line sir, as far as the new plant construction is concerned and I hope it will be operational by December?

Sharat Chandra: Yes, the construction activity is going, the pace is really going up very well. We expect the one shed to be operational by December end. So , in terms of production, we are likely to do the capacity from the new plant, which will get added in Q4.
Rithvick: And last question is regarding the e -tipper truck, so it's an outright sale, right?
Management: Yes, it is a n outright sale.
Rithvick: And what is the gross profit margin per e -tipper?
Sharat Chandra: So, we have EBITDA margins of about 10% -12%. About 12% is what we have made.
Rithvick: Per e-tipper truck?
Sharat Chandra: Yes, about 12% is what we have earned.
Rithvick: Yes, sir. I'm very proud of this pre sentation, sir. I look forward for Olectra growing year -on-year, and I've been holding Olectra since September 2017. And I look forward for many more years association with Olect

ra Greentech as a shareholder. Thank you very much, sir. It is fun
interacting with you.
Sharat Chandra: Thank you so much Rithvick.
Moderator: Thank you. Next question is from the line of Gaurang from Utility Unified Limited. Please go ahead.
Gaurang: Yes. So recently, congratulations on your excellent Q2 numbers. I have three sets of questions.
First set of questions is regarding the hike in the R&D cost. Can you tell us the reason as such for the incremental R&D cost?
Second qu estion is with respect to the BEST order, the first order I'm referring to, wherein only 20 sets were delivered. So, when are we expecting the next deliveries? And my third set of question is recently M EIL has bagged two key orders from Maharashtra government. Basically, one is for the BKC station, and second is for the Borivali-Thane tunnel. So are you planning to deploy electric trucks for those projects? Yes, t hose are my three questions ?
Sharat Chandra: Yes. As far as R&D costs are concerned, we have been investing extensively on getting knowledge -based R&D p ersonnel t hat is the main inves tment in R&D team and then we are investing on testing our product s extensively.
We have been working on alternate platforms a nd all these alternate platforms, and one of the biggest achievements of R&D has been the electric tipper, which has been designed in- house.
So, we have been having a very strong R&D team of over 50 plus persons who have been actually working extensively with our strategic partner to understand and bring in new designs, new models.

So, the alternative platforms which we have introduced, we started making sales to private customers and the response has been very good and new products, we keep continue to work on new products in the electric truck segment by bringing in new products like RMC is one such product where we are testing.
And the second question is with regard to B EST. We have delivered 20 buses yes, you are right and we are planning to deliver significant numbers in the quarter 3 and quarter 4. With regard to MEIL backing t wo orders in Mahara shtra state, we are yet to actually discuss on the possibilities of any electric deployment. But ME IL, on a need basis, they have been deploying electric buses.
For example, in Zojila project we have delivered electric buses and they have used and s o on a need basis they have been actually procuring wherever it is feasible, they have been deploying electric buses in their project sites.
Gaurang: Okay, that's great to know. Just a final question in the commodity market, the lithium prices have been going down. So , are we expecting a betterment in the margins going forward?
Sharat Chandra: I think this question we have answered in the past also because we follow a cost plus model. So accordingly, on larger volumes, we are expecting the EBITDA margin to be in the region of about 10% to 12%. In terms of value, it is going to go up significantly, b ut in terms of percentage, it could be around 10% to 12%.
Gaurang: Okay, t hank you so much for answering a nd all the best for the future.
Sharat Chandra: Thank you.
Moderator: Thank you. Next question is from the line of Viren Deshpande from Alpha Peak Investments. Please go ahead.
Viren Deshpande: Hello, good afternoon, sir. I would like to know, in this quarter, our gross margins and the operating margins, both have c ome down significantly compared to the recent quarter Q1.
Though they are higher over the last year. So, was it due to the change in product mix or the lower production and sales, which happened due to the e -battery problems?
Moderator: Yes, it is primarily on account of product mix.
Viren Deshpande: So, it was d ue to the lower margin product because our operating margins are around 13. 3%, excluding our other income, but how

many buses have you sold in this quarter?
Sharat Chandra: This quarter we h ave sold about 139 buses.
Viren Deshpande: And over the next half, how many are we targeting you said?
Sharat Chandra: We are targeting striv ing to make up the shortfall of quarter 1. We are targeting about 1 ,000 numbers.
Viren Deshpande: Okay, 1 000 numbe rs in the second half w hich will be that signific ant?

Sharat Chandra: Overall for the year, we are targeting about 1000.
Viren Deshpande: Overall for the year, we are targeting 1000. And in the half , how many have we sold?

Sharat Chandra: First half we hav e sold about 232.
Viren Deshpande: 232. So , significantly our 770 almost s hould be there in the second half and if it goes as per the plan?
Sharat Chandra: As of now, basically we are intending to have the additional capacity from the new plant in quarter 4. So with that, we are hoping to deliver about 1, 000 buses / trucks.
Viren Deshpande: And in the Q3 also, we will be now in a proper position to do because that e- battery issue s has been sorted out?
Sharat Chandra: Correct.
Viren Deshpande: In Q3 also we will see significant and Q4 will be the best one as per your…
Sharat Chandra: Yes, correct. Absolutely. Q4 will be the best one. Q3 will be better than Q2.
Viren Deshpande: And now our order book you mentioned is 8 ,100 buses?
Sharat Chandra: Order book is about 8, 209 buses.
Viren Deshpande: And there is no order book for t he e-trucks that is tippers etcetera?
Sharat Chandra: We have about 25 tippers orders on hand. We have delive red about 35 tippers till date a nd we have about 25 tippers orders on hand.
Viren Deshpande: Thank you, sir and a ll the best and Happy Diwali to you all.
Sharat Chandra: Thank you so much, s ame to you and your family.
Viren Deshpande: Yes. Thank you very much.
Moderator: Thank you. Next question is from the line of Umashankar Mukher jee, Individual Retail Investor. Please go ahead.
Umashankar Mukherjee: Hello, sir. So really good result compared to last quarter. So my question is, I checked on the internet, there is no photo or image of a new factory where I can get the overview. How much progress, what is the boundary wall or construction. Because everything we are getting from con
call update.
Because as a small investor, we are investing a lot of amount and that is a little bit risky. Not risky, just concern. But if you are getting real image as of today in a factory which is under construction, as you said, but from quarter 4, we will get the new production, right? So can you get new photos and all?

Sharat Chandra: If you can send an email to our investor CS team, we will try to arr ange. In fact, in the recent AGM, we have shown the progress of the construction to the investors.
Umashankar Mukherjee: Okay. Can I get it if you put in your website or social media or some other place, where retail investor like me can easily search in G oogle or your website. That is the main better place, is your company's website. I checked there is no photos. There is a section called new construction update, but there is no photos or no update.
Sharat Chandra: Yes, we will explore on the possibilities from a compliance point of view. Because we have shared all the pictures and the progress of the construction in the recent AGM. As you have requested, please send an email request. We will explore the possibilities of sharing with you the pictures.
Umash ankar Mukherjee: Sir, what is the email ID, sir? Email ID, could you please let me know? Email ID?
Sharat Chandra: You can refer our website, you will get the email ID. cs@ Olectra.com.
Umashankar Mukherjee: Okay, thank you, sir. Sir, your company's mobile number, land phone also not reachable. Suppose I want to b

uy some parts as a customer, how can I approach you? Because there is a phone number mentioned in your Olectra website. That number is not reachable. If I call to know, what is the status, suppose I want to give a new order or as an investor, I wanted to know some interaction with the management, so I am not able to connect. Not email, I am saying the phone number, which is given…
Sharat Chandra: Yes, actually it is working. So maybe it might be busy when you tried out. I would request that you can send an email. That will be helpful. People can get back to you, our marketing team can get back to you on any inquiry.
Umashankar Mukherjee: Okay, sir, last question and concern that, as on the last con call also, you said the number. We have good number of order book. That is very good. That is why the stock price is going up because of order book. But the delivery, I know last quarter you have a concern of the certification.
So as you have target 1,000 buses and 239 you have already delivered, including this quarter. So we have approximately around close to 800. And as you said, quarter 4 with the new factory, they will contribute. What is your next target in quarter 3? How many buses? Approximately number?
Sharat Chandra: Quarter 3, I can suggest that it will be better than quarter 2.
Umashankar Mukherjee: Okay.
Sharat Chandra: And quarter 4 will be, we are expecting a good ramp up with the capacity.

Umashankar Mukherjee: One question that, current facto ry, as last con call you said, we have a good number of capacity. We can make a double shift or we can increase the capacity in the current existing setup. So that is not being reflected in your delivery number, quarter 2 number. Can we increase our current

capacity? So that we can deliver, because we have good order book. So that no, otherwise it will be big problem if we are planning for next financial year. We don't know, right? Can we increase our current factory's capacity?

Sharat Chandra: Yes, I think, Mr. Umashankar, so we explained to earlier question of fellow investor. We have lost out about almost four months of production and sale. Due to the battery norms. So technically we had about two months, two months to two and half months of production and sale wherein we have achieved about 240 numbers. Whenever there is a need, definitely we will expand our shift. But currently we are working on a single shift. We are striving hard to make up the shortfall of Q1 in H2.

Umashankar Mukherjee: Sir, there is a delivery deadline, right? For that order book, 8,000 buses. So I hope if any miss out of the delivery, there will be penalty, right? I know that you have a time, you have a plan. But seeing the risk, I actually investor, we want not this qu arter, next quarter, maybe next financial year.

If you give, once your new factory will be operating. And if you give the number, deadline, that this quarter we will finish a pprox this number. So that we won't miss our deadline for the order book? So that will be great help actually. For us, like investor, to stay connected with Olectra.

Sharat Chandra: See, basically the broad basic guideline or a broad guideline we would like to give is to complete the order book of about 8,200 numbers over a period of next two years. So we are targeting a big jump next year. About 2,500 minimum numbers. And '25- '26 will be the big ramp up.

Once the new production plant is fully operational from the next financial year, we are expecting good ramp up in '25- '26. And as t he market is growing, overall the market is expected to grow in the next two years to four years to about 40,000 numbers. And Olectra, we want to strive to be a market leader.

Moderator: Thank you. Umashankar, sorry to interrupt you. I'll request you to come back for a follow -up question. The next question is from Chethan Dhruva from Dil zer Consultants. Please go ahead.

Chethan Dhruva: Thanks for the time. So, sir, I have two questions. First question is on the outlook that you have given last quarter. And how would you find out? So last quarter, you had said that, you will be able to do 1,200 to 1,500 buses, right? After this issue was known, the battery issue. So what happened between the last quarter call to now that reduced this outlook to 1,000?

Sharat Chandra: See, we want to be conservative in giving the numbers. We have indicated about 1,200 to 1,500 numbers when we did the earnings call. Right. So based on whatever has happened in the last four months, in fact, and all that, though we want to do bett er than that, but we want to be conservative in stating that about 1,000 numbers is what we are planning to achieve.

Chethan Dhruva: Okay. So there's a potential to go much higher. At least in Q4, right?

Sharat Chandra: There's a potential, but we want to be targeting about 1,000 numbers.

Chethan Dhruva: So that's like your minimum target?

Sharat Chandra: Yes.

Chethan Dhruva: Okay. I had a question on the other segment, the insulator one. What is the outlook there? Because I think we have not been discussin g that much. Can you give some indication of how you think that will grow this year and next year?

Sharat Chandra: Insulator segment is doing very well in terms of good operating margins. This is driven primarily by export segment. And we have been exporti ng to US and we have been exporting to other countries as well. That is one. And then we have actually getting and focusing on higher KV insulators, which is helping in generating good operating margins.

And recently, in the month of September, we have rec eived about almost more than INR40 crores of orders, which is very significant. This market is not unlimited. The market is about INR350 crores - INR400 crores. But with government push on electrification and transmission lines, we expect the growth of busi ness to pick up in the next two years. And we are having a very healthy market share. Last month, we got about 45% -50% market share.

Chethan Dhruva: Okay. Great.

Sharat Chandra: Overall, in topline, it will be about INR 150 crores.
Chethan Dhruva: Sorry, si r? You will do INR150 crores this year?
Sharat Chandra: Yes. We are targeting to do about INR150 crores -INR160 crores.
Chethan Dhruva: Okay. And you have done almost 21% PB IT. So, we will continue above this level going forward? Last quarter was a bit high er, but I am blending it...
Sharat Chandra: It is all because of the product mix actually. Because we had a lot of exports and higher KV sales. So, if it is the lower KV sales, the margins will be different. But the margins have been growing. If you look a t the last four quarters - six quarters, it has been growing.
Chethan Dhruva: Right. Okay. Got it, sir. So, we can assume the similar levels are probably inching upwards based on your product mix?
Sharat Chandra: Yes.
Chethan Dhruva: Thanks a lot. Looking forward to the next quarter's call with higher numbers. Thank you.
Sharat Chandra: Thanks a lot. Thank you so much.
Moderator: Thank you. Next question is from the line of Suneel, Individual Investor. Please go ahead.
Suneel: Hi. My question is like, what are your plans of raising the fund, actually? Because we are waiting for the fund raising from last so many months? That is my first question. And my second question is regarding, what happened to the R&D of doing with the hydrogen vehicles which we tied u p with Reliance? These are my two questions.

Sharat Chandra: Regarding your first question on the fund raise, there is no change as such in plans for fund raising. As the market was not conducive, we are waiting for the appropriate time to come u

p with the equity raise. So, we would come up after internal discussion with the concrete plans before the end of the financial year. In the interim, due to delay in the raising funds from the equity market, we have decided to proceed with internal approvals and rai sing of debt for immediate capex expansion.
Suneel: Okay.
Sharat Chandra: That is the first question. And second question with regard to hydrogen, I think this segment being nascent, it will take at least a year because testing is going on. And it will tak e at least a year, to have more clarity on this segment.
Suneel: So, are we targeting only from the buses of hydrogen or any other vehicles like cars or anything? Only on buses?
Sharat Chandra: Yes, only on buses. Yes. We are focusing only on buses.
Suneel : Only on buses, hydrogen buses?
Sharat Chandra: Yes.
Suneel: I have one more question. So, you said like in the December, the part of the new factory will be readily available. So, is it like as previously, initially mentioned, like is it like almost like automated or is it like initially, that it will not be automated?
Sharat Chandra: Initially, we may go for manual process. And in subsequently, we will introduce the automation.
Suneel: Okay. Fine. So, even for the automation part and everything else, MEI L will be taking it up or some other, we have some other technical partnership for making it automated?
Sharat Chandra: We gave the order for MEIL to build the factory. So, they will be taking care of the civil part. As far as the plant and machinery is co ncerned, we are discussing with reputed OEMs to source the machines.
Suneel: Okay. So, that is not yet concluded, you mean to say?
Sharat Chandra: Yes. It is in, we are placing the orders. We have reached the stage where we have negotiated and placing the orders.
Suneel: So, for all these things, the funds will be arranged through, as of now, it will be through debt process only, am I right?
Sharat Chandra: Yes, correct. Internal accruals and debt.
Suneel: Fine. Thank you.
Moderator: Thank you. Next questio n is from line of Smita Mohta from Kredent InfoEdge. Please go ahead.

Smita Mohta: Okay. So, basically, from your older con call, there are two questions. I joined in late, maybe you might have answered. Still, I would like to know about your technical, pa rtnership with BYD because of which MEIL was not given orders to, join hands with the Chinese counterpart. What about that, first of all?
Second of all, is that in any way hampering in getting new orders for tippers or for buses? So,

how are you going forw ard with that? And for the technology part, what have you decided? Will
you, as you rightly said in the last con call, that the contract is still valid for two more years. So, have you thought about, joining up anything else? Or that are you working on it for future? So,
those are my two questions.
Sharat Chandra: With regard to the technical tie -up with BYD, the rejection is not relating to our partnership. Our technology partnership is very, very strong. We started our journey in 2015 and working together
with them and with a strong R&D team. So, we have been creating new portfolios, new product
lines, and alternate models.
So, as I think, we have mentioned in the previous call, we were initially totally dependent on
BYD as a technology partner. But with our very strong internal R&D team, we have been developing and acquiring knowledge transfer from BYD. And definitely the relationship is beyond 2025.
We have a very, very strong relationship with BYD. And as far as the JV is concerned, it has nothing to do with Olectra. That is relating to JV for relating to passenger cars, which got rejected
by the government of India. So, as far as our relationship is concerned, it is very, very strong and it is expected to go beyond 2025.
Smita

Mohta: Okay. But with Make in India policy, does it hamper your bus orders moving forward? Because
lately we haven't seen any announcement to the exchanges regarding any new orders post the
order s of 5,150 buses ?
Sharat Chandra: See, we have clarified earlier. I would like to clarify again. We are dependent on BYD for the
battery cells and some of the child parts relating to powertrain. Apart from this, all the other
components, we have developed vendors locally in India. And we have been sourcing all the key components from local vendors in India.
So, that will answer your Make in India question. And the battery cells, from the cells to pack is done in India, which is permissible as per the government norms. And the second question was
with regard to -- can you repeat what was the other question?
Smita Mohta: Yes. The second question was with regard to the buses orders, which we did not see post 5,150
buses?
Sharat Chandra: There are not many tenders except the BEST tender, which is the big one, which is there, where we are L1. And we are in the process of finalizing and the price negotiations are on. We are L1
for about 2,400 + 25%. That is around 3,000 buses from BEST.

Smita Mohta: Okay. This BYD segment that you spoke about, that makes up what percentage of the total
component of your bus, which you are sourcing from them?
Sharat Chandra: It's about 25 to 40%.
Smita Mohta: Okay. And this order book, which you said last quarter also that you expected to finalize for these buses. When do you feel by Would it be like, the L1 will be completed by the next quarter?
Sharat Chandra: We expect that order to get concluded in a few weeks.
Smita Mohta: In two weeks?
Sharat Chandra: Few weeks.
Smita Mohta: Few weeks. Okay. Okay. Got it, sir. Can you tell me about your tipper section? Because we are not having much of details on the tipper. So, what do you see the order book going ahead? Are the orders coming through? What are the margins that you had expecte d in tipper business? And
plus the business that you did in Oman?
Sharat Chandra: So, as far as tippers are concerned, we have delivered till now 35 tippers and we have about 25 tippers orders on hand. We have done a lot of trials and we are expecting vari ous orders are
under discussion. The traction in the tippers segment is yet to take off. We expect in the next six months to one year, a lot of enquiries getting converted into orders.
Smita Mohta: And what about Oman, sir?
Sharat Chandra: What is it?
Smit a Mohta: The Oman business that you said?
Sharat Chandra: Oman? We never mentioned about Oman.
Smita Mohta: International business that you had done, sir, which would reflect in your orders?
Sharat Chandra: I am not clear about your question, ma'am.
Smita Mohta: About the international orders that you had undertaken for providing internationally also these buses, so how far have you gone for that, sir?
Sharat Chandra: As of now, we don't have any other export orders as of now, though a lot of enquiries are
happening from various countries. So, as of now, the enquiries have not get converted into
orders. Currently, we are focusing on the existing order book and introducing new product portfolio within the tipper and trucks . And we have been working on alterna tive models to bring
and explore various other applications.

Smita Mohta: Okay. And these orders for the buses tentatively were supposed to be completed within 12 to 18 months as you pointed out in the last con call. So, do you think you will be able to do that?

Sharat Chandra: Basically, we are targeting about 2500 to 3000 numbers next year. And 2025 will be the big year in terms of ramp up. And we expect about 4000 to 5000 numbers. So, we will be able to meet the timelines. And one importa

nt thing to be noted is basically, for example, this 5150 buses require about almost 170 to 180 depots to be operational.
So, from the STU's scope, they have to keep the depot space and power connection.
Accordingly, we will build the charging infra and then we will start delivering the buses. So, if there are any delays in setting up the depots from the customer side, so accordingly the delays could be deferred. But otherwise, we are having plans to complete the deliveries in the next 24 months.
Moderator: Thank you. Sorr y to interrupt you, ma'am. I will request to come back for a follow -up question.
Next follow -up question is from Viren Deshpande from Alphapeak Investments. Please go ahead.
Viren Deshpande: Hello. Good afternoon. Thanks for the follow -up question. I would like to know how much is the import content? Because we are dependent on BYD China for importing these battery cells and power train you mentioned. So, I think that constitutes 60% cost?
Sharat Chandra: See, I think I clarified in the previous question raised by the investor. We are dependent on BYD for importing cells, battery cells, and a few components relating to the power train. Totally, this will constitute between 25% to 40%.
Viren Deshpande: Okay. 25% to 40%. And other localization, so other part s also, so the manufacturing is INR100, about 25% to 40%. So, 60% to 70% is sourced or everything is in Indian components.
Sharat Chandra: Correct.
Viren Deshpande: So, it is only 25% to 40%. And this new battery norms which got changed in Q1 and that affe cted us for about three, four months you mentioned. So, there was I think, how much can we quantify?
How much was the sale we could have done which we have lost because of that? Any idea?
Sharat Chandra: About 200 numbers we would have lost?
Viren Deshpand e: Okay. That is substantial because we made 232 in the half one and almost about 200 buses you could have done. So, that will get postponed to the half two and we hope we could do well in half two?
Sharat Chandra: Correct. We expect, yes.
Viren Deshpande: Thank you, sir. All the best.
Sharat Chandra: Thanks a lot.
Moderator: Next follow -up question is from Smita Mohta from Kredent InfoEdge. Please, go ahead.

Smita Mohta: Okay. Yes. So, thank you for allowing me for the second time. I just wanted to know, sir, as you said in this call that you are going in for internal accruals as well as for debt raising. So, how much would that be as on a debt equity basis? Are you comfortable? And what would be the debt in total to be raised?
Sharat Chandra: Yes, we are targeting about 65% to 75% debt and balance 25% to 35% by way of internal accruals.
Smita Mohta: Okay. And this debt would be taken at what rate, sir?
Sharat Chandra: We are negotiating to get very good rates. We expect around between 8.5% to 9%.
Smita Mo hta: And how long do you think you will take to repay this debt, sir?
Sharat Chandra: We are looking for tenor of about five years. But we would like to repay earlier based on the cash flow situation.
Smita Mohta: Okay. Thank you, sir. That's all for my si de.
Moderator: Thank you. Next follow -up question is from the line of Gaurang from Utility Unified. Please go ahead.
Gaurang: Basically, to facilitate the sales of electric t ippers , it is necessary to have a wide distribution network for spares, right? So, do we plan to have a nationwide distribution network for the same?
That's my first question. And second question is, recently there was a report that Tesla is going to use BYD batteries.
And so are our local OEMs like Maruti and Mahindra. So, which basica lly connotes that the quality of BYD batteries is really good. So, are we also planning to do any future planning with respect to passenger vehicles? So these are my two questions.

Sharat Chandra: As far as the second

question is concerned, we do not have any plans to enter into passenger vehicle segment as of now.
Gaurang: The first question is basically, do we plan to have…
Sharat Chandra: Yes, first question is with regard to -- we have a very, very strong service team. So, to facilitate the operations, we have for the electric buses, service team which work with the customer's operation team. And we work and strive to have about 95% on road. And we have a main warehouse in Hyderabad, w ith spare part s. And the second biggest warehouse is in Maharashtra in Pune.
Gaurang: Okay. But so, there is an order from Orissa where mining is quite significant. And we want to cater to those services over there. So, don't you think it would be a little difficult to send parts from Hyderabad and Maharashtra to Orissa? So, in that case…

Sharat Chandra: No, no. We have depots everywhere. Wherever at every customer location, we have a depot and service team to take care of the operations and in the depot, we stock all the critical spare parts so that the buses are fully opera tional and they are at 95% on road.
Gaurang: Actually, sir, I am referring to the electric tipper truck. The electric tipper truck. So, in order that segment is successful, we need to have distribution nationwide, right? So, if a customer is based out of Orissa, would he be expecting a particular store there in his state? So, from that point of view, I am asking this question?
Moderator: Participants, please stay connected. The line for the management dropped. Participants, please stay connected while we r eturn the management back to the call. Sir, please go ahead.
Gaurang: Should I repeat your question?
Sharat Chandra: Yes, I got your question. You were asking about spare parts. See, we have main hubs in Hyderabad and Pune, where we have large fleet - state of Maharashtra. Also in Mumbai we have a big warehouse to take care of the Bombay operations.
Gaurang: Through the related to the buses, I am asking about the electric tipper truck?
Sharat Chandra: See, tipper as and when the market picks up, we are planning to have locations everywhere. Wherever our customers space, we keep all the critical spare parts along with the service team.
Gaurang: Okay, got it.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I now hand the conference to the management for closing comments.
Sharat Chandra: Thank you very much. We wish all our investors and stakeholders very, very happy, safe and green Diwali. We are confident of delivering better results in H2 compared to H1. And we are striving to cover up the shortfalls in Q1. And with the latest order of 5,150 buses, orders from MSRTC and expected orders from BEST , we hope to have a very, very strong order book and deliver excellent results in the coming quarters. Thank you very much.
Mode rator: Thank you very much. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2024

"Olectra Greentech Limited Q3 FY24 Earnings
Conference Call"

January 31, 2024

MANAGEMENT : M R. B. SHARAT CHANDRA – CFO, OLECTRA
GREENTECH LIMITED
MR. P. HANUMAN PRASAD – COMPANY SECRETARY &
COMPLIANCE OFFICER , OLECTRA GREENTECH
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Earning Conference Call of Olectra Greentech hosted by Axis Capital Limited.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during the conference call, please signal an operato r by pressing '*' then '0' on your touchtone phone. Please note that this c onference is being recorded.

I now hand the conference over to Mr. Amar Kant Gaur from Axis Capital. Thank you and over to you, Mr. Gaur.

Amar Kant Gaur : Thank you, Muskaan. Good evening, everyone.

On behalf of Axis Capital, I welcome you to the Q3 FY24 Post-Results Conference Call of Olectra Greentech.

From the Management Team, we have with us Mr. B. Sharat Chandra - CFO, Mr. P. Hanuman Prasad – Company Secretary and Compliance Officer. I will now hand over the call to Mr. Sharat Chandra for his opening remarks, post which we can have Q&A. Over to you, Mr. Sharat Chandra.

Sharat Chandra: Thank you, Amar. Good afternoon, everyone. We are taking as read the Presentation which is put on our website along with the sa fe harbor statement thereon. Thank you all the investors for joining in the Earnings Call for the Financial Year '24, Q3 and nine months Results today.

We are very pleased to inform our stakeholders that we continue to report strong set of results for the quarter and nine months period ended 31st December 2023, both in terms of topline and profitability on a consolidated basis as well as on standalone basis. We have delivered 1,564 electric buses and 51 electric tippers till 31st Decem ber2023. Thanks to our team's dedication and strategic initiatives and the key indicators which in quarter two signaled a positive trend, which has since accelerated in quarter three and we remain positive for Quarter 4.

Strong demand continues with the Company's net order book of electric buses, stands at 8,088 numbers after delivering 376 electric buses in 9 months. Our focus continues on increasing our manufacturing capacity and enhanc ing our technology capabilities. The construction work of the new state-of-the-art plant at Sita rampur is in full swing, and pilot production from the facility will be initiated from the 2nd of Febr uary, which is just two days away.

Now, I will begin with providing you key high lights for Quarter 3 consolidated financials:

The Company's EBITDA for Quarter 3 Financial Year '24 reached an impressive Rs. 56.10 crores, marking a substantial 52% increase compared to the previous year. The PBT surged to

Rs. 33.84 crores, a remarkable 65% increase over the previous fiscal year of Rs. 20.46 crores.

PAT for Quarter 3 stood at Rs. 27.11 crores comp ared to Rs. 15.3 crores with a jump of 77%.

On a standalone basis:

The Company's EBITDA in quarter three reached an impressive Rs. 49.84 crores, marking a substantial 56% increase compared to the previous year. The PBT surged Rs. 29.92 crores, a remarkable 73% increase from previous year's fiscal of Rs. 17.3 crores. The PAT stands at Rs. 22.28 crores compared to Rs.

12.98 crores with a jump of 72%.
The quarter P&L highlights are as follows:
Revenue for the electric vehicle segment grow n by 34% and insulator segment grown by 32%.
Both the segments have shown good growth in operating margins due to the design optimization and export sales in the insulator segment and revenue mix in the e-bus segment.
Coming to the nine-month result:
The revenue for nine months on a consolidated basis was about Rs. 865.33 crores, up by 21%.
The Company's EBITDA in nine months reached an impressive Rs. 142.67 crores, marking a substantial 40% increase compared to the previous year. PBT for nine months stood at Rs. 85.67 crores vis-a-vis Rs. 54.38

crores, a remarkab le 58% jump. PAT for the nine months on a consolidated basis stands at Rs. 63.76 crores, up by 62% compared to the previous fiscal year Rs. 39.4 crores.
On a standalone basis: The revenue for nine months was Rs. 835.84 cror es, up by 9% from Rs. 766 crores of previous fiscal year. The Company's EBITDA reached an impressive Rs. 132.64 crores, marking a substantial 33% jump versus the previous year of Rs. 99.81 crores. PAT for 9 months on a standalone basis stood at Rs. 61.96 crores compared to the previous year fiscal of Rs. 42.9 crores, up by 44%.
Thank you all and over to Axis for Q&A.
Moderator
: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rishabh Agnihotri, an individual investor, please go ahead.
Rishabh Agnihotri: I just wanted to quickly understand. I mean, we all saw the CMD interview on CNBC. The guidance was revised tolike700-800 buses while it wa s 1,000 in the last quarter. And the reason quoted was the battery norms, right? I think you were very clearly out of the woods the last time we spoke on the concall. So, what happened here and I mean should we expect similar things because the guidance of 2500 has been given to the next year. Just wanted to get a sense what happened like where we went from 1000 to 750 in terms of guidance in FY24?

Sharat Chandra: So, as you rightly said, our target was about 1000 -1200 buses and trucks together earlier. But as you are aware, I think we have discussed in the past earnings call, the battery norms which were introduced, and which was mandatory for delive ring and selling the bus es have impacted significantly. We mentioned that in the earlier call and we have also mentioned that we are striving to make up the shortfall of quarter one. Nevertheless, we have seen as we committed ourselves earlier, H2 will be better than H1 acco rdingly if you have seen quarter three numbers, we have seen a definitely improvement over qu arter one and quarter two. We are definitely not facing or not foreseeing any challenges next ye ar. Things are more or less stabilized now. And because of the overlapping effect, the sales guidance has come down. But overall, if you see, we have been performing quarter-on-quarter for th e last eight quarters improvement except for quarter one of current year.
Rishabh Agnihotri: For sure, I agree. I mean, from a competitive pers pective as well, our margins are much better, ROCE is better, debt is better. So, great thing th ere. Just two more questions here. One, like the MSRTC order, which is of the 5,000 buses, right? Considering 2,500 next year, I hope there is no hit there because we have delivery in the next two years, right? That is one. And second, any comments on the new PM Bus Sewa order, I know the target guidelines have been extended to like now to six… but any window to us there that, how would that tender look like?
Sharat Chandra: Coming to MSRTC order, as you rightly said, 5150 numbers, we are planning to deliver in the next two financial years. Next year, we are targeting a minimum of 2,500 numbers and the balance we are trying to complete in Financial Year ‘25-26. The question was with regard to the PM e-Sewa, yes, it is still in the initial stage. So , we are expecting that to conclude in the next few months. Regarding, the PM e-Sewa, the te nder is basically the Government of India's commitment towards clean mobility, which will be beneficial for all the players in the market. Still the financial evaluations in the tender stag e. In the coming months, we are expecting the tender bids to be submitted. And we are definitely anticipating good orders in this. So, we will submit a bid shortly.
Rishabh Agnihotri: I mean, are you saying that we will not submit the bid this time?
Management: Let me clarify. Mr. Rishabh, the PM Sewa tender is the

yet to float the tender. It is the only announcement that came. The tender is yet to be submitted….
Sharat Chandra: The bid is yet to be submitted and will be submitted shortly.
Moderator: Thank you. The next question is from the line of Sidharth Agrawal from Systematix. Please go ahead.
Sidharth Agrawal: Very happy with your results, sir just a few questions. Sir, in Q3, how many buses did we deliver

and tippers also?
Sharat Chandra: Yes, we have delivered about 162 buses in Q3.

Management: 162 buses and 16 tippers.
Sidharth Agrawal: How many tippers?
Sharat Chandra: 16 tippers.
Sidharth Agrawal: And what is our target for Q4 since the situa tion is improving in terms of back-to-testing rounds?
Sharat Chandra: Yes, Q4 will be better than Q3. That is what we are targeting. And we are striving to basically meet the target of definitely what we have recently mentioned in the CNBC interview. We are striving to meet that target. We are targeting about 650 overall for the year.
Sidharth Agrawal: So, around 270 odd, we can look at that.
Sharat Chandra: That is what we are looking, we are striving to do that number.
Sidharth Agrawal: And tippers, we don't have any issues right?
Sharat Chandra: Altogether. See tippers till date we have delivered about 51 tippers. The response has been very good, but as we mentioned earlier the traction is ye t to happen. It is expected to happen in the next few quarters. And a lot of inquiries are happening. We are doing demos in the customer project sites. And about 25 electric tippers are in the final stage of disc ussions and finalization. So, this will definitely come up in the next financial year.
Sidharth Agrawal: And what is the selling price of one tipper?
Sharat Chandra: It is about, again, depends on again the specific ations of the customer. So, average about Rs. 1.3 to Rs. 1.4 crores.
Sidharth Agrawal: Okay, and no subsidy over here, right?
Sharat Chandra: No subsidy. This is basically private purchases, private sales.
Sidharth Agrawal: And how much is capital to our group Co mpany and how much is external party?
Sharat Chandra: As of now, we have sold all the 51 to the group Company. Because as you are aware, MEIL, which is a very large, second largest infra comp any, procure for their own internal consumption tippers. So, the initial orders, it is a good ground for us to do the trials and demos. And they have been very successful. Now, private inquiries are coming up and we are showing the demos. We expect the traction to happen in the next 2 to 3 quarters.
Sidharth Agrawal: So, Megha would be requiring how many tippers in a year, sir, because the second largest infra company of the country. That demand can be tr emendous and how much capacity of tippers do we have?

Sharat Chandra: There is not any constraint as far as capacity is concerned. The traction should happen. And we are coming up with a new plant as we have mentioned. We are doing trial production, pilot production from day after tomorrow in the new plant. And post that, we are going to start production in the next financial year. So, we ar e not facing any constraints with regard to capacity.
Sidharth Agrawal: And that capacity is fungi ble between buses and tippers?
Sharat Chandra: Yes, correct.
Sidharth Agrawal: Second point is, how is the funding being done of th is plant? And what is the total cost of the plant? Since we are starting pilot, means everything would be capitalized out, right?
Sharat Chandra: Yes. See, basically, we have about Rs. 750 cror es in the total projec t cost. So, for now, doing the funding from internal accruals and debt. The de bt is in the advanced stage of sanctions by commercial banks. We expect the sanctions to happen in the next 2 to 3 weeks. And once that happens, we are going to draw down

the debt. The debt is in the region of Rs. 500 crores.
Sidharth Agrawal: So, till now, who is paying for it? Our internal accruals?
Sharat Chandra: Yes, correct.
Sidharth Agrawal: So, till now, how much have we spent, sir? Approximately?
Sharat Chandra: Approximately about Rs. 100 crores we have spent.
Sidharth Agrawal: That is our internal accrual?
Sharat Chandra: Yes.
Sidharth Agrawal: Sir, last question. We talk about FAME II or FAME III comes, so what is your expectation of FAME III, will the subsidy because we get so many articles, some in favor, some against, you would also be knowing, so what are we expe cting from FAME III? Is the subsidy for us going to be increased or everythi ng going to be taken away?
Sharat Chandra: Basically, I think we have to wait for tomorrow's interim budget speech from the Finance Minister, but definitely the Government of Indi a is supporting. They are very bullish. In the recent past, you must have seen the announcement of about 8 lakh buses getting converted. So,

all these are very positive. So, the intent is basi cally to make the e-buses adoption in a big way.
So, not only buses, electric vehicles, but e-buses being largest in terms of about 2 million buses are operating on Indian roads. So, these conv ersions will be definitely incentivized. The government will be trying to incentivize the OEMs, the operators and the end customers.
Sidharth Agrawal: And sir, what are the last two orders that you received?

Sharat Chandra: The last order we received from Vasai-Virar, about 40 buses and one private order. Apart from that, before that, as we have discussed, 5,150 wa s the MSRTC which is the largest in the country.
Sidharth Agrawal: So, private order of how many buses and from wh ich Company is it? Is it like a tour operator?
Sharat Chandra: No, basically the private inquiries keep coming in. So, basically it's not a tour operator. So, about 40 buses, one bus is a very small number. 40 buses is what the larg est this year like last order was 40 buses. And now actually I think we have mentioned earlier, best still under negotiation.
So, it is about 3,000 buses, we are L1. PMC 300 bus es also we are L1, both these tenders are under negotiation.
Sidharth Agrawal: Best 3000, we are L1 and PMC Pune 300 L1.
Sharat Chandra: Yes, 300 L1 correct.
Sidharth Agrawal: What is the status of the previous order which had gone to High Court and everything? Are we delivering anything over there or we stop totally?
Sharat Chandra: No, 2100 buses Supreme Court has given the orde r in our favor and we started delivering. We have delivered more than 100 buses till now.
Sidharth Agrawal: All in Bombay?
Sharat Chandra: All in Bombay, yes, correct. You are right.
Sidharth Agrawal: And there is no risk in those orders? Because if I remember, or you may correct me, since you are the expert, that Supreme Court has said th at you can give but it's at your own risk?
Sharat Chandra: No. All those things are old. That is an old matter. Now, ev erything is done in our favor. So, I think this has come up in the last quarter itself. And our Company Secretary Legal and Compliance Officer will just gi ve you a highlight of that.
P. Hanuman Prasad: Mr. Sidharth, you are referring to interim order initially, which we got. Fi nally, the case has been disposed in our favor, and we started delivering it.
Moderator: Thank you. The next question is from the line of Gaurang from Utility Unified, please go ahead.
Gaurang: Congratulations, first of all, on the excellent Q3 numbers. And it is very encouraging to know that the pilot for the new Greenfield facility will come in a few days. It is excellent news. So, my question is to understand the preparedness of setting up shared channels with respect to stand out products of Olectra in the market. I am talkin g about two specific produc ts. One is the elect

ric
CX2 coach bus and the second is the legendary el ectric tipper truck which is the first EV tipper truck which is homologated in India. So, in or der that we prepare for the incoming huge orders from private entities, we need to have good visibi lity of products. What we see recently is BYD

passenger vehicles have tied up with Landmark Mo tors which is a listed entity for sales and service of BYD passenger vehicle cars for the showroom in Mumbai and few other places. Also, Ashok Leyland has a tie-up with Landmark Motors . So, my question is, are we looking for similar tie-ups with reputed channel partners for sales in private segments? And yes, that's my question.
Sharat Chandra: Yes, that's a good question. See, as far as the BYD thing what you are referring to relates to retail, passenger vehicles . So, obviously for passenger vehicl es, you need to showcase clearly with the display and all. That's what as far as we are concerned, we have large orders of about 8,100 buses which have to be delivered in the ne xt two years. So, right now we are focusing on that. Of course, we have been doing a lot of de mos and then we are getting private inquiries and private sales we have done about almost 20 numbers in the rece nt past. And in the new facility, where we are building a state-of-the-art new plan t, we are going to showcase a separate display of all our products. And the other aspect is, as far as we are concerned, th e model is GCC, I think you are all aware. So, all the buses we deliver to, respect to STU are parked in the respective depots in various states. And our service personnel are placed in the depots to take care of the service activities. So, that way we are geared up for any kind of after-sales service. So, being STU driven now currently, so the retail side thing we will focus in future. As of now, we are focusing on delivering the STU orders.
Gaurang: My second question Sharat, as you understand Fr eshbus has partnered wi th Olectra for their private electric bus segments. So, are we expecting any new orders from Fresh Bus as well?
Sharat Chandra : Yes, definitely the initial order has been enco uraging. They've been doing well. We expect new

inquiries coming from not only Freshbus , some other private parties also.
Moderator : Thank you. The next question is from the line of Rishabh Agnihotri, an individual investor, please go ahead.
Rishabh Agnihotri: Just one quick question on the 3000 order. The ne gotiations have been going since like 4 months right now. I mean, I think we have been thinking more since last two quart ers Hope I just want to sort of get what's the problem? You know cons idering like all of our tenders have been sort of coming through from a similar BSRTC, righ t MSRTC and BEST. So, can you just throw some highlights on that. What's the challenge which has come there?
Sharat Chandra: Obviously, the state of Maharashtra is in the forefront in the country with the adoption of e-buses in taking shape in a very good manner. So , obviously, BEST is a very large entity. They have about 4,500 fleets which they want to conv ert into e-buses. So, the financial negotiations are in progress. It is taking more time, but we expect to conclude in the next few weeks.
Moderator: Thank you. The next question is from the line of Anil, an individual inve stor. Please go ahead.
Anil: On 2nd January this year, we got a very good ne ws from the government of India that they're looking to launch almost 8 lakh buses across India. So, we are seeing such kind of optimistic

environment around the EV industry. But then why we are having a pessimistic approach of revamping the capacity of the Company? If you l ook at 8 lakh buses in 6 years to be delivered and we want to be top five pl ayers, we should be contributing 20% of the industry. And if you

see from that perspective, we should be having 30,000, 40,000 buses delive ry capacity per year. Last 4 years, we are struggling to bring the cap acity from 1,000 buses a year to 10,000 buses a year. Can you please tell me why you are so pessi mistic? Why you are not so... You have to be optimistic.
Sharat Chandra: Yes, Anil, to clarify, so basically any industr y, it takes time. So, as far as EV segment is concerned, still we are in the nascent stage. On ly about 7,000 buses have been delivered or deployed in India. Of course, the government of India has been very supportive and then coming up with various initiatives to accelerate the a doption. For your kind in formation, none of the OEMs in the country have got capacity. They have to build capacities. At the same front, we have taken the initiative. We are building up the capacity to start with the 5000 numbers and in the second phase, which could happen very quick ly to 10,000 numbers. Based on the demand, definitely we would invest into the CAPEX. See our philosophy has been always to get orders and then invest into the CAPEX, rather than investing into CAPEX and then waiting for the orders. If you see historically, that is our philosoph y. And definitely if such kind of numbers are coming up, our management is definitely geared up to increase the capacity.
Anil: Yes, so my question is that only, because I also understood that it is a story of something that somebody is waiting for the patients to first come, and then after that he starts studying the medicine, which is not so practic al as far as the new industry is concerned. Why don't you think that instead of going so much conservative, I know that you are coming from an infrastructure success background, maybe applicable there, but in an industry which is driven by technology and such a huge surge in demand in a short period of time, you should think that balancing it out and come up with an optimistic policy then rather a pessimistic policy.
Sharat Chandra: Definitely we are optimistic, noted your point. So, please see our performance over the past eight quarters. So, we are definitely progressing. We want to progr ess more from now, and we are building up the facility, and the pilot production is happening in 2 days from now. And in the new facility, we want to do a minimum of 2,500 numbers next year. Depending on the requirements, we are geared up to ramp up to 5,000 very shortly.
Anil: Yes, so my request is to think about building th e capacity and then looking for the orders rather than trying to first get the order and then building the capacity because there is a huge lag between getting the order and then building th e capacity. Second question is, you see like you look at any Investor Conference Call on 2nd January when you were there on CNBC, most of the questions are around what is your capacity? What is your order on hand? and how much buses you have delivered. Can't we ask, make it this simple and transparent and you publish this data on your website? Because transparency an d simplicity bring value to the Company. Look at the value what Olectra is having today. Any Company which is there in the EV sector is having more than 25,000 crore of valuation and we are st ruggling to achieve 15,000 crore of valuation.

Being a top five player in the industry right from last 5 years. I feel that you should look at having these simple transparent stats available on the website. Can you please assure all of us?
Sharat Chandra: Anil, just to clarify, of all the OEMs, Olectra is number one in terms of performance, in terms

of delivery. So, I do not know what kind of information you have. So, we have, for your kind information, delivered more th an 1600 electric vehicles on da te. And our buses have clocked more than 20 crore kilometers on Indian roads. We are definitely striving to do better and also

we are noting your point. We want to perform qu arter-on-quarter, better than previous quarter. So, we are not that conservative.

Anil: My point is our performance is excellent. What I'm saying is that because of transparency issue or maybe timely availability of the stats, because of non-presenting the strength of the Company on a timely basis to the differen t investors group. Our valuation is not what is being reflected today. So, my request is that though we are performing in a very excellent manner, but somewhere the common questions like, what is my capacity? What's your order on hand? How much you are going to deliver? How much you have delivered? These are the small statistics, simple statistics. If you make it available on website, it will ease peopl e to know the Company's strength and progress which will reflect in the Company's valuation as well.

Sharat Chandra: Yes, just please note, I will just give a highli ght and then our Company Secretary will also talk about it. We are a listed Company, you are aware, and we are bound by the PIT regulations and information which is price sensitive cannot be put on a website, right? So, forward-looking statements, yes, to the extent of what is in public domain, we can publ ish, right? I will ask Company Secretary Mr. Hanuman to clarify.

Hanuman Prasad: In continuation of what Sharat clarified, Mr. Anil, I would like to say most of the information which you are asking, the questions in CNBC or wherever we have been or CMD have been asked, are mostly price sensitive information, we have to be careful while dealing with the price sensitive information. And other part of your question, why can't it be placed in the public domain. If you see, at appropriate time we have been disclosing all these issues. If we say
capacity, what is the timeline for commencement of this factory. In our shareholder's resolution itself, we mentioned 12 months . But whenever we are interact ing with the media, obviously people were asking when can we expect. So, we were striving to do that, to meet the timelines, or even before that to complete. In that process, there are some issues that need to be addressed.
So, other thing, about order book you are asking. even the 40 buses order also, we have been disclosing to the stock exchange, it is very much available in our website as well as in the stock exchange websites also. Beyond these certain th ings which are anticipatory or which are price
sensitive information, we are not supposed to place it on website or even can’t discuss in the calls also. I think you would understand the severity of the price sensitive information related issues.

Anil: Yes, I was requesting for the actual delivery of the buses to be displayed on the website?

Sharat Chandra: Actual delivery of buses in this investor call presentation itself, the starting slide itself it is displayed and you will find it every quarter.

Anil: Can you do it on a month-on-month basis instead of in the investor call?

Sharat Chandra: You are asking for month-on-month investor call?

Anil: No, month-on-month actual delivery of buses on the website, so with that we can know the progress of the Company.

Sharat Chandra: I think because statutorily quarterly once we have to give, in between month on month before placing in the website actually we have to think of because being it is a highly price sensitive information which will have huge impact.

Anil: My last question is that like it is a growing Company so Company Secretary and Chief Financial Officer and CMD has to focus on the Company's expansion and so why not we get a Chief Investor Relation Officer who is 100% dedicated for this purpose and make sure that he is
communicating with the media or the investors or the government body with the sensitive stats on appropriate time, so that will help, I think, in building, strengthening

the Company's valuation
and also helping us in getting the right investor s on place? Do you think that we should go ahead with the Chief Investor Relations Officer at the earliest?

Sharat Chandra: I think our board will deliberate, of course, all these issues have been deliberating in the board. Appropriate time we will come up with them.

Anil: Please look into this important as pect. It is very cri tical for all the investors, whether it is shareholders or government or otherwis e investors like banks and institutions.

Sharat Chandra: Noted.

Moderator: Thank you. The next question is from the line of Siddhant, an Individual Investor. Please go ahead.

Siddhant: Sir, my first question is regarding the payment security fund which the government is evaluating. So, that is different from the existing GCC contract s that we have right now, so can you just shed some more clarity on what exactly the scheme is ? The premium security fund which, how will

this help Olectra or all the bus manufacturing companies?
Sharat Chandra: So, this is very still in the nascent stage. So, as far as currently the business model is the gross cost contract, wherein as per the NITI Aayog model, the STUs is the end customer, they are procuring the service rather than CAPEX. I am just reiterating, all of you are aware, but so they are paying on a per kilometer basis to the concessionaire. So, currently as per the model, there is an escrow mechanism in place, wherein contract to contract about two months or three months monthly fee is deposited in the escrow account. So, that is how the payment is happening. But

the new things like the new announcement of PM e-Sewa and all these announcements are still in the nascent stage. It is under discussions. Once we get clarity and it gets firmed up, it will be definitely reflected in the public domain.
Siddhant: But sir, will that help Olectra in like getting more orders?
Sharat Chandra: Definitely, it will help.
Siddhant: And will that reduce our receivables also?
Sharat Chandra: So, it is nothing to do with the receivables because as far as Olectra is concerned, our business model is to manufacture, sell the buses to the concessionaires and the payment security is for the STU payment. So, they pay the concessionaire, so it does not come directly to Olectra.
Sidhhant: But even when we are selling to the SPVs, there is a lag of like 6 months to 1 year after certain performance guarantee, like there is 30% or 25% receivable which are outstanding and that we will get it after 6 months or 1 year, am I correct?
Sharat Chandra: Basically, under FAME II, the subsidy part, the last leg of the subsidy portion was within 180 days. Now, basically as you are aware in the ini tial stages even the EV segment is progressing. There were financial constraints, but now al l the public financial institutions including commercial banks and institutions are very bu llish. They are coming up and sanctioning the financial closures. All our contra cts, the financial closures are either completed or in the advanced stage of completion. So, we are not foreseeing as far as Olectra is concerned any issues with regard to the payments.
Siddhant: Sir, my second question wi ll be regarding the average selling pr ice per bus, so what will be that number because earlier yo u had mentioned it somewhere around Rs. 1.4 to Rs. 1.5 crores per bus, but like this 9 months you have delivered around 376 buses and if I just divide the revenue by this number, I am getting 1.9, so going forward, is it safe to assume that we will be delivering somewhere to Rs. 2 Cr per bus?
Sharat Chandra: No, it all depends on the sales mix. So, if you see the sales mix, if it is 9 meters, it will be less as what we have indicated. If it is 12 meters, it is more. So, it all depends on the sales mix, which we have done quarter-on-quarter. So, the average

as we have mentioned, the selling price will be in the region of Rs. 1.2 to Rs. 2 crores. And also the sales, we have got three components, we have three segments, you are aware. So, we ha ve insulator segment, which the turnover was about Rs. 100 crores close by and electric tippe rs, we have introduced, the turnover was about Rs. 50 crores approximately and the rest is electric buses. And apart from that, we have operating income and of course the AMC income which we generate for all the buses which we sell because we take care of the after-sale service.

Siddhant: Sir, just a request sir if you can just give the segment wise in the investor presentation like the 9 mm, 12 mm, whatever the bus orders we have fu lfilled, segment wise like different capacity buses if that?
Sharat Chandra: No, that becomes too much of detail like what is the sales composition. So, we are at a very high level given the electric buses, insulators and electric tipper segment, it was already there. If you are looking into what is the kind of, how many 12 me ters we have sold, that also we are educating in terms of numbers, but in terms of again revenue splits and all, it becomes too much of detail.
Moderator: Thank you. The next question is from the line of Hemant, an Individua l Investor. Please go ahead.
Hemant: Just a little bit new to your Company, so I have a few questions regarding the battery. Maybe you have addressed it several time s, so when you are scaling up next year, you make your own batteries or do you procure it from an Indian manufacturer or does it become imported through BYD? Is that how it is?
Sharat Chandra: Currently, none of the Indian Companies / OEMs do not have facilities as of now to manufacture batteries. Currently, we procure from BYD cells and then make into the pack. So, all the OEMs including whether you name Tesla or anybody, th ey source from China, which is the largest in terms of battery capacities and technologies, but recen tly, as you are new to the Company, I

think, the Government of India has introduced PLI schemes wherein few Indian companies are coming up with manufacturing the cells in India. It will take some time. It may take another 3 to 4 years for the Indian companies to come up wi th the technology. So, definitely we are open based on technology and pricing. De finitely as a Company we are open to explore, but currently we are having a strategic tie-up with BYD, which is the world's largest EV Company. Accordingly, we are sourcing the battery cells from them.

Hemant: Sir, second question is, do you see these battery prices declining year-over-year and do you have to pass off those battery prices when you supply th e buses or is that your margin? How does that work? You are hearing that battery prices are go ing to decline, right over the next 2-3 years, every year it keeps on becoming more efficient and it keeps on, the prices becoming lower and lower?

Sharat Chandra: Yes. See, currently what is ha ppening is basically we expect the battery prices to come down as you rightly said in the next 2-3 years. There is no basically open mark et price and based on customer-to-customer specifica tions, we make the bus. So, we follow the cost-plus model. Accordingly, the margins on a very large scal e of 5,000 numbers could be different from what we are doing currently of over 250-300 numbers.

Hemant: So, it would expand, right? It would have to go better, I guess.

Sharat Chandra: In terms of absolute numbers, it is going to expa nd. In terms of percentage, it will be definitely not comparable with what we are doing today.

Hemant: So, you are saying battery prices, whatever you ge t, you pass it on to the cost-plus model. So, even if there is an advantage, your Company won't get the advantage of that?

Sharat Chandra: Correct.

Hemant: And sir, absolute final one is, as you said, Indi an manufacturers are going to take 2-3 years to build it, do any of these contracts or going forwar d, you vision that some of the government or the city buses that you are targeting may make a Make in India mandatory laws from like, from March 31st to the end of the year? Do you envision that? Like we see that in solar panels, like the March 31st, some of them are mandated that th ey have to be all yours, they cannot be from outside, it can't be imported?

Sharat Chandra: Yes, currently also as per the FAME I and FAME II, to avail the subsidy, a minimum localization norms are already prescribed and our Company, we are very proud to inform the shareholders, we comply with the localization norms and exce pt for battery cells and few components relating to powertrain, every component is localized in India.

Hemant: So, that can be strengthened going forward, right? Like you can make it more and more?

Sharat Chandra: Yes, it is a continuous process. As we see next 3-4 years, the battery ce lls are also manufactured in India, then it becomes almost 100%.

Hemant: You yourself are not undertaking this task at all for battery ce ll, I mean I know you have the BYD relationship, but you are not thinking yourse lf at this scale of 40,000-50,000 buses that you may have that you may be viab le to do these batteries, right?

Sharat Chandra: We are definitely not going to manufacture batt eries, but we are going to assemble in the new plant.

Hemant: Yes, that most of the people are starting like th at only. Yes, you are right, but eventually you will just have to make a partnership as a white label with somebody in India.

Sharat Chandra: Correct.

Moderator: Thank you. The next question is from the line of Faisal Hawa, an Individual Investor, please go ahead.

Faisal Hawa: Just want to ask a straight question, with the kind of orders that we have, do we feel that we will double our sales every 2 years, at least for the next 4 years? That is one? And secondly, sir, why do you feel that people like Ashok Leyland and Tata Motors have been slow on to this bandwagon and what are the kind of growing them and their deep pockets as well as they are very good corporate executives that they have, th ey could build up a stra tegy and really come out with competition pretty quickly?

Sharat Chandra: Yes, to answer your first questio n, yes, definitely we are strivi ng to double our turnover. So, we are targeting a big number next year, about 2, 500 numbers, so against about 650-700 numbers this year. So, we are going to see a multi-fo ld increase in the top line and bottomline.

Faisal Hawa: Definitely we will double sales every 2 years, for the next 4 years? For example, if I work Rs. 100 crores, it will become Rs. 200 crores and from 200 to 400 in 4 years from today

Sharat Chandra: Definitely that is our target. That is what we are aiming and striving for. We did about Rs. 1,130

crores last year and for the current 9 months , we did about Rs. 865 crores on a consolidated
basis. And coming to the second question on the competitors, we cannot comment on the
competition, so what is their strategy, but the point is they have invested huge amounts on the
Euro VI ICE Engine technologies, having invested so much on the infra, maybe their focus has
been a little slow on the EV side, but more than that we cannot comment.
Faisal Hawa: But they could get their act together, for exampl e, they have very good ma nagerial talent also
and I mean that could probably put us at some ki nd of a competitive risk, what is the market to
do?
Sharat Chandra: Always healthy competition is good for any indust ry and with so much expected demand and all
the OEMs put together do not have capaciti es. Everybody has got a pie to pick up.
Moderator: Thank you. The next question is from the line of Aal

ek Jain from Anuyog Software Solutions.
Please go ahead.
Aalek Jain: I have 2-3 questions, so the first question is, from the technology partner perspective, so right
now BYD, which is our technology partner, fro m what I understand, we have the partnership
sorted out with BYD till 2025, right, so what about 2025? So, do we have any visibility on that?
Sharat Chandra: See, we are having a very strong relationship with BYD. We started journey together in 2015,
our relationship and bringing this EV Technology in India. So, our relationship has been built
on mutual trust and progression fro m both sides. We expe ct the relationship to continue much
beyond 2025.
Aalek Jain: The second question is the order book side of th e things looks really good, but I am really
concerned about the contracts which typically lo ok something like this or we have to supply
5000 buses, but we also have to maintain them for 14 years, right and I am assuming that the
revenue that you are getting from those things is included of all those maintenance and the supply
of the buses, right? Is that correct?
Sharat Chandra: Basically, what happens is we sell upfront and then we take care of the maintenance.
Maintenance billing is sepa rate, over and over the sale of bus es. We generate AMC income year-
on-year on the number of buses and as far as the 12 years or 14 years is concerned, we have a
very strong service team built across pan India an d as we are getting more orders, so we have

been expanding into various states and various depots and service personnel are placed in various
depots and we ensure more than 90% on-road.
Aalek Jain: So, I think you mentioned that we have the order book of right now around 8,100 buses, right?
So, can you just break down the duration in which we have to supply these 8,000 plus buses?
Sharat Chandra: So, on holistic basis, we can say that next 18 to 24 m onths we have to deliver.
Aalek Jain: Next 18 to 24 months?
Sharat Chandra: Yes. One important point to be noted, for example, MSRTC order of 5,150 buses, the STU has
required to create depot space for about 160, 170, 180 depots, so based on that, we will be
building the infrastructure, based on th at we will be supplying the buses.
Aalek Jain: I am not able to work out on the numbers part, because we have 8000 buses that we have to
supply in 2 years, 24 months is 2 years and then this comes out roughly on an average, let us say
if we supply 2000 buses in the next year, we will have to supply 6000 buses in the next-to-next
year, right?
Sharat Chandra: Correct, yes, you are right. See, we have two major orders.
Aalek Jain: From a capacity point of view, it looks quite ch allenging and at the same time, let us say there
is a room for the new orders that they will have. Let us say in the next 2 years if you have to
deliver some more orders, then how are we going to work out on the operations part is what I
am really concerned about?
Sharat Chandra: See basically to start with, on a single shift basis, we are going to build a capacity to 5,000
numbers.
Aalek Jain: By when we are targeting 5,000?
Sharat Chandra: By next June, July.
Aalek Jain: By next June, July, so one and a half years is 5,000.
Sharat Chandra: No, this financial year 24-25, will be ready wi th 5000 capacities, but we are targeting about 2500
numbers minimum and balance we are going to deliv er in 25-26. Of course, new orders are also
coming up. As and when the orders are received or in anticipation of the orders, we can expand
our capacity because on a singl e shift basis we can make a bout 5,000 and expandable about
10,000 buses in the next one year.
Aalek Jain: I really look forward to getting all these orders completed in the next 2 years of course. One last
question that I had is, so this is for the hydrogen buses that we have in pa rtnership with Reliance,

right? So, by when can we expect to see thes e hydrogen buses coming around? Is there any rough duration on that?
Sharat Chandra: This is a new technology. So, we are curren tly under trials. So, since this is innovative new technology, it is going to take more time. We can not give any concrete timelines as of now, but we are pursuing. Once the trials are completed, then the next steps follow the homologation on successful completion of the trials. So, this being a new technology and it is nascent, it is going to take more time.
Aalek Jain: So, again, more time as in like, when can we see the buses, in 2 years, in 5 years, if you can just give an idea?
Hanuman Prasad: Basically, it is a new technology. It is very diffi cult to come to the conclusion because this entire technology itself is not there at all in the c ountry. Right now, R&D process and trials are going on. Maybe at appropriate time , definitely we will come back to the shareholders.
Moderator: Thank you. Ladies and gentlemen, for per the tim e consumption, we will take only two questions and the next question is from the line of Sandeep from Maverick Fintech LLP. Please go ahead.
Sandeep: Sir, my first question is, as you already told me, that you are going to start with the pilot project in the new facility. When the regular production is going to start in the new facility?
Hanuman Prasad: So, we are starting the trial production on th e 2nd of February. We expect the trial to get completed in maybe 2 months' time.
Sandeep: So, the regular production is going to start in the ne xt financial year that is the financial year 25 and it is going for 2500 buses, this facility is ready for 2500 buses, or it is ready for 5000 buses?
Sharat Chandra: Basically, we are building the plant in a granular manner. So, one of the partial facilities is getting ready where we are doing the trial production an d parallelly, we are working on expanding to full capacity. So, that is the reason by end of the next financial year, we will have 5,000 numbers. So, on average we have take n conservatively 2,500 numbers.
Sandeep: What I make out is that 2500 capacity is availabl e to Olectra, new capacity is available to Olectra Green Tech from April 2024?
Sharat Chandra: Yes.
Sandeep: I am just asking that from the first day of th e next financial year, 25, the 2500 capacity is available for full production?
Sharat Chandra: Yes.
Sandeep: And what happened to the original facilitie s from where the production is going right now?

Sharat Chandra: Currently, that facility is the lease premises. So, we are going to shift everything gradually from the old lease facility to the new facility which is owned by us.
Sandeep: And the second and last question from my side is about the capital raising, is there any proposal for capital raise from the market or the promoters?
Sharat Chandra: Currently, the capital raise, we will come back at appropriate time. Currently, for the new facility, temporarily, we are going for debt and internal accruals. So, on capital raise, we are deliberating, and we will come back at an appropriate time.
Moderator: Thank you. The last question is from the li ne of Rohit from Caspian Debt. Please go ahead.
Rohit: I have two doubts, one on the side of the equity raise only, I think last quarter, you kind of said that you were in discussions fo r some equity raise and now you are saying that we are looking for debt only, can you just el aborate if the equity discu ssions happened or negotiations happened?
Hanuman Prasad: I think Mr. Rohit, if you recall in the last annual general meeting, I think in our Chairman's speech as well as in the question-and-answer session, we have clarified saying that earlier resolution which we took for the raising of sh areholder funds, it has been expired and

now we are looking for construction of this factory. We we re going for construction of the same with the internal resources as well as debt. I think same thing was confirmed by Sharath in the Q2 earnings call also.
Rohit: The second question was on, again, I think one of the investors kind of raised this already, but I just wanted to get more details on it, so currently we only sell the vehicles, right, sell the buses and we do not operate it or beca use the operation I think goes to our group Company, Evey Trans if I am not wrong, which is not our s ubsidiary currently if I am not wrong.
Sharat Chandra: Yes, you are right. Except for the initial two contracts, which are in Olectra books, we have about 150 buses which are operating. So, for these 150 buses, we ar e generating operating revenue. Other than that, our business model has b een to manufacture, sell and take care of after-sales service.
Rohit: Those maintenance and all that you talked about, even that is app licable to the next 8,000 orders also, wherein we will also maintain, not Evey Trans will do it, Olectra will do it, you are saying?

Sharat Chandra: Correct. As an OEM, we sell and after-sales service also is taken care by Olectra and we generate operating AMC income.
Rohit: So, basically, if the vehicle is of say an average per vehicle price that you said, Rs. 1.2 or Rs. 1.5 crores, take it, so when we se ll it, we will get that 1.5 and then plus the maintenance charges of that we will collect over the years you are saying?

Hanuman Prasad: Correct, over the next 12 years, we will generate AMC income for all the buses which we have sold.
Rohit: But that Rs. 1.5 will hit our bank account first in first year itself?
Sharat Chandra: Correct.
Rohit: So, no relation of Evey Trans now coming into play when we are looking at these order books?
Sharat Chandra: See, Evey Trans is an associate Company. So, by virtue of the holding Company having 100% stake, it is an associate Company.
Rohit: So, basically, to execute these order books, Evey Tr ans is not coming into pl ay at all, is what I am actually asking?
Hanuman Prasad: I think Rohit, let us have a clarity on this. Basi cally, Evey Trans is the one which participates in the tender by taking the technical credentials of the Olectra as OEM. So, we will sell the buses and eventually Evey Trans will supply to the ST Us and they are responsible for operating the buses. In turn, back-to-back, they will have an agre ement with Olectra. So, in this entire episode, Evey Trans is the one which is going to bag orde rs. I think you have some confusion about this, who is going to bag orders?
Rohit: I kind of knew that sir, but it was just that wh o kind of gets that final income is what I was confused of. I think you kind of clarified that.
Hanuman Prasad: This particular model of bidding by Evey Tr ans and then Olectra Supply is relating to STU-driven orders.
Rohit: But why, as you said, the final income will hit in Olectra's books only even the maintenance thing that is in the market.
Moderator: Thank you. As that was the last question, I w ould now like to hand the conference over to the management for cl osing comments.
Sharat Chandra: Thank you very much. We wish all the investors and stakeholders very happy, safe and excellent 2024. As we have always committed, we are c onfident of delivering better results in H2 compared to H1 and we are striving to cover up the shortfalls in Q1. And with the latest order of 5150 nos from MSRTC and expected orders from the new STUs, we hope to have very strong order book and deliver excellent results in the coming quarters, especially Financial Year ‘24-25 will be a great year. Thank you very much.
Moderator: Thank you. On behalf of Olectra Greentech, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

"Olectra Greentech Limited
Q4 FY '24 Results Conference Call"
April 29, 2024

MANAGEMENT : MR. B. SHARAT CHANDRA – CHIEF FINANCIAL OFFICER – OLECTRA GREENTECH LIMITED
M R. HANUMAN PRASAD – COMPANY SECRETARY – OLECTRA GREENTECH LIMITED

MODERATOR : MR. AMAR KANT GAUR –AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Olectra Greentech Q4 FY24 Earnings Conference Call, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amar Kant Gaur of Axis Capital. Thank you and over to you, Mr. Kant Gaur?.
Amar Kant Gaur: Thank you, Manav. Good evening, everyone. On behalf of Axis Capital, I welcome you to the Q4 and full-year FY24 Post-Results Conference Call of Olectra Greentech. From the management team, we have with us Mr. B. Sharat Chandra, CFO, and Mr. P Hanuman Prasad, Company Secretary and Compliance Officer. I will now hand over the call to Mr. Sharat Chandra for his opening remarks, post which we can have the Q&A. Over to you, Mr. Sharat Chandra.
B. Sharat Chandra: Thank you, Mr. Amar. Good evening, everyone. So, we are taking as read the presentation which is put on our website along with the safe harbor statement thereon. We are pleased to announce good consolidated results showing growth of top line and bottom line for the financial year 23-24. Though the performance of fourth quarter was impacted due to the supply chain constraints, the operating margins remain positive for the quarter four and full year. We have delivered 1,695 electric buses and 51 tippers till 31st March 2024.
I would like to present the key highlights of your company for the financial year 24 at a glance. The company has secured world's largest e-bus order of 5,150 buses from MSRTC, received 3,000 electric buses order from Best Mumbai, one court case for Best 2100 order, first OEM in the country to achieve a milestone of 10,000 plus electric bus orders, homologated and completed AIS 038 certification for all bus models for the batteries, successfully extended the cooperation agreement with BYD till 31st December 2030, Olectra buses have successfully covered more than 20 crore kilometers across the length and breadth of the country.
The strong demand remains with company's net order book of electric buses at 10,969 numbers after delivering 500 buses in financial year 24. Our focus continues on increasing our capacity and enhancing our technology capabilities. The construction work of the new state-of-the-art plant is in full swing and partial production from the city has commenced from this month.
To incentivize the shareholders, the board has recommended a dividend of 10%. Now I'll begin to provide the key highlights for the full year on a consolidated financial. The revenue for the financial year 23-24 was INR1,154.1 crores, up by 6%. The company's EBITDA for the full year reached an impressive INR185.5 crores, marking a growth of 20% compared to previous year. The PBT surged to INR105.8 crores, an increase of 18% versus a previous fiscal of INR89.4

crores. The PAT stands at INR78.7 crores, up by 18% compared to previous fiscal of INR66.9

crores. On a standalone basis, the revenue for the financial year 23-24 was flat at INR1,114 crores.
The company's EBITDA for the full year reached an impressive INR168 crores, an increase of 13% compared to the previous year of INR148.6 crores. The PBT surged to INR98.7 crores, an increase of 8% versus a previous fiscal of INR91.1 crores. The PAT stands at INR73.6 crores, up by 4% compared to previous fiscal of INR70.7 crores. The quarter 4, as I mentioned in the initial remarks, was impacted due to the supply chain constraints post certification of the battery safety norms. Accordingly, on a consolidated basis, the revenue for the quarter

4 is down and
correspondingly, the operating margins as well as PBT and PAT has been down for the quarter 4.
Thank you and over to the Axis team for the Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Bala Murali Krishna from Oman Investment Advisors. Please go ahead.
Bala Murali Krishna: Hi, good evening. I have missed the opening remarks, but could you please repeat how many buses you have produced this quarter?
B. Sharat Chandra: Yes, total for the full year 507 buses and for the quarter is about 131.
Bala Murali Krishna: 131. How much we are expecting in this financial year sir, FY25? How many buses we can produce?
B. Sharat Chandra: FY25, we are expecting a number of about 2,000 plus no of Buses.
Bala Murali Krishna: One more thing sir, regarding the PME tender, so I think there is a one bidder has already awarded some number of buses in the initial tender. What is your position in the earlier call? I think at that time we haven't participated in the tender. Whether we have participated in the tender and or in the first tender we haven't participated and any outcome of the tender?
B. Sharat Chandra: My colleague Ramesh will address this question.
Management: We have participated in the tender, but however the competitors have received the orders.
Bala Murali Krishna: And regarding the second tender, I think the second tender is also out, so we are also going to participate in the tender itself.
Management: Yes, we are going to participate in the second tender itself and as of now it is due in May month.
Bala Murali Krishna: Okay, understood sir. Regarding this new facilities, whether it's in full fledged or still about to ramp up and I think we are talking about the starting the second shift, so what is the plan for that and when we can implement that?
B. Sharat Chandra: Mr. Bala Murali, basically we have started the trial production in the month of February and we are transitioning into the new plant and we are just completing the process and whatever teething

issues are there we are resolving it and by the end of quarter one we'll be ready in the new plant.
Partial commencement of production started and by end of quarter one we are going to ramp up.
Bala Murali Krishna: Okay, in that one we can expect two shifts running sir or we are planning for single shift operation?
B. Sharat Chandra: Generally, the OEMs operate for about 12 hours shifts, so if it is required we can extend it. So initially we are thinking of doing a single shift.
Bala Murali Krishna: Okay, and e-tippers, could you please throw some light on how things are standing out and what is the order book of e-tippers?
B. Sharat Chandra: As of now, tippers, we are conducting a lot of demos and trials across various project sites. The conversion, the ramp-up is yet to happen, the traction is yet to happen. We have about 41 e-Tippers orders on hand. We have delivered totally till date about 51 Tippers. In the last financial year about 34 and we have about 41 tippers orders on hand.
Bala Murali Krishna: Lastly, on this guidance of 2024, do you see any challenges which may stop us to achieving that guidance? Because in the last financial year also we had a good guidance but we could not able to achieve because of various reasons like battery norms. Do you see any challenges we can face in this financial year itself also because of that we could not able to achieve this guidance of 2024?
B. Sharat Chandra: As of now, we are not forcing any major challenges. We are going to ramp up from quarter two onwards. Quarter one will be a little slow because we are in transition to the new plant and from Q2 onwards we are going to ramp up the production. We are not expecting any challenges as of now.

Moderator: Thank you, sir. We have a next question from the line of Sidhar

th Agrawal from Systematix.
Please go ahead.
Sidharth Agrawal: Good evening, sir. How are you doing, all of you?
B. Sharat Chandra: Good evening, Mr. Siddharth. How are you?
Sidharth Agrawal: Great. I was just a bit depressed on seeing our Q4 numbers and when you said that you had supply side constraint, could you just elaborate on it that what happened exactly during the quarter because of which our production was impacted? Production or sales, whatever was impacted?
B. Sharat Chandra: Yes, see basically I would like to elaborate that Government of India has introduced the safety norms for the battery where the testing and compliance certification is required to be done. As the facilities were not available in India, the testing has to be done online in China. It took more time and it was beyond our control and capacity.

We successfully completed all the trials and obtained requisite certificates but in the interim we lost about almost two quarters and post certifications there were constraints in ramping up the production by the manufacturers/ vendors. So that is the reason the quarter four and the full year got impacted and that is one reason.
Second is keeping up with future production requirements, we have transitioned to the new plant and started pilot production from a new facility in February '24. We are in the process of streamlining the process and initial teething issues we are trying to overcome and by end of this quarter the production capacity will get enhanced. And for your kind information we have rolled out the first batch of deliveries from this facility this month.
Sidharth Agrawal: Sorry, what is the last sentence? You have rolled over?
B. Sharat Chandra: We have rolled out our first batch of deliveries from this facility.
Sidharth Agrawal: Yes, so how much time did it take you and what is the batch that you have rolled out? I think February 1st with 4th week we started, right for trial productivity?
B. Sharat Chandra: Basically we have trial production we did in February, it's more of a trial and then we are now doing the partial commencement of production in one particular body shop. We are in the first batch of delivery, about 30 numbers.
Sidharth Agrawal: Okay, so that has been done?
B. Sharat Chandra: Yes, that has been given
Sidharth Agrawal: That has been given to the customer?
B. Sharat Chandra: Yes.
Sidharth Agrawal: And now so till March we did 30 over there. So let's say the story is over there. Now from April onwards where are we seeing for a month? Because I think it's going to be a subdued quarter. I think April, May, June are also going to be a subdued month, right?
B. Sharat Chandra: This quarter will be subdued because we are in the process of transition. We are hoping the numbers to be in line with quarter four or slightly better than quarter four.
Sidharth Agrawal: So around 100 maximum?
B. Sharat Chandra: 150 to 200. We are targeting 150 to 200.
Sidharth Agrawal: Total for the quarter and then from next Q2 onwards, monthly production you're looking at?
B. Sharat Chandra: Overall we are, as I mentioned, about 2,000 numbers is what we are targeting. So we are going to accordingly ramp up from quarter two onwards.

Sidharth Agrawal: Okay, but you're not seeing any supply side constraints or those testing norms and all affecting you as of at all from now onwards?
B. Sharat Chandra: As of now, we are not foreseeing any challenges.
Sidharth Agrawal: No, sir, those, the checking and all which you were saying, so those things are behind us or it's still happening?
B. Sharat Chandra: That is behind us.
Sidharth Agrawal: Totally behind us. So now all those testing norms are finished, right?
B. Sharat Chandra: Yes.
Sidharth Agrawal: It's done with, right?
B. Sharat Chandra: Yes.
Sidharth Agrawal: Okay. And sir

, in terms of our e-Tippers, what kind of numbers are we doing now? Monthly run
rate or something?
B. Sharat Chandra: e-Tippers, we did not do any sale in quarter four. We have been doing extensively demos and trials in various project types. The conversion, though the performance of tipper is very, very good, conversion of the private inquiries into order and the traction is yet to happen. We have about 41 orders on hand.
Sidharth Agrawal: Yes. Okay. But until now, we have delivered 51, you said, right?
B. Sharat Chandra: Till date, cumulatively 51 numbers were delivered.
Sidharth Agrawal: Okay, and last question for myself. So right now our capacity is 200 units per month for buses and when are we planning to ramp it up, if at all, FY '25 or FY '26?
B. Sharat Chandra: Yes, in the new plant to start with, we are ramping up the production up to 2,500 numbers and by the end of the financial year, we are expected to touch about 5,000.
Sidharth Agrawal: Okay, Targeting. 400, almost 400 per month. Okay. Yes. Okay, fine. And thank you. We can move on to the next one. Thank you, sir.
Moderator: Thank you, sir. We have a next question from the line of Aryan Mehta from Mehta Investments. Please go ahead.
Aryan Mehta: Hello, sir. Quarter after quarter, the execution has been very slow. Something and the other always pops up. So can we expect that we will adhere to the timeline of the orders that we have received?

B. Sharat Chandra: Yes, sir. As in the initial question from this, we have already clarified the reasons why the numbers got impacted. So we are actually planning to ramp up the capacity in the new plant and we are targeting to fulfill the orders in hand. So we are targeting about 2,000 numbers in this financial year minimum, about 5,000 numbers in the next financial year and 10,000 numbers in the following year, wherein the existing orders will be completed.
Aryan Mehta: Okay, that sounds great. And also, sir, to clarify on the 2,000 number, last quarter you gave a guidance of 2,500 for FY '25. So has anything changed and on why you are giving 2,000 numbers?
B. Sharat Chandra: No, since the quarter one has been subdued, the coming quarter is subdued and then we are conservatively giving a 2,000 to 2,500 numbers.
Aryan Mehta: And my final question is that we are a pioneer in e-tippers space in India and can you give the opportunity for e-tippers maybe three or five years down the line that how many tippers could be sold that year and what would be the expected penetration of e-tippers, maybe in the future sometime?
B. Sharat Chandra: There is definitely a lot of potential in e-tippers and trucks because the operational economics is quite good and significant. But as you are aware, there are other inherent challenges for the conversion because in typical ICE engines, there is a lot of ICE diesel pilferage which happens in the project sites. So once we convert it to EV segment, totally electrified, so these issues will not be there. So that is also one reason where there is resistance.
But apart from that, the product is excellent and the economics is quite viable. We are trying to work on localization. We are trying to reduce the cost. So our product is a premium product and whatever supplies we have done, 51 tippers till date are doing very well in all the project sites.
So we expect the traction to happen in the next two quarters in this year.
Aryan Mehta: Thank you so much and all the best, sir.
Moderator: Thank you, sir. We have our next question from the line of Gaurang from Utility Unified. Please go ahead.
Gaurang: I am audible.
Moderator: Yes, sir. You are audible. Please go ahead with your questions.
Gaurang: Yes. Good evening, team. My first question is related to the 2400 BEST order which was notified on 22nd of February 2024 to the exchanges. So as per the tender which was floated by BEST, th

e requirement was of 2400 plus the 25% variation. So is there any chance to grab those additional 600 buses as part of the remaining 25% clause?
P. Hanuman Prasad: As per the letter of award and as per the agreement, both actually that 25% is there. Once we complete delivery of 2400 Buses, automatically that 600 we can expect.

Gaurang: Okay. Thank you. Good to know about that. My second question is with respect to the same tender of 12 meter 2400 buses. So the value which was notified was INR4000 crores. So it basically comes to around INR1.70 crores. But the first tender of 12 meter 2100 buses, so that

time the approved value was INR3675 crores, which comes to around INR1.75 crores. So I just wanted to understand the reason behind fall in per bus revenue since the bus concentration is almost the same. Because if you remember the first order of 2100, that was coming to around INR3675 crores, which is INR1.75 crores. But this time it's coming to INR1.70 crores. So I just wanted to understand why is the reason behind falling per bus revenue?
B. Sharat Chandra: Basically, one is the timing. The first tender was done quite a long time back, whereas this is the latest tender. The prices also, we have been very working rigorously to increase the localization content and reduce the cost to be competitive in the market. So accordingly, since the timing is different, the cost also is slightly different.
Gaurang: Okay, my last question. So recently, UPSRTC, which is Uttar Pradesh State Transport Corporation has announced to deploy 50,000 electric buses over a period of 4-5 years. So with related to the same, the first tender of 5000 odd electric buses have been provided. So I just wanted to know if Olectra has decided to place the bid for the same?
Management: Yes, sir. But as of now, the tender is on NCC basis. As of now, all the OEMs in India and operators are not interested to participate in NCC. So including us, all the OEMs have submitted our request to convert into GCC. And all the OEMs are under perseverance with UPSRTC. We are expecting that this tender will refloat as GCC. And after that, we are very much interested because UP is a very growing state and we want to receive orders from UP.
Gaurang: Oh, that's great to know. Okay, my final question. Also, are we expecting a FEMI 3 to come up for private electric and trucks and buses? What is going around in the circle in terms of policymaking? Any idea on that?
B. Sharat Chandra: See, as of now, because of the elections, no orders or no sanctions can come. As of now, it is silent. So we have to wait for the elections to get over and then the announcements will happen. But as you are aware, the government of India is pushing very hard for electrification of public transportation. And as of now, the percentage of population of EV conversion is very, very less than 1%. And so definitely, we are expecting the government to come with some policy guidelines.
Management: And sir, recently, MHA has released that our government target is to convert all the buses from diesel to electric and they have given a figure of 8 lakh buses to be converted into electric from diesel by 2030.
Gaurang: Yes, that's where I was coming from. Fantastic. Nonetheless, thank you so much for answering all the questions and I wish the Olectra team a glorious next FY'24-25. Thank you so much.
B. Sharat Chandra: Thank you.

Moderator: Thank you, sir. We have a next question from the line of Umashankar Mukherjee, an individual investor. Please go ahead.
Umashankar Mukherjee: Hi, sir. I have a couple of questions. The first question is, what about the capital expenditure INR800 crores? What is the update on this?
B. Sharat Chandra: Yes, what is the second question?
Umashankar Mukherjee: Yes, second question is about, as people are sayin

g that 8 lakh crores buses and lots of by 2030, we have lots of scope, right? So, in the supply line change, we are getting every quarter, we are getting we are telling you to achieve our target and it is not a good sign. So, from this lesson, can we learn and possibly plan future for next capex to achieve that goal? Maybe we can buy land or some other thing. Well, and that should be not the same state like Andhra or Hyderabad. It can be north or some other post part of India.
Can you have a larger plan for that in the future so that now whatever is getting good contract, I mean, we should deliver, right? We should have our pipeline ready. Maybe we should have 30,000 or 20,000 per year capacity. Can we have a plan for coming 2-3 years?
B. Sharat Chandra: Yes, to answer your first question regarding the capex for the new green field plant at our Seetharampur plant. So, we are now going with the term loan of about INR500 crores. We have received sanctions from the commercial banks and recently the board has approved and we are in the process of completing the documentation and next two-to-three-week time, we are planning to do the drawdown. That is the first question.
Second is the supply chain aspect. We have already acquired 150 acres of land in Hyderabad and we are building up world's largest EV manufacturing facility and in terms of EV buses. And to start with, the capacity is built for 5,000 numbers by the end of one year and it can go up to 10,000 numbers within year two. And based on the requirements, we can make a shift or double shift or triple shift workings and then increase the capacity to meet the requirements.
Umashankar Mukherjee: Yes, sir, this is, we are aware of this total, I can see we can have total 10,000. I am saying that in future and also that we cannot have it from the getting approval for buying a land in different state for our next capex, not this one, planned one. Maybe we should have target 30,000 or more

capacity per year. I know it will take time, but if it's planned now only, then only we can
showcase our pipeline and it will be easy to get a new deal. So, can you have other plans?
B. Sharat Chandra: Yes, point noted, we'll have to deliberate internally. As of now, we have, we are focusing on building up existing new plant. At an appropriate time, we will revert if we are having any plans to set up any facility outside the state.
Umashankar Mukherjee: Thank you, sir.
Moderator: Thank you so much, sir. We have our next question from the line of Sameer Deshpande, a shareholder. Please go ahead.

Sameer Deshpande: As everyone has experienced the disappointment over the, we are not in a position to meet any of our targets and every quarter we have been facing various challenges. So, now you mentioned that we have the total order book of about 11,000 odd buses. Is it correct?
B. Sharat Chandra: Yes, approximately about 11,000 numbers.
Sameer Deshpande: And actually, we are the, actually in India, we are the first in this. So, from this, I'm not in a position to know whether we are the largest players in India in e-buses currently, with the annual sales of only 507 buses, or are there any other competitors who are selling more number of buses than you in India to the government?
B. Sharat Chandra: As of now, see, we along with competitors like Tata Motors and Switch Mobility of Ashok Leyland are the major players. In terms of order book, we are the largest. And in terms of delivery till date, and in terms of operations, we are India's number one. So, as far as the constraints were there, it applies not only to us, it applies to our entire EV segment. And hopefully the constraints we are overcoming, and then we hope to ramp up the production and supply in the current financial year.
Sameer Deshpande: Our sales of 507 is the largest, if you take in the annual year, in this year for the entire

industry,
electric bus industry?
B. Sharat Chandra: See, basically for any industry, it takes time, EV as such is still at a nascent stage, about almost 1.8 million buses are in operation. And as per the Government of India initiatives, and the vehicle scrappage policies, large number of buses are going to get replaced by 2030. So, in view of this, all the entire industry is actually building the supply chain. So, it is going to take some time. So, our company, till now cumulatively delivered about close to 1700 buses.
Sameer Deshpande: Close to?
B. Sharat Chandra: 1700 buses, 1695 to be precise, till 31st March 2024.
Sameer Deshpande: And regarding the new plant you mentioned that the trial production is on, and by the end of the quarter one, you will be in a position to ramp up your production capacity to around 2500 per annum, is it correct?
B. Sharat Chandra: Yes, you are correct.
Sameer Deshpande: So, the first quarter will be a slower one, and the rest of the three quarters, we hope to sell about 1800 buses. So, in order to meet the target of 2000 numbers, which we have set for ourselves.
B. Sharat Chandra: Correct. Yes, you're right.
Sameer Deshpande: And regarding this, if you see our balance sheet, we have cash above INR170, INR175 crores, and the debt for INR120 crores. Now, for the capex for the first plant is already over. Now, you are mentioning that the capacity is going to be ramped up to 5000 by next year, and to 10,000

by the second year, '26, '27. So, for that purpose, what will be the incremental capital expenditure we will be requiring?
B. Sharat Chandra: The total capex planned is about INR700 odd crores. Out of that, INR500 crores is what we are taking a term debt, and balance INR200 crores is from internal accruals. So, and this particular capex plan will take care of the civil side, it can cater to 10,000 numbers. For the plant, rebalancing equipment may be required, may be about INR100 odd crores to increase to 10,000.
Sameer Deshpande: So, the total is around INR700 crores. And out of that already, we have spent something on the new plant, the first plant?
B. Sharat Chandra: We have actually initial old plant is a lease facility. We are going to have first own Plant and, we have spent about INR100 odd crores till date.
Sameer Deshpande: The balance will be spent with the internal accruals and some term debt will be taken.
B. Sharat Chandra: Yes, correct.
Sameer Deshpande: There is no plan to raise capital, equity capital?
B. Sharat Chandra: As of now, we are basically not yet decided. So, as of now, there are no plans as on date.

Sameer Deshpande: And now this battery norms problem you mentioned that because testing facilities are not available in India, and government has made it mandatory safety norms, etc. So, the problem still persists or that is you have to get it checked from some other country?
B. Sharat Chandra: The certification is over now, we received in quarter two. But post certifications, the vendor has to ramp up their production because of the change in the norms. So, accordingly, the ramp up has taken time. So, because of that reason, because not only us, our entire industry are importing battery cells and the powertrain components.
So, we are dependent on imports for the battery cell and battery, the powertrain components. So, as of now, no Indian companies are making the batteries and it, is in in the process as some of the companies have started, maybe in two- or three-year's time, the battery cells will be available in India.
Sameer Deshpande: The problem is still there. So, where you ramp up your production and say about then say about 2000 or 1500 or etc. will that vendors will be in a position to cope up that?
B Sharat Chandra: Yes, we have had a very detailed deliberations, meetings, various meetings with vendors and we have definitely confirmations from them

. They'll be in a position to supply.
Sameer Deshpande: And with respect to this order book when we have certain tenders and we have the delivery actually booked for next 2 years and 3 years. So, when there – if there is a price rise in between that is the commodity prices go up the speed prices go up or whatever battery prices go up then in that case are we compensated in the same commensurate way?

B. Sharat Chandra: See, basically we are expecting the battery prices to come down. I think you can go through the studies from a USD200 per kilowatt, it is likely to come down by 100% in the next 2 years to 3 years or it can come up even much before. So, we are not expecting any major changes because the major 40-45% is the cost of the battery component, battery component of the total cost.
And other components if there's a price increase or a price escalation like steel or other raw materials we operate on cost plus model and we will in such a situation discuss with the customer to modify the price.
Sameer Deshpande: So, if required, some modification can be done because otherwise, when the delivery schedules are delayed, it takes 2 years and 3 years, who can predict the costing environment after such a long period? So will you compensate if there is anything?
B. Sharat Chandra: Last bit, I was not clear, I was not able to hear you, please.
Sameer Deshpande: What I was asking since the delivery schedule gets delayed and suppose you have to supply it after 1 year and if you are required because of the delays you supply it after 2 years or 3 years the prices will change. And in that case if the price as you mentioned our battery prices come down, but if there is it is to our disadvantage and if we keep on losing money on that will that cost be borne by the customer or we have to bear it?
B. Sharat Chandra: Actually, just to clarify Mr. Sameer see we operate on a cost-Plus model. See, on a volume and based on the volumes we expect the operating margins to remain healthy. We don't expect major challenges in operating margins. So, the cost comes down, the sales price comes down, the cost goes up the sales price goes up. So, that is how it is. So, there's a flexibility to revise the prices, but generally we factor inflation while quoting the prices at the time of bidding.
Sameer Deshpande: That's fair. Okay, and all the best. Let us hope we have a good financial year coming, coming financial year and going forward also. Thank you.
B Sharat Chandra: Thank you so much.
Moderator: We have our next question from the line of Rishabh Agnihotri a shareholder. Please go ahead.
Rishabh Agnihotri: Can you hear me now?
B. Sharat Chandra: Yes better. Please go ahead with your question.
Rishabh Agnihotri: So, I'm just seeing that I'm not going to focus on the past quarters. I'm just focusing on the upcoming ones. One thing I don't understand is like, I mean, one of the reasons we backed Olectra is because of the promoter mega and I mean you guys have built dams and tunnels and all.
So, I just don't understand that I mean, from that perspective and spectrum putting a factory in capacity expansion should be not that hard, right? So, I just don't understand, is it not being prioritized or how what are the actual restrictions? Because the battery norm thing that we have

been hearing since the last to last quarter. I'm just, I mean, totally understand that this is a new field and it's just more innovative in general. But we need somewhere like the overall

transparency or clarity is not there.
So, if you can throw some light on this, that would be really helpful because the execution numbers are, I mean, we can track this data in real time on Vahan and this data is like quite different like one month you're just producing one bus and one month you're producing 95 plus bus

es. So, I just don't understand where is the problem coming exactly?
B. Sharat Chandra: Just one minute on Vahan clarification from my colleague.
Management: Yes, the Vahan data is the state to state let's say when we dispatch from our plant maybe we have multiple customers at multiple locations at Olectra our part is to only do a TR and after that our customers will do the registration and other things. Maybe a few buses will be delivered in Hyderabad. Maybe in one or two days it got registered.
Maybe a few buses will go to states like Assam where you need to transport the buses itself for more than 15 days or so. And a few buses will go to Maharashtra and various locations of India. So, state to state the registration procedures are different. So, it is taking time. The Vahan data only takes when the bus got registered.
Rishabh Agnihotri: Got it. It might be operating at a delay totally understand that part, but just one thing which I want to understand is like why is the execution overhanging there especially for us, right? I mean, we have been pioneers in this field. We've launched it before. I think your capacity plan and utilizations all are commendable, no doubt about it. It's just that all of our investors are just around that finish line and we can see that this Olectra might just boom up.
But these sort of execution risks keep coming up. So, if you can just share some light because the battery norms, I don't think that was last quarter to quarter and we moved and expanded our factory. I mean, 100 buses is like so from that spectrum where you're saying that we'll go to 400 buses. I think it's not that digestible. So, I mean, if you can share a bit more information that would be very helpful?
B. Sharat Chandra: I think we have clarified very clearly post certification the supply chain constraints were there in ramping up the production based on the new certification norms. So, there has been ramping up issues from the vendor side. The second is on the transitioning. We have been transitioning to the new plant. So, and as you must be aware being transitioning to new plant there were teething issues which we are resolving. By end of this quarter one, we'll be streamlining the production in the new plant.
And as far as the MEIL is concerned, the MEIL is the parent company. Of course, we have full support from MEIL whenever this is required, but as a philosophy of the group, all the companies have to be self-sufficient and independent. So, wherever we require support from MEIL, they have been supporting.

We have relevant board and shareholder approvals to approach MEIL in case of a need. So, based on the deliberations of internal management we have going to raise a term loan to the extent of 500 crores. And post which the plant capacity will be expanded initially to start with 2,500 to 5,000 by the end of year one. By year two, we expect the ramp up of the production to 10,000 numbers.
Rishabh Agnihotri: Well, I mean, the targets have been downsizing ever since – I mean, we've been tracking this for last one and a half year now, right? So, the targets get downsized as soon as the quarter reality hits. So, we just hope that this time, there are no problems and things go in the right direction.
Because competitors are definitely coming up in the field. JBM has been doing really well. Tata is producing large amount of buses and getting it delivered, registered. I mean, seeing the data on Vahan there's a large disparity.
So, I'm just worried as Olectra investors and well-wishers that we shouldn't stay behind. I mean, that's all I have to say. I just hope that the next meeting, we are meeting on better terms. That's all. Thank you.
B. Sharat Chandra: Yes, thank you very much, Mr. Rishabh. We definitely are striving and from quarter two onwards, the production will get ramped up and dispatches will definitely be m

uch better than
earlier quarter. And this financial year, 2025-2026, historically, we'll be surpassing all the numbers
Moderator: Thank you, sir. We have our next question from the line of Sanjay Shareholder. Please go ahead.
Sanjay: Yes. Hi, good evening and it's really a disappointing quarter for investors and I'm sure for the company as well. The last three quarters, every time we are getting projections for after Q1 call, we got a variation of 800 buses and Q2, we got 1,000 plus and Q3, we got 800 plus.
Yes, there was a problem already informed about the battery problem, battery norms. Now, because the vendor is not able to give those batteries and that impacted your delivery of that. So,

these problems, definitely, if you have already known problem and you wait in the end of the quarter and then inform that, okay, this is the problem, it will be great if you can, you know, problems are there, why don't you just suspend?
Because what are the projections are given 800 plus at the end of the quarter, Q3 quarter. Now, the problem is that it could have been just informed rather than getting shocker at the end of the quarter. So, that's one thing. It looks like an execution and operations issue on that. Even in between, Mr. Pradeep has come on the television channel and it was again confirmed that it was 800 plus buses to be delivered in this particular financial year, last financial year. So, it will be great, I mean, if we are more transparent and update everyone about any changes that are happening in projections.
Second is about, you guys are doing very good work, still coming on the call and explaining bit. Last three calls, we haven't had Mr. Pradeep coming and addressing investors, maybe when we saw him on the television with the channel. It will be great if next quarter call with Pradeep and

many senior people come on the call and this is really frustrating, I mean, for the investor perspective, whenever all projections are going for toss on that.
Now, for the Q1 perspective, again, you are saying the quarter will be subdued because you are saying that the problem of the supply chain is solved. Only the transition of new plant may be happening, but still the buses will not be delivered more than Q4, probably, on that. So, how will things be taken care of? And about the new plant, is it going to be fully functional by June 1st or July or August? What are the timelines for that?
B. Sharat Chandra: It's partial. One of the body shops, partially we are completing it, and the construction is progressing. And by the end of this calendar year, we are hopeful of the capacity to be ready.
And by the end of 31st March 2025, we expect the capacity to be around 5,000 numbers.
Sanjay: Yes, that is right. So, the transition to the new plant, it is not yet started. It is the end of April now, and almost May and June. So, just in the next two months, we are not transitioning to the new plant.
B. Sharat Chandra: We have already started the trial production. We have started dispatching the first batch of numbers from there. And so, the ramp-up will happen from quarter two.
Sanjay: Okay. But there is a specific reason that the supply chain problem is solved. So, it is not going to be you cannot increase the capacity compared to Q4 in Q1. I mean, around the same number of what you are saying in Q2 on that.
B. Sharat Chandra: Q1 will be subdued, and Q2 onwards, we are ramping up.
Sanjay: Okay. And the other question is about, other than Tippers and Hypersys now, anything new you guys are planning to launch in FY25, like hydrogen bus or three-wheelers or cars? Any other plants are there in FY25 from our company?
B. Sharat Chandra: As of now, there are no such plans.
Sanjay: So, the hydrogen bus prototype, that was just a prototype. There is no further progress on anything on making the production there.
B. Sharat Chandra: As of

now, we have supplied prototype bus, and so, we have already mentioned earlier the trials will take more time, and it's a new technology.
Sanjay: Okay. All right. I think, Yes, it will be great if we get updates.
Moderator: Sorry to interrupt, sir. We have the management line disconnected. Please wait. We will join them back. Ladies and gentlemen, thank you for waiting patiently. The management is back online. Over to you, sir.
Sanjay: Hello.
Moderator: We have our next question from the line of Mr. Gaurang from Utility Unified. Please go ahead.

Gaurang: Yes, I'm audible?
Moderator: Yes, sir.
Gaurang: So, okay. This is more of an appreciation that I wanted to convey to the team. Since I stay in Mumbai, so far delivered 12-meter AC buses have been received extremely good positive reviews. So, congratulations for that. I mean, I've been hearing from all quarters of people that they have really appreciated this bus. So, God bless you all, and I hope Almighty, give us strength to deliver the 5,000 pending buses as we are here. Thank you.
B. Sharat Chandra: Thank you so much for the feedback, and definitely we are striving to complete the deliveries as per the plan.

Moderator: Thank you, sir. We have our next question from the line of Mr. Suneel, Please go ahead.
B. Sharat Chandra: It's not audible.
Suneel: Hi, this is Sunil. Am I audible?
B. Sharat Chandra: Yes.
Moderator: Yes, sir. You are audible. Please go ahead with your questions.
Suneel: Yes. So as per the original plan, now we need to do the automation, right? Almost like 60% to 70% of the automation. So did we finalize the automation vendor?
B. Sharat Chandra: Yes, we are in the process of finalizing all the vendors. We've already shortlisted and closed the discussions. So, it's a continuous process. So by the end of this year, we'll have the capacity to build up to 5,000 with automation, which includes automation.
Suneel: So, with automation, without automation, how much the capacity will range? Will it depend or it doesn't make any much difference, like with automation, without automation?
B. Sharat Chandra: In a granular manner, the plant is built. So, we have two body shops. The first body shop is ready now. So, where we did the trial production and then commenced the supply of first batch of buses. So, automation, we are doing the second body shop.
Suneel: And the second thing is like recently, I don't remember exactly, but one of the RTC, they raised a warning stating like we missed some deliverables. So, based on the timeline, which we need, we are supposed to deliver. So, how are we going to address that? Because they might be having the penalty clause on them, right, if there are further delays?
B. Sharat Chandra: Yes. See, what is happening is I think we have clarified this question in the earlier calls. So, the electric bus operations is highly remunerative to the STU. And in terms of their scope of bus, they are supposed to give us the depot space and also with power. So, sometimes, as for example, in the state of Mumbai itself, almost 100 plus depots are required to be established. And in the state of Maharashtra, about 173 depots are required to be established. So, their responsibility --

STU's responsibility is to allocate the space and provide the power to us. And based on that, we are building the charging stations.
Suneel: And my next question is like, are we planning to run because still the new production capacity is until it comes to full production capacity. Why don't we run the old production capacity and the new production so that it will meet the delivery and everything, means with the RTC and for the investors also? Why can't we run both the things? Is it not viable for us?
B. Sharat Chandra: See, basically, operationally, it is not convenient. Otherwise, we need to hav

e two general
managers operating the old plant and the new plant. And we want to basically focus from one under one roof, wherein we want to granularly build the body shop and the chassis assembly and the battery assembly and all the other relevant sheds.
Management: Olectra is known for its quality product in the market. If you operate in an old plant and a new plant for the same customer also, if there is a difference in qualities and other things, it will be an issue. So, we don't want to lose the brand value and quality parameters. That is the prime SOP.
Suneel: Okay. My next question is like, what is the probability like, because for Q1, we are estimating we will be having a little bit of less numbers. So, even the same risk can be continued to Q2 also, right? Because we are only planning to operate only from the new plant. So, during this transition phase, it might be because if any new factor comes into picture during this transition phase, even the Q2 also might get disturbed because of this, right?
B. Sharat Chandra: See, we are planning to build capacity slowly, about 200 numbers is what we are targeting in quarter 1, doubling it up in quarter 2, and thereafter, quarter 3 and quarter 4, we are going to increase significantly.
Suneel: Okay. Thank you. Thank you very much.
Moderator: Thank you, Sir. As there are no further questions, I would like to hand the conference over to management for closing comments. Over to you, Sir.
B. Sharat Chandra: Thank you very much. We thank all the stakeholders for their continuous support, and we are definitely striving to beat our numbers. Historically, we are striving to have excellent top line and bottom line in financial year 2024-25, and we continue to have the support from the stakeholders. Thank you very much.
Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
B. Sharat Chandra: Thank you so much.

Call: Aug 2024

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Call: Oct 2024

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Call: Feb 2026

“Olectra Greentech Limited Q3 FY26 Earnings Conference Call”

February 03, 2026

MANAGEMENT : M R. MAHESH BABU – MANAGING DIRECTOR , OLECTRA GREENTECH LIMITED
MR. B. SHARAT CHANDRA – CHIEF FINANCIAL OFFICER , OLECTRA GREENTECH LIMITED
MR. HANUMAN PRASAD – VICE PRESIDENT -COMPANY SECRETARY & LEGAL , OLECTRA GREENTECH LIMITED
MODERATOR : M R. SIDDHARTHA BERA – NOMURA

Moderator: Ladies and Gentlemen, Good Day and Welcome to Olectra Greent ech Limited Q3 FY26 Earnings Conference Call hosted by Nomura.
As a reminder, all participant lin es will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pr essing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Siddhartha Bera from Nomura. Thank you and over to you, sir.
Siddhartha Bera: Yes, thanks. Good afternoon, everybody, and thanks for joining the call.
We have with us Olectra Gree ntech's Management, Mr. Mahesh Babu – the Managing Director, Mr. B. Sharat Chandra – CFO and Mr. Hanuman Prasad – Company Secretary & Legal with us to address your queries.
So, I will pass on to the Management for the initial opening remarks and then we can open the floor for question-and-answer. Over to you, sir.
Mahesh Babu: My name is Mahesh Babu. I am the Managing Director of Olectra Greentech. Good afternoon, everybody.
I would like to give you a global brief of what is happening on the EV industry both globally as well as in India and particularly what is happening in Commercial EV Segment and then I give my Views on the Olectra Greentech Performance.
So, globally EV fleet is projecte d to be about 115 mill ion vehicles by 2026. It is growing at 30% CAGR year-on-year. The global commercial EV-CV ma rket is also growing at about 20% CAGR in the past few years and expected to keep up that pace in the future as well.
The EV adoption is expected to displace about 5 million barrels of oil demand per day globally by 2030. That is overall a positive news of electric adoption both in all the segment as well as commercial vehicle segment globally.
In India landscape, Indian EV industry is expected to grow at 45% CAGR, much higher than global average up to 2030.
In India, the EV volumes are expected to reach about 5 million units by 2026 and about 15 million units by 2030.

EV adoption will reduce about US$14 billion of import. It will offset if we con tinue to grow at this rate by 2030.
The commercial EV segment have been clearly a gr owing spot in India, in fast-growing segment, particularly EV buses are fast-growing. Today, we have about 16,000 electric buses already deployed in India, and the electric commercial vehicl e segment has grown about 120% year-on-year.
The policy support from Government of India like PM-eBus Sewa and also PM E-DRIVE Scheme launched by the central government have given multiple tenders on electric buses to be bought by state transport undertaking and that is one of the businesses where we are in and that plays an important role.
Where we stand as Olectra? Olectra so far from inception deployed about 3,600-plus buses on roads and 116 tippers. We still have a very high order book in hand. We have run about 500-plus million green kilometers reinforcing our sustai nable leadership in this segment.
We have been #1 in the ma rket last financial year.
Recently, CESL have released a tender and we have become L1 in 1,785 vehicles. We are working

with the authorities to convert this into order in the coming month.
If you look at Olectra's performance, in the last tw o quarters we have been consistently delivering quantity; our numbers have gone up by 37% from Q3 previous year to this year Q3 from 282 to 385 vehicles.
Our revenues have gone up by 30%. Our EBITDA has gone up by 17% and our PBT is about 5% and so on.
So, I would say that we have a strong delivery perf ormance as well as financial performance in Q3.
The key is consistent quarter-on-quarter delivery profitably.
If you look at the market share of our products in th e electric bus segment, in Q3 we have a

bout 29%
market share with No. 1 position of 399 vehicles re gistered in the market and year-to-date we have about 912 vehicles registered in the market with a market share of (+24%). So, we continue to be No. 1 in the electric bus segment.
If you look at our EBITDA margins are around to the tune of 14.1% which is the best in the EV industry so far and we continue to grow consiste ntly quarter-on-quarter and we look forward to improve going forward as well.

So, with this, I hand over the Financial Perf ormance to Mr. Sharat Chandra, our CFO.
B. Sharat Chandra: Good evening, everyone and thank you for joini ng us. We are pleased to report that company has continued to deliver steady growth in consolidated revenue and profitability for the Q3 and the nine months ended December 2025 as compared to the previous fiscal year.
Before I take you through the financial performance let me briefly highlight a few key developments:
As indicated in our earlier earnings call, we began to see strong tr action from Q2 with a meaningful ramp-up in Q3 and this momentum has continued into Q4.
The company has delivered healthy operating ma rgins across both the business segments. The EV segment, the ramp-up in deliveries has driven yea r-on-year top line growth of approximately 23%.
Margins in this segment have seen some co mpression primarily due to product mix changes.
As we had highlighted earlier, with increasing volume, historical margin percentages are not sustainable, though we continue to maintain heal thy absolute margins. Fixed cost particularly employee costs have increased in line with the scale-up of operations.
The financial highlights for Q3:
Electric vehicle deliveries stood at 385 units compared to 282 units in Q3 of last year representing a growth of 37%. Revenue for the quarter stood at Rs.663.6 crores, registering 29% year-on-year growth driven by strong perfor mance across both the segments.
EBITDA is at Rs.97.1 crores, reflecting a growth of 19% year-on-year. PBT was Rs.64.1 crores, up by 3% compared to Rs .62 crores in the corresponding quarter last year.
PAT at Rs.46.7 crores is broadly flat year-on-year. Earnings per share for the quarter was Rs.5.65 compared to Rs.5.64 last year. For the financial highlights for nine months: Revenues stood at Rs.1,067.5 crores, reflecting 23% year-on-year growth.
EBITDA increased to Rs.246.1 crores, up by 13% compared to the same period last year. PBT was Rs.166.3 crores with growth of 5% year-on-year.

PAT stood at Rs.122.1 crores registering 3% increase over the previous year.
Overall, our performance reflects strong exec ution, improving scale and sustained demand particularly in the EV segment even as we constant ly invest in people and capacity to support future growth.
Thank you for your time. I will now hand over th e call to Nomura team for the Q&A session.
Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Aniket from C.R. Koth ari & Sons Stock Broking. Please go ahead.
Aniket: Thank you for letting me into the queue, sir. Hello! My question is regarding the working capital cycle and how we can expect it go ing ahead into Q4 and for FY26?
B. Sharat Chandra: The working capital cycle we have been working consciously, and it is improving quarter-on-quarter.
The net working capital days is around 42 days w ith a good improvement compared to the previous quarter of the corresponding year. We are working to reduce inventory levels, optimizing the stock level. The receivable position is improving as our associate companies have got financial sanctions for the major projects. So, we are working on all aspects of working capital and we keep improving on the working capital cycle. Consistently, around two months is what the cycle we are looking at overall in t

he mid-term.
Aniket: Okay. My second question is regarding the delive ry of the buses. We are on track to deliver 2,000 buses for FY26 whereas currently the nine-mont h number is only around 881. So, any suggestions regarding the 2,000 mark delivery, any changes to that number sir?
Mahesh Babu: This is Mahesh Babu here. We have taken a very am bitious target of 2,000 vehicles. As I told you,

we are already No. 1 in the market. The delivery of vehicles depends on market absorption, our capacity and also other ecosystem de velopment. We continue to aspi re to deliver so much vehicle looking forward. But as you know, I have already give n an interview in the media telling that we are looking at between 1,500 to 2,000 vehicles. That would be the reality in the last quarter.
Aniket: Thank you. It is regarding the supply chain issues . Are we facing currently any supply chain issues rather than the ecosystem issues which were already highlighted in the previous quarter?
Mahesh Babu: At least in the last quarter, we have not had any supply chain issues and we do not expect that to happen in the coming quarter as well.
Aniket: Understood sir. Thank you so much for the input sir.

Mahesh Babu: Thank you.
Moderator: Our next question comes from the line of Pr eet from InCred AMC. Please go ahead.
Preet: Good evening sir. Thank you for the opportunity. Sir, first I would just like to understand more about the business. I just want to understand how does SPV actually works? What would be the unit economics for the SPV? And there are different percen tage ownership in the different SPV. So, what determines exactly how much percentage will you keep in that particular SPV?
B. Sharat Chandra: See, as far as SPV is concerned, generally, our philosophy is to ma nufacture, supply and take care of the maintenance of buses. But in certain tenders, the conditions are that where OEM is also required to have a stake. So, accordingly, in such scenario, we invest. So, we have about eight associates where we are having a 26% stake and one subsidia ry where we have 51% stake and one JV where we have 100% stake. Other than this , we continue to work on this model. Unless there is a necessity in the tender where Olectra is required to participate in the SPV.
Preet: About unit economics, are SPV profitable or how is the typical unit economics for the same?
B. Sharat Chandra: Generally, as a group, unless it is profitable, we do not enter into any new tenders. With a minimum IRR of more than 15% is what we look at the SPV level.
Preet: Okay, thank you. And next question is on the numb ers. I am seeing that your insulators business is growing rapidly and EBIT margins of the same which you report, it was earlier 26% which has increased to 32%-33%. So, just wanted to have what kind of growth do you expect coming forward and are these 32%-33% sustainable?
B. Sharat Chandra: See, basically insulators division, again, the ma rgins we have concentrated on exports. So, exports are giving healthy margins. So, due to product mix in this quarter, the margins have improved, but we continue to strive to improve margins. Consis tently, we are seeing growth and I think margins will stabilize around these levels. Again, it depends on the mix between domestic and export.
Preet: What is the difference between domestic and export in insulators business?
B. Sharat Chandra: So, currently about 40% is export now in the tu rnover what we have done. About Rs.250 crores is the top line in the insulated division. So, I do not have the breakup of… I am not able to dwell into the details.
Mahesh Babu: So, generally what CFO is saying is, the margin s on this quarter are due to some export specific because it comes under tender and we win with competition. So, it goes by competition-to-competition. So, between last quarter and this quarter, our margins will remain between the

two

quarters. It is not expected that it will go further and will not be retained same margins on insulators quarter-on-quarter. So, we are very happy this qu arter, we are able to realize good EBITDA margins due to some few export margins. So, we will strive towards it, but the expectation is that the market will give margin between 25% to 30% region.
Preet: Got it. And what would be your order book in the insulators business? And what kind of growth do you expect in the next two years?
B. Sharat Chandra: Yes, about Rs.300 crores surplus is the order b ook as of now, and we continue to grow in this business. Compared to last year, we did about Rs .180 crores top line, this year, we are expecting about Rs.300 crores top line. So, with a 15-20% gr owth year-on-year is wh at we are targeting.
Preet: Thank you, sir. I will join back in the queue.
Moderator: The next question comes from the line of Aniket Madhwani from Steptrade Capital. Please go ahead.
Aniket Madhwani: So, firstly, I just want the clarification on the fi nancials. So, here I can s ee despite growing 28%-29% top line year-on-year if we compare the same quart er last year, and coming down to the bottom line, we can see here the numbers are flat. So, what ar e the reasons behind? Are you facing any challenges to maintain the margin?
Mahesh Babu: This is Mahesh Babu. I will explai n the business strategy perspective. So, last year, if you look at it, we were primarily being in the 12-meter bus segment. And if you look at this year, we are entering into nine-meter. We have delivered about trucks. So , this quarter, we have about 24 trucks delivery, 50-plus 9-meter delivery, and remaining is a 12-me ter bus, while the primary product last FY25 Q3 was related to 12-meter bus. So, ba sically, what happens is in a stabilized segment, while you look

at bus or the division has 12-meter, 9-meter, a nd you have now trucks on pilot basis we have deployed. So, each one will have di fferent margin. So, some of the products are for the future. It is just entering into the new segment of EV. So, the margins will be less. When it is stabilized like a 12-meter bus product, then we will get a reasonable ma rgin. So, that is why I would say that we are still growing at 30% revenues, EBITDA is good, 17% fo r us, growth in EBITDA, so that is almost 20% growth in EBITDA is there. While the bottom is we have to work on the new products, then hence depreciation will come into picture. And we borrow for the plant what we have to do and then interest accretive to it.

Aniket Madhwani: Sir, can you just give me the bifurcation of 282 buses delivered -- I mean, I just wanted to know how many 9-meter buses are delivered, how many 12-meter buses are delivered and the margins that you maintain in each of your products?

Mahesh Babu: So, very specifically, I will not ha ve in hand, but generally I will tell you, out of 282 last quarter, 272 was 12-meter bus, only 9-meter wa s 10, whereas this quarter out of 385, 24 trucks and about 51 9-meter was delivered apart from 300 12-meter. So, th at does make the proportions differently, just to give you a reasonable numbers right in front of you.

Aniket Madhwani: Okay, got it. Previously, you mentioned that you have around 10,900 bus tender. So, is there any date regarding that?

Mahesh Babu: So, the 10,900 bus tender were already concluded and we have become L1 in 1,785 buses. That is what I told in the brief, and this will have to wo rk with the authorities to convert into order. It is expected for another three months this process will co ntinue and we are hopeful that we will get that order going forward.

Aniket Madhwani: Okay. What is your current capacity?

Mahesh Babu: See, we have declared the DCCO for our Phase-I of the plant. It is for 2,500 vehicles per shift per year capacity and we can do d

ouble shift to achieve about 5,000 per annum. If needed, we can in fact increase the capacity as we need higher numbers depending upon the market absorption, we can do that.

Aniket Madhwani: Okay, done, yes. That is it.

Mahesh Babu: Thank you.

Moderator: Thank you. The next question comes from the line of Akash Srivastava, an individual investor. Please go ahead.

Akash Srivastava: Yes. Hi, sir. Good afternoon. Tha nks for giving me the opportunity. I ju st want to understand, is there any specific reason why de liveries in Jan was only 55 numbers as is what is shown in the VAHAN portal?

Mahesh Babu: See, the VAHAN portal alone is not the number we ar e delivering, because Tela ngana is not part of the VAHAN portal. In January we built around 115 vehi cles and many of them are Telangana. So, you have to look at VAHAN plus Telangana, that is available in a separate site. That depends on where the other competitors deliver the vehicle.

Akash Srivastava: That is okay. But still, if you are saying that we are having a ca pacity of 200-plus numbers, none of the months that I have seen, you have been able to reach even 150. So, is there any specific reason why? I mean, you may say that, yes, the market is not absorbing and all those things. But any other reason, I mean, that you want to share with us except this?

Mahesh Babu: See, I just want to give you, first, we will have to understand that we are No. 1 month-on-month, quarter-on-quarter, year-on-year for the last two years. So, that means it is very clearly market can absorb. If you look at the market size of electric bu ses, last year was about 3,800 vehicles, right? So, market can absorb only that much depending upon el ectricity, finance availability, depot-readiness, STU, route finalization plus our ma nufacturing capacity. So, what I can tell you is, we are No. 1 in terms of delivery of electric buses in the market. If market can absorb more, we are also driving like market to absorb more. And when we drive it, we are No. 1 and we wish that we will be able to deliver more. So, while the capacity is for the future coming when the market is ready to absorb, our efficiency still remains at optimum that we are able to deliver when we want it, because our pipeline is less than 15-days in terms of vehicle finishi ng to the deployment into the depots and to the operations. That is where we are still at No. 1 in terms of delivery operations and optimization of operations which market can absorb.

Akash Srivastava: Sure, sir. But frankly, I mean, with respect to what the markets have told today, you might have understood how the investors are feeling about the result that we have, right? Nonetheless, my second question is with respect to Q2, I suppose we delivered around 330-340-odd buses. In Q3, we have delivered around 385 numbers. That is what we have been told. But in terms of top-line growth, I can see just maybe Rs.6 or 7 crores difference. So, is it because of the product mix between Q2 and Q3? The 50 number difference but the top-line is only maybe Rs.6 crores.

Mahesh Babu: In Q2, we have delivered 375 vehicles. In Q3, we have delivered 385 vehicles. So, it is only 10 vehicles difference.
Akash Srivastava: Okay. I mean, that is my mistake. Sorry. Yes. That is it from my side. Thank you.
Mahesh Babu: Thank you.
Moderator: The next question comes from the line of S hubham Tamrakar from Alturas. Please go ahead.
Shubham Tamrakar: Hi, sir. Sir, I have a question regarding operational cost. So, give n that we are making investment and we are expecting revenue growth over a period of time, how our operational cost will change -- will it increase the same as the revenue will increase, we will have a cost advantage?
Mahesh Babu: Till now, we have been investing in the plant and our operational cost is to make this monthly production, we are optimizing manpower and oth

er servi ces to the tune of what we are making. Going forward, capital investment will not be very intensive t ill we achieve 5,000 vehicles per annum. It is only a variable cost which will incr ease. We have to increase manpower in two shifts and deliver the products and other things. Capital will not be exponentially require d or proportionately required. We need only to maintain that and deliver. And CAPEX investment will be not needed much till we

achieve 5,000 products, but variable cost of manpow er increase and others will be like electricity, manpower, water consumption will be proportionate to the number we are making.
Shubham Tamrakar: Okay. That was helpful. And do we have an y CAPEX plan in the next one, two years?
Mahesh Babu: Yes, of course. Automotive industry is capital- intensive. You all know that. We are developing products; as you know, we are developing a new plat form 12 meter, we are developing new platform 9 meter and we are entering into the truck segment. So, we have done a pilot with 116 vehicles now, but the market is going to grow. So, we have to get prepared in products. So, the CAPEX would be for developing new products for increasing the ne w markets and entering into new segment and increasing our volume. Because, if we continue to sell in the same segment, we will not have much growth and you all want exponential growth. So , that will come from the new products and we continue to invest on our new products technology in the coming next two years.
Shubham Tamrakar: Do we have any numbers regarding CAPEX like this?
Mahesh Babu: See, we are working on it. So, what I can tell you is, we will be investing about Rs.300 to 350 crores in terms of CAPEX for new product development in the coming year.
Shubham Tamrakar: Okay. And how we will capitali ze this over the period of time?
Mahesh Babu: It will be over a period of two years.
Shubham Tamrakar: Okay. And sir, I just request one thing that it would be great if you share in your presentation also regarding the mix between 9-meter, 12-meter and truck which we deliver every quarter, that would be very helpful for us to understand also?
Mahesh Babu: Okay, we will try to add that in the future.
Shubham Tamrakar: Do you have any visibility right now like in the next year how the mix will change?
Mahesh Babu: See, depending upon which STUs, which depot getting ready. But I can tell you that in the Q4, we will have a reasonable mix of coach and 12-meter. That is what we are expecting as per our plan. But, if any STU suddenly ask 9 meter, we cannot say no. So, we will have to get prepared for that as well.
Shubham Tamrakar: Okay. Yes, thank you, sir. That was from my side.
Moderator: The next question comes from the line of Sunil Parv athanin, an individual investor. Please go ahead.

Sunil Parvathanin: So, actually like we have a plan of deploying the robotics, right? So, by when we can complete the robotic deployment for production?
Mahesh Babu: See, we have decided to do a se mi-robotic line and the semi-robotic line will be ready by end of this calendar year which will be last quarter of the coming financial year. The Phase-I whatever we have declared capacity is without the se mi-robotic line. The semi-robotic line will come as part of our new products which are coming to handle the 12-meter, 9-meter truck everything together. We need for that and that will be ready by last quarter of the coming financial year.
Sunil Parvathanin: So, any new product launches like trucks and cars, anything?
Mahesh Babu: See, we will come back to you. It will be too pr emature to tell what it is now. So, as per guidelines, we will come back to the market whenever we are ready with the products in the future.
Sunil Parvathanin: Okay. Fine. Thank you.
Moderator: Your next question comes from the line of Ga urang fro

m Utility Unifie d. Please go ahead.
Gaurang: Good afternoon. Thank you for giving the opportunity. So, with reference to the Indian Express article which is dated on October 30, 2025, Mumbai BEST is exploring legal route for non-delivery of electric buses. So, can the management on record confirm that it is BEST which is not handling over the depot or is there some other issue with resp ect to the two orders, the first order which is of

2,100 buses and the second order which is of 2, 400 buses? And why I am asking this question is because as far as I know that in the last six months, we have hardly done any deliveries to BEST, approximately say 200 or 300 buses in the last si x months, which is a lit tle bit disappointing and concerning as well. So, just want to hear from the management about this issue.

Mahesh Babu: Okay. Firstly, we have not got any legal notice from BEST. BEST, we have engaged on two, three fronts. It is not about depot-readin ess or something. On the BEST fr ont, there is a request from us to BEST that the electricity consumption and the load ing pattern of the vehicle is much, much higher than the tender requirements. Assume tender is as king for 58 people, we are seeing 102-plus people coming into the one because of which there is a s ubstantial electricity consumption which we have represented to them to compensate by which we will be able to improve our delivery. So, that discussion is going on with BEST. I hope they will resolve that quickly, because as an entity, as an investor to you also, we will not be able to do any order which is not as per tender and which is loss to the company. So, we are continuously engaging with BEST to highlight this issue and they recognized and accepted, yes, the consumption is higher due to utilization of the bus with higher capacity than the tender requirement. They are only finding it how to resolve it within the legal framework. Once they resolve it, our number of deliv eries will be faster than expected because we do not want to lose money without this resolution.

Gaurang: Thank you so much, sir, for the clarification. My only other question is, so there is an upcoming CSL tender of 3,000 plus buses for various cities like Mu mbai, Pune, Hyderabad. So, is Olectra going to participate in that tender as well?

Mahesh Babu: Yes, we are right now planning to participate in the coming CSL tender.

Gaurang: Okay, sir. Thank you for the clarification. Wishing you all the best for the final quarter and the years coming.

Mahesh Babu: Thank you.

Moderator: The next question comes from the line of Sand eep, an individual inve stor. Please go ahead.

Sandeep: Sir, considering our long order book, how is our cap acity utilization planned in future, because still we have not achieved this 2,500 completely?

Mahesh Babu: Hi, thanks for the question. Right now, we said, we have a capacity of about 2,500 per shift. While the investment and the civil and the equipments ar e prepared for 2,500, we have manned only to the requirement of the capacity which we are producing. So, we will utilize the full capacity of 2,500 per shift according to me when the market can absorb in the coming financial year and FY27. That is what we are expecting. And as you know, any auto industry, gross capacity normally industry work around 80% to 85% of the net capacity because ther e will be day-to-day supply chains and matching and things like that. So, normally auto industry work s on the gross capacity to the tune of about 85% of net capacity.

Sandeep: Okay, sir. Thank you.

Moderator: The next question is from the li ne of Preet from InCred AMC.

Preet: Thank you for the opportunity once again. Sir, you have mentioned in the annual report of around Rs.750 crores of CAPEX which we were planning. Out of this, how much has been done and how much we are planning in the next two years? And is this apart

from the Rs.750 crores CAPEX which we have mentioned to the previous participant?

Mahesh Babu: Okay, just to clarify, the Rs.750 crores was the inte nt to invest for the complete capacity to achieve 10,000 volume in the production ca pacity. However, as I said, we have decided to optimize the investment and we have already achieved Phase-I. So, we have decided to do in Phase-I, Phase-II. Phase-I of 2,500 into 2 which is 5,000 is achieved now and it is getting into production. We will only kick off the next phase of the re maining investment only when we achieve this 5,000 in the market

net, gross because the land is avai lable, we can build an additional line within a period of 12-months. So, we will kick off that once we see the market in the future.

Preet: Okay, got it. And how much CAPEX you have done till first ni ne months in FY26?

B. Sharat Chandra: It is about Rs.400 crores.

Preet: And my next question is on the li ne of employee numbers. We have seen that the employee cost has been reduced drastically from Rs.25, 30 crores to 20 crores. What was the reason behind the sale?

Mahesh Babu: The manpower cost you are asking?

Preet: Yes.

Mahesh Babu: See, what we have done is, ear lier, we used to pay for the service manpower which used to be available in the market. Now, we find that there are technicians available in the depot and by directly our customer paying for such technicians, we are able to save some GST. So, we have asked the customer to directly pay such technicians in the depot.

Preet: So, are we giving that money or customer is bear ing that money?

Mahesh Babu: No, whatever customer is supposed to pay us fo r these employees, now they are paying directly for this technician so that we will not have any GST impact on that. So, one, it will go to customers pay out there and they will pay the remaining to us. So, net-net there is no impact to us. It is a payment method directly by our customers to technicians in the respective depots.

Preet: Got it, sir. And my other question is on the line of debt. Despite having lower debt on the balance sheet, we have a higher finance cost of around Rs.15-20 crores per quarter. Can you explain the nature of this payment?

B. Sharat Chandra: So, basically we have availed term loan. So, those interest costs are now coming in. So, pre-capitalization interest has been capitalized. Now, post-capitalization, the interest cost is coming to the P&L. That is one aspect. And then, one of the primary interest cost is on the LC discounting and VFS discounting. So, we are working on it to reduce t hose costs. In the near future, we are trying to optimize the mechanisms and we are expecting at least some improvement in the interest cost in terms of rate.

Preet: What is the average rate on which we get a term loan?

B. Sharat Chandra: It is about (+9%).

Preet: Okay. Thank you.

Moderator: The next question comes from the line of Aniket from C.R. Kothari Sons & Stock Broking. Please go ahead.

Aniket: Hello! Thank you for having me once again. My last question would be regard ing the facility coming on line. What would be the expected increase tentatively regarding the depreciation in the next few quarters?

B. Sharat Chandra: This quarter, we have depreciati on on a run rate basis of Rs.9.2 crores. So, depreciation will be slightly 10% growth once we complete all the capitalization.

Aniket: Thank you so much, sir.

Moderator: The next question comes from the line of Rushabh Sanghvi from Oaklane. Please go ahead.

Rushabh Sanghvi: Thank you so much for taking the time. I had a que stion on the private sector participating in the electric bus movement. So, far, mo st sales we are seeing is with the public sector. Can you comment on why the private sector has been a little slow to adopt electric buses so fa r despite favorability here?

Mahesh Babu: So, that is a very good question, because righ t now, the PM E-DRIVE, PM-eSEWA, subsidy is towards state government undertaki ng, there is no subsidy for the private sector. However, TCO for private sector, which is intercity, is very favorable . You know, intracity is not privatized so much in many cities, intercity is privatized. Intercity, there are customers in private, for example, the fresh bus is running our vehicle in Hyderabad to Bangalore, the route, and they are successfully running, they have run about 8 lakh kilometers already with our vehicle. They are profitable. And one of the challenges what I understand from them is the privat e players who are in the operations of the buses are not worth enough to take bank loans for a larg e number to fund the EV buses. So, we are also working with the government as well as some privat e entities who will fund them. For example, there are players who are NBFCs, who are non-NBFCs like Macquarie Capital have given about some line of credit for EVs. So, we are working with them . Slowly the shoot is co ming. We have delivered about eight buses to Microsoft for employee transport for a private player in this quarter. There are some minor shoots. I am seeing it will take about a ye ar or so for this finance sector to gain confidence on the private players. And hence, it will become a pr oduction kickoff.

Rushabh Sanghvi: Thank you, sir. In the recently announced budget, it seems like only 1,500 buses are accounted for in PM eSEWA in FY27. Given that natu rally more number of buses have been tendered in the last year, can you comment on why this budget allocation is so low?

Mahesh Babu: The budget allocation is for 1,400 buses which th ey have tendered in PM eSEWA. PM E-DRIVE is different. 10,900 is the PM E-DRIVE. PM E-Drive wi ll get a direct subsidy of Rs.35 lakhs or Rs.25 lakhs depending upon the vehicle when STUs depl oy the buses. PM e-SEWA, they will get about Rs.24 per kilometer approxi mately I think, every month, every year for 12-years. So, it is two different schemes.

Rushabh Sanghvi: Got it. And even in PM eSEWA, there is also payment security mechanism, right? So, is there a separate budget allocation for payment security mechanism?

Mahesh Babu: No, there is no need for a sepa rate budget allotment be cause the payment security mechanism is, if the state government does not pay, central governme nt has the authority to intervene through RBI from the central government allotment to the state and deduct the fund and pay it to the operator. That is the security mechanism. It is mainly a mechanism for giving confidence to the financiers who are financing these projects for our operators. I do not think I have any case where STUs have never paid any operators. They only delay it. But default, I have not heard in my lifetime. Government default is not there in any payment.

Rushabh Sanghvi: Got it. Thank you so much.

Moderator: Next question comes from the line of Rahil S. from Sapphire Capita l. Please go ahead.
Rahil S.: Good evening, sir. So, I am not able to understand. So, you say you have an order book in hand of 9,400 plus buses, correct? So, if these are confirmed orders, I am just trying to understand then why are we not selling as much in each quarter to complete a target of 2,000 units in FY26 which you had given? And if you are still guiding for the same like around 1,500 to 2,000 vehi cles in the year, then are you very confident that you will be able to cover up in Quarter 4? I am just trying to understand how it works in the deliveries.
Mahesh Babu: Yes. So, I have answered this earlier, I will again answer it because I would request all others to hear as well. See, the order book gives y ou that if the depots and the ecosystem is ready, then we will be able to deliver to that extent. So, if you say 9, 000 order book, that means we h

ave two and a half years order pipeline available, one. Second, you cannot deliver 9, 000 immediately. There are cases where our competitors had 600 buses waiting for six months in Delhi for deployment. 600 buses is close to Rs.750, 800 crores. We cannot afford Rs. 800 crores to wait for six months and then our working capital and all this will become a headache. So, the reality is we have to make the vehicle what market can absorb. And if market can absorb more, we will make more. So, we are prepared from plant perspective that we can serve the market to the need what they want. And we are also prepared from front end that we have enough orders . So, we do not struggle for next one or two years to get more orders to deliver what plant capacity needs to be there. So, again, that is why I said we are No. 1 in bus registrations in India year-to-date . That means we are delivering more e-buses than

any competition in India. So, that clearly says that we are efficient, better and managing working capital well and also serving the market well. So, th is is how you should take, not just go by the order book number. It is like airline industry Boeing has 7,000 orders. They will deliver for next 15-years. They cannot increase the capacity and deliver Boeing in one year. So, that is how we have to look at that.
Rahil S.: In Q4 you will be able to complete the yearly target, is it because of the market acceptance of deliveries or is this just your view that if the mark et gets better and is able to absorb then only we deliver, or is that a surety?
Mahesh Babu: So, our view is right now, we will be able to fini sh between 1,500 to 2,000 buses in a year. That is the target which market will absorb this quarter. Bu t still our aim is always we want to be No. 1 in the country.
Rahil S.: Okay. And with regards to the insulators business, you said this year you plan to achieve or you expect to achieve Rs.300 crores top line, correct?
Mahesh Babu: Yes, that is the expectation.
Rahil S.: And so the yearly growth, how much did you say, which you can do year-on-year in that business?
B. Sharat Chandra: About 10% to 15% is what the growth we are e xpecting in this, because there is still government push on electrificat ion. So, we see good potential.
Rahil S.: And on overall consolidated margins, any range you would have to get?
B. Sharat Chandra: I think as we have mentioned in the past, we ar e basically working on healthy operating margins. We continue to deliver healthy operating margins. Over the long term, it is expe cted to stabilize around 10% to 12%. Currently, we are at (+14%).
Rahil S.: Okay, sir. Thank you. All the best.
B. Sharat Chandra: Thank you.
Moderator: The next question comes from the line of Gaur ang from Utility Unified. Please, go ahead.
Gaurang: So, my question is with respect to the evolving el ectric vehicle technology, sir. So, there are largely four things which I can think of. Firstly, there ar e solid state batteries which are coming. Second is sodium batteries which are coming. And third is me gawatt charging, which is already established in

China. And then there is battery swap, which is now getting quite trendy in China. So, my question is, sir, how is Olectra foreseeing these four th ings especially in the commercial EV segment?
Mahesh Babu: Thank you for the question out of investments and financials. Actually, you are right. The EV industry has a lot of innovations going on parallel ly, while the production of existing technologies continue. So, we are closely monitoring three, four technologies, as you said, solid state battery, sodium ion battery, that CATL has productionized sodium ion battery for commercial applications. But, most of them are in a pilot stage and most of them are in a stage where it is at a primary production stage, it has not reache

d the mass produc tion stage. So, we are closely monitoring this technology. We have now –
Moderator: Sorry to interrupt. The line for the management has been dropped. Please stay connected while we reconnect the line for the management. Ladies and gentlemen, thank you for patiently holding. The

line for the management has been reconn ected. Yes, sir, please go ahead.
Mahesh Babu: Hi, this is Mahesh here again. Sorry, I do not know what happened. Technically, the line got cut. So, I was talking about sodium ion, I am talking about this solid state battery. We have a very clear technology evaluation process where we evaluate technology at what stage they are in, whether it is in primary stage, pilot stage, pre-production stage and mass production stage. So, right now, lithium ion batteries are in mass production stage. Most of the other technologies you said are in pre-production stage or at pilot stage. So, we will co nstantly monitor and we can plug-in and change them as we want, and clearly, we will have a plan to de-risk our business in case of any change in the technologies or change in systems, we are well prepared to handle it.
Moderator: Our next question comes from the line of S hubham Tamrakar from Alturas. Please go ahead.
Shubham Tamrakar: Hi! Thank you for giving this opportunity once again. I just wanted to understand again on CAPEX. I want some little bit clarity more on that. So, you said Rs.300, 350 crores in CAPEX in the next two years, right?
Mahesh Babu: Yes, on the new products alone.
Shubham Tamrakar: On the new products? Okay. And is our capitalization plan for the same?
Mahesh Babu: Yes, sir. We will capitalize it year-on-year.
Shubham Tamrakar: Okay. And sir, one more thing. Given that our product mix is changing, li ke we are changing our product mix, so how will this affect our EBITDA margins in the next two, three years?

Mahesh Babu: As CFO has already said, the auto industry is at 10% EBITDA level and you know most of our players are much lower than that. We are very happy because of our product. We are able to maintain about 14%. In the long term, we are looking between 10% to 12% as margin in other business. We cannot expect high volumes and high margin business. There is no such business available. So, we will be more and more closer to the industry or better than industry. All that I can tell you is we will always be better than the industry. But going fo rward, when the volumes grow up and we become main players like diesel vehicles, if your diesel ve hicle is selling about 100,000 vehicles, we will inch towards it as industry. When we go towards it, the margins will shrink, but ab solute numbers will be very high.
Shubham Tamrakar: Okay. Thank you.
Moderator: The next question comes from the line of Pr eet from InCred AMC. Please go ahead.
Preet: Thank you for giving me an opportunity once again. My one more question would be on the line of buses guidance for the delivery and next year what we are expecting. For ex ample, now management has guided of around 1,500 to 2,000 buses delivery by FY26, and in 10-months, we have done around 1,100 buses. So, are we expecting more than 200 bu ses delivery per month in the next two months?
Mahesh Babu: So, that is our aim. So, we are looking at someth ing like that what you are speaking for next year.
Preet: And what are we guiding for the next two years, '26 and '27… what are our estimates?
Mahesh Babu: See, I told you the EV industry is at a CAGR of 30%-plus and we will be better than that. As Olectra in the last three years, we have been outperform ing the EV industry in terms of the segment where we are in. Our aim is to continue to do that. Exact number, I do not want to put on the table, because there are a lot of research work goes on market adoption and how we are going to push in. Our aim is to continue to be No. 1 and outperfo rm marke

t in terms of CAGR growth.
Preet: Thank you, sir. That was helpful.
Mahesh Babu: Okay. Thank you.
Moderator: Next question comes from Gaurang from Utility Unif ied. Please go ahead.
Gaurang: In the recently conducted a Telangana Rising Summit, we have seen Olectra, the MIL group showcasing a car and that car was very much similar to a Chinese car called Skywell ET5. So, just my request is that if Olectra or MIL group is vent uring into EV, we can e xplore more important key OEMs like Xiaomi, then there is Mio, then there is XPENG and then there is BYD. These are like

top four of the Chinese OEMs. So, my request to y ou, sir, is that we can explore partnership with these four companies. So, sir, any comments on that?
Mahesh Babu: Thanks for your suggestion. There is no comment on it. I only thank you for giving such suggestion.
Moderator: Thank you. The next question comes from the line of Aniket from C.R. Kothari Sons & Stock Broking. Please go ahead.
Aniket: Thanks for giving me a chance once again. My final question would be regarding the current nine-months order book. Where are we standing right now in terms of order book?
B. Sharat Chandra: In terms of order book, we have 9,000 pending orde rs. We have delivered till now more than 3,600 numbers. And as already clearly given message by our M.D., so the deliveries will be in line with the adoption, in line with the readiness, in line with the depot, infrastructure, everything ready. So, we are capable of delivering as per the market adoption.
Aniket: Thank you so much for the prompt answer, si r, and wishing Olectra the best quarter-end.

B. Sharat Chandra: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the Olectra management for the closing comments.

B. Sharat Chandra: Yes. In conclusion, we would like to thank all ou r shareholders and stakeholders for the continued support, patience and confidence in the company's gr owth journey. As we move into Quarter 4, we continue to see healthy demand momentum, part icularly in the EV segment, supported by the ongoing ramp-up in delivery and stable order visibility. We expect this momentum to translate into strong sequential performance and revenues, while margins are likel y to remain broadly stable, factoring in product mix dynamics and operating leve rage from higher volumes. Overall, for financial year 2025-26, we remain cautiously optimistic and e xpect to deliver healthy growth in consolidated revenue and profitability, driven by execution discipline, improving scale and sustained demand across our key segments. Before we close, I would like to highlight that so me of the statements made today are forward-looking in nature and are based on our current expectat ions and assumptions. Actual results may differ materially due to various risks and uncertain ties, including market conditions, supply chain dynamics, regulatory changes, and other factors beyond the company's control. Thank you once again for your continued support.

Mahesh Babu: Thank you for your continued support to the company and the management.

Olectra Greentech Limited
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Moderator: Thank you. On behalf of Olect ra Greentech Limited and Nomura, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2026

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